



Delivering on our promises

Creating solutions to enable you to achieve your goals

2010 Annual Report And Financial Statements





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*"Facing what lies ahead of you is much
easier when you're with the right partner"*



Barclays serves approximately
14.2 million customers across Africa.

We are structured into the following geographies:

- **Sub-Saharan Africa:**
Botswana, Ghana, Kenya, Tanzania,
Uganda, Zambia and Zimbabwe
- **North Africa:**
Egypt
- **Indian Ocean:**
Mauritius and Seychelles

In addition, we have a representative office in Nigeria and through our sister company, ABSA, we also have a presence in South Africa and Mozambique.

These markets provide a base for further growth, building on the experience we already have in each area.



With over 300 years of history and expertise in banking, Barclays operates in over 50 countries and employs more than 147, 000 people. Barclays moves, lends, invests, and protects money for more than 48 million customers and clients worldwide.

Barclays Bank of Kenya Limited, a subsidiary of Barclays Plc, is one of the top banks in Kenya. Our business units fall under Retail, Corporate, Treasury and Card Services with cross-functional relationships to support the segments of local business and small to mid-sized enterprises (SME).

Barclays financial strength coupled with extensive local and international resources have positioned Barclays as the top provider of financial services in the market for the past several years. Moreover, Barclays consistent financial performance has built confidence in our leadership and management among our Bank's shareholders, as well as the industry overall.

We have operated in Kenya for 95 years, and currently have an extensive network of 117 branches and over 230 ATM's countrywide. Our network is supported by Internet and mobile banking channels plus a Customer Service Centre that operates 24 hours a day, 7 days a week.

OUR GOALS:

- To remain the leading retail and corporate bank in Kenya
- To be recognised as a trusted, innovative, customer-focussed company that delivers products and services of superior quality to all customers
- To be the best place where the best people want to work
- To be associated by all stakeholders as a corporate partner who contributes towards the welfare of the communities in which we work
- To deliver value to our shareholders through positive growth

OUR GUIDING PRINCIPLES:

Barclays five guiding principles are key to the way the business operates:

Winning together – achieving collective and individual success

Best people – developing talented colleagues to reach their full potential, to ensure Barclays retains a leading position in the global financial services industry

Customer and client focus – understanding customers, serving them brilliantly and treating them fairly

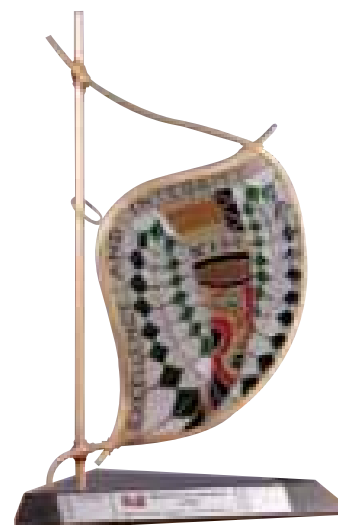
Pioneering – driving new ideas, adding diverse skills and improving operational excellence

Trusted – acting with the highest integrity to retain the trust of customers, external stakeholders and colleagues

INDUSTRY LEADERSHIP

Over the years, Barclays has contributed to the development of the banking industry, financial services sector, as well as the economy overall. Industry recognition we have received for leadership include Best Bank in Kenya – Global Finance (2008, 2009 & 2010); Company of the Year Award for Human Resource Management Practices - Kenya Institute of Management (2008); Best Retail Bank – 2009 Banking Awards; and Company that best complies with the International Financial Reporting Standards - FiRe Awards (2009).

2010 AWARDS



Company of the Year – 1st runner-up
2010 Company of the Year Awards



Best Commercial Bank in Kenya,
Banking Awards - Sponsored by
Think Business



Best Foreign Bank in Kenya
2010 Africa Banking Awards



Barclays Africa – Best Performance in
Operations for the year 2010



Best Bank in Kenya - First Runner Up,
FiRe Awards for Financial Reporting,
sponsored by ICPAK, CMA and NSE



International Conference on Peer Education,
Sexuality, HIV & AIDS (African Pot of Hope
Award, sponsored by National Organisation
of Peer Educators (NOPE)



Best Internal Communications Award of
the Year (Guiding Principles), sponsored
by Public Relations Society of Kenya



Best Emerging Markets Bank in
Kenya - Global Finance Magazine

FRANCIS OKOMO-OKELLO*Chairman*

Francis Okello joined the Board in August 2003 and was elected Chairman in April 2005. He holds a Bachelor of Laws (LL.B) degree from the University of Dar-es-Salaam. He is an Albert Parvin Fellow of the Princeton University, Woodrow Wilson School of Public and International Affairs. He is also a Fellow of the Kenya Institute of Bankers (FKIB). He is currently the Executive Director in charge of Legal and Corporate Affairs at the Industrial Promotion Services Group.

**ADAN MOHAMED***Managing Director*

Adan Mohamed joined the Board in December 1999. He is a member of the Institute of Chartered Accountants in England and Wales and a graduate of Harvard Business School (USA). He is currently the Managing Director of Barclays Kenya and the Regional Managing Director responsible for Barclays businesses in Uganda, Tanzania and Ghana.

**YUSUF OMARI***Executive Director*

Yusuf Omari joined the Board in July 2009. He holds an Economics Degree from the University of Nairobi and a Masters degree in Business Administration (MBA) from Strathmore Business School, Strathmore University (Nairobi). He is a Certified Public Accountant as well as a Certified Internal Auditor and is currently the Chief Financial Officer.

**NICK MBUVI***Executive Director*

Nick Mbuvi joined the Board in December 2007. He holds a Bachelor of Commerce degree from the University of Nairobi and a Masters degree in Business Administration (MBA) from the IESE Business School, University of Navarra (Spain). He is currently the Corporate Banking Director.



PAUL CHEMNG'OREM*Non-Executive Director*

Paul Chemng'orem joined the Board in March 1998. An expert vintner, he has extensive experience in the wines and spirits industry and has served as Managing Director of the Kenya Wine Agencies Limited (KWAL). He is currently the Chief Executive of Domaine Kenya Limited.

**ROSE OGEKA***Non-Executive Director*

Rose Ogega joined the Board in April 2002. She is a Bachelor of Commerce graduate from the University of Nairobi as well as a Fellow of the Institute of Certified Public Accountants of Kenya. She is currently the Managing Director of Bloom Consultancy Limited.

**JANE W. KARUKU***Non-Executive Director*

Jane Karuku joined the Board in August 2003. She holds a Masters in Business Administration (MBA) from the National University of California (USA). She is currently the Deputy Managing Director of Telkom Kenya Limited.

**BROWN M. M. ONDEGO***Non-Executive Director*

Brown Ondego joined the Board in August 2003. He is an alumnus of the London Business School and the University of New Orleans Port Planning Development Program. He is currently the Executive Chairman of Rift Valley Railways (Kenya) Limited and Rift Valley Railways (Uganda) Limited.

**JUDY NYAGA***Company Secretary*

Judy Nyaga was appointed in December 2007. She holds a Bachelor of Laws (LL.B) degree from the University of Nairobi and a Master of Laws (LL.M) degree from the University of Nottingham. She is also an Advocate of the High Court of Kenya and a Member of the Institute of Certified Public Secretaries of Kenya.



Notice is hereby given that the Thirty-second Annual General Meeting of the Shareholders of Barclays Bank of Kenya Limited will be held in the Tsavo Ballroom, Kenyatta International Conference Centre, Harambee Avenue, Nairobi on Friday 27th May 2011 at 11:00 a.m. to transact the following business:

1. To confirm the Minutes of the Thirty-first Annual General Meeting held on 28th May 2010.
2. To receive, consider and if thought fit, adopt the Annual Report and Financial Statements for the year ended 31st December 2010 together with the Directors' and Auditors' reports thereon.
3. To declare a dividend.
4. To elect Directors:

In accordance with Articles 94, 95 and 96 of the Company's Articles of Association, the following Directors are due for retirement by rotation and being eligible, individually offer themselves for re-election:

Brown Ondego
Jane Karuku
Nick Mbuvi

5. To authorise the Board to fix the remuneration of the Directors.
6. To appoint Auditors and to authorise the Board to fix the remuneration of the Auditors.
7. Special Business.

To consider and if thought fit, to pass the following resolution:

"THAT on the recommendation of the Board of Directors, and subject to the relevant regulatory approvals, the authorised shares of the Company shall be split in the ratio 4 for 1 and that the holding of those persons or entities shown in the Register as Members of the Company as at the close of business on 30th May 2011, shall be adjusted proportionately to reflect the split of 4 new ordinary shares for 1 of the existing ordinary shares. The par value of the shares shall also be adjusted from Kshs 2/= per share to Kshs 50 cents per share."

8. To transact any other business of the Company of which due notice has been received.

By order of the Board



Judy Nyaga
Company Secretary

5 May 2011

Note 1: A member entitled to attend and vote at the meeting is entitled to appoint a proxy to attend on his or her behalf. A proxy need not be a member of the Company. To be valid, a form of proxy (which is available at the Registrar's office or on the Company's website) must be duly completed by the member and must either be lodged with the Registrar at Custody and Registrars Services, 6th Floor, Bruce House, Standard Street, Nairobi or be posted to Custody and Registrars Services, P. O. Box 8484-00100 Nairobi, so as to reach the Registrar not later than 11.00 a.m. on Wednesday 25th May 2011.

Note 2: Registration of members and proxies for the Annual General Meeting will commence at 8.00 a.m. on 27th May 2011. Members and proxies should carry their national ID cards and a copy of a relevant Central Depository and Settlement Corporation (CDSC) account statement for ease of the registration process.

Tangazo linatolewa hapa kuwa Mkutano Mkuu wa Mwaka wa Thelathini na Mbili wa wenye hisa wa benki ya Barclays Bank of Kenya Limited utafanyika katika ukumbi wa Tsavo katika Jumba La Mikutano La Kimataifa, KICC, lililoko katika barabara ya Harambee Avenue, Nairobi, siku ya Ijumaa 27 Mei, 2011 saa tano asubuhi kwa sababu ya shughuli zifuatazo:

1. Kuidhinisha kumbukumbu za mkutano mkuu wa mwaka wa Thelathini na Moja uliofanyika 28 Mei, 2010.
2. Kupokea, kuthibitisha na ikikubaliwa, kuidhinisha taarifa ya kifedha ya mwaka uliomalizika tarehe 31 Disemba, 2010 pamoja na taarifa za wakurugenzi na za wakaguzi wa mahesabu.
3. Kutangaza mgawo.
4. Kuchagua wakurugenzi:

Kulingana na vifungu 94, 95 na 96 vya sheria za kampuni, wakurugenzi wafuatao ambao wanastaafu kwa zamu na kwa vile wanastahili, wanajitolea kuchaguliwa tena:

Brown Ondego
Jane Karuku
Nick Mbuvi

5. Kuipa idhini halmashauri kuamua malipo ya wakurugenzi.
6. Kuteua wakaguzi wa mahesabu na kuiruhusu halmashauri kuamua malipo ya wakaguzi wa hesabu.
7. Shughuli Maalum.

Kuangalia na kuona kama inafaa, kupitisha azimio lifuatalo:

“KWAMBA ni pendekezo la halmashauri ya wakurugenzi, ambalo ikiwa litaidhinishwa kupitia taratibu zilizoko, hisa za kampuni zitagawanywa katika uwiano wa 4 kwa 1 na kwamba watu wenye hisa au wamiliki walioko katika rejista kama wenye hisa wa kampuni kufikia muda wa mwisho wa biashara 30 Mei, 2011, zitarekebishwa kwa kadri ya hisa 4 mpya za kawaida kwa kila hisa 1 ya kawaida iliyoko. Na thamani ya hisa pia itabadilika kutoka shilingi 2 za Kenya kwa kila hisa hadi senti 50 za Kenya kwa kila hisa.”

8. Kufanya shughuli nyengine yoyote ya kampuni ambayo ilani yake imepokewa.

Kwa amri ya Halmashauri



Judy Nyaga
Katibu wa Kampuni

5 Mei 2011

Fahamu 1: Mwenyehisa anayeruhusiwa kisheria kuhudhuria mkutano mkuu na kupiga kura ana haki ya kumchagua mwakilishi atakayehudhuria kwa niaba yake. Mwakilishi huyo si lazima awe ni mwenyehisa wa kampuni. Ili ikubalike, fomu ya mwakilishi (ambayo inaweza kupatikana kwa ofisi ya Msajili wa Hisa au kwa tovuti ya Kampuni) ni lazima ikamilishwe kujazwa na mwenyehisa na lazima iwasilishwe kwa Msajili wa Hisa za Kampuni, Custody and Registrars Services, ghorofa ya sita Jumba la Bruce, Barabara ya Standard, Nairobi au itumwe kwa Custody and Registrars Services kupitia posta, S.L.P. 8484-00100 Nairobi ili imfikie Msajili kabla ya saa tano asubuhi, siku ya Jumatano 25 Mei, 2011.

Fahamu 2: Uandikishaji wa wenye hisa na waakilishi katika Mkutano Mkuu wa Mwaka utanza saa mbili asubuhi 27 Mei, 2011. Wenye hisa na waakilishi watahitajika kubeba vitambulisho vyao pamoja na nakala husika ya taarifa ya akaunti ya shirika kuu la amana na mapatano (CDSC) ili kurahisisha utaratibu wa uandikishaji.



“

*We are confident
in the Bank's
proven strategy
and well diversified
business, which
is supported by
excellently trained
and experienced
employees.*

”

OVERVIEW

The year 2010 in many ways was a turning point for our economy. After two decades of pressing for constitutional reform, Kenyans ushered in a new constitution which was written with public participation and unveiled on 27th August. Among many other benefits, the constitution is set to contribute to balanced growth and stronger economic and political governance.

Other government-led initiatives that laid the foundation for more efficient trading both within and across our borders include significant infrastructure (telecommunications and roads) investments; a regional integration agenda; and a monetary policy stance that is determined to spur innovation and create an enabling environment for greater distribution and affordability of financial services.

We have shared this positive sentiment throughout the year, and made significant investments in the business in order to position the Bank to leverage the opportunities that we foresee in the immediate and long term future.

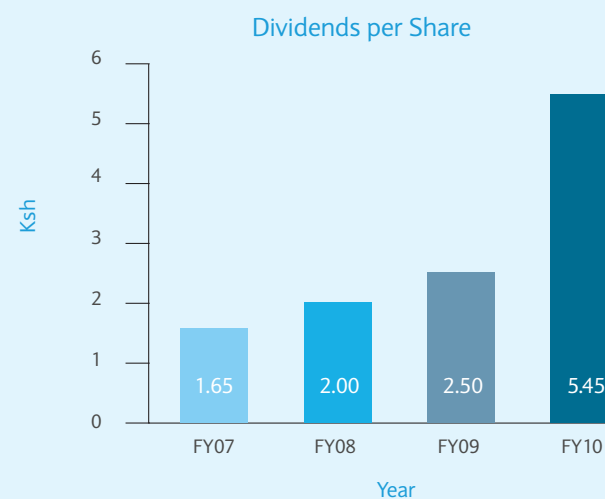
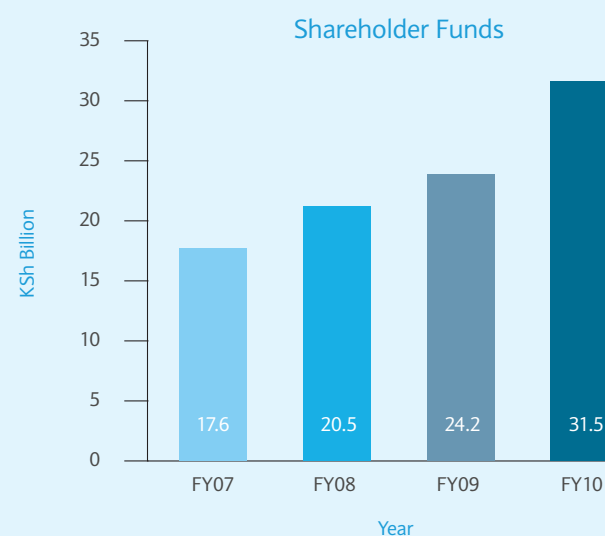
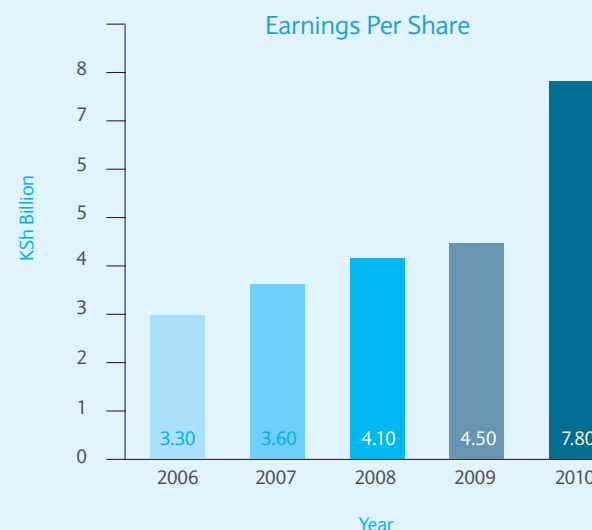
BANKING SECTOR DEVELOPMENTS

The stable macro economic conditions have benefited most industries including but not limited to manufacturing, ICT, agriculture, construction and financial services. While there were several developments across these industries, I will comment specifically on the Banking Sector.

The Banking Sector players continued to innovate in response to mounting competition towards the common goal of offering customers greater convenience.

The convergence of banking services and mobile telephony peaked during the year with several players signing up with mobile service providers to launch payment solutions. In response to these dynamics, Barclays signed a partnership with Safaricom, augmenting our Hello Money mobile banking service which we launched in 2009. Use of advanced technologies will continue to be a key driver of growth and a differentiator among banks. Mobile telephony is where the real innovation and development is taking place within the financial services industry.

Other positive developments include the licensing of bank agents (agency banking) as well as deposit taking micro finance institutions; and the introduction of Credit Information Sharing following amendments to the Banking Act.



BARCLAYS PERFORMANCE

Barclays posted another solid year in terms of profitability. Barclays Kenya's profit before tax increased by 51% to Kshs 13.5 billion (2009: Kshs 9 billion), with underlying profits excluding the sale of the Custody business increasing by 20% to Kshs 10.7 billion.

Following a review of performance, the Board of Directors resolved to recommend to shareholders a final dividend of Kshs 4.70 per share, bringing the total dividend payout to Kshs 5.45 per share for the year, up 118% from 2009 figures. At the same time, subject to shareholder and regulatory approvals, the board resolved to recommend to shareholders a share split of 4 for every 1 of the existing ordinary shares held, making Barclays shares more available on the Nairobi Stock Exchange.

We are confident in the bank's proven strategy and well diversified business, which is supported by excellently trained and experienced employees.



Barclays made significant investments during the year in order to reach more customers and position the Bank for growth.

RESPONSIBLE BANKING

As a global financial services business, we have an important role to play in facilitating access to banking services which can transition our communities to financial independence. We therefore form partnerships that focus on improving the quality of life for the less privileged by extending and developing access to basic financial services.

An example is our partnership with CARE and Plan International. The project is based on the Group Savings and Loans model (GS&L), a savings-led community finance initiative whereby individuals in a community join together in groups ("chamas") to save regularly and access small loans from a group fund. The unique and pioneering microfinance initiative aims to reach over 100,000 people in Kenya.

The project seeks to create over 4,000 GS&L groups aimed at increasing financial literacy to improve the quality of life, and enhance household income over three years.

Together with CARE and Plan International, we have already formed approximately 800 groups and have observed vibrant transactions taking place. Total funds in circulation are in excess of Kshs 1 million.



Barclays Group CEO Bob Diamond visited small farmers who benefit from the Bank's financial literacy and training programme.

FOSTERING SMALL BUSINESS INNOVATION

Barclays continually seeks to promote small business growth through innovative and sustainable business models. To this end, we teamed up with Global Villages Energy Partnership (GVEP) International to sponsor a Clean Energy business plan competition, targeting entrepreneurs with innovative clean energy projects in East Africa.

From the different countries, we received numerous exciting entries which were narrowed down to the companies that best demonstrated their potential for local economic impact through the use of clean or renewable energy. The winners will be provided with funding to help grow and establish their companies.

During the year, I had the pleasure of hosting the Kenya finalists, namely Sky Link, a biogas provider; PECOL, a company which employs plastic and tyre waste to create high value industrial materials; Kenya Eco Energy Enterprise (KEE), which markets biodiesel and oil products; and Thiba Hydro, a community of farmers that established a mini hydro plant in Kirinyaga.

I look forward to sharing with you the progress of this initiative in 2011.

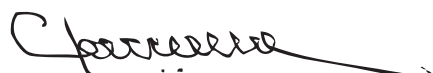
LOOKING FORWARD

Africa is growing faster than any other part of the world. Its promise is held by greater social and political stability, resilient regional economies and the rapid emergence of middle classes across the continent.

We are committed to grow our footprint across Africa, including here in Kenya and throughout the East Africa region. We have recently demonstrated this commitment by doubling our branch network between 2007 and 2009, continuing to launch innovative products and distribution channels over the past four years and most recently taking on a significant investment to upgrade the bank's IT system.

Looking forward, we will seek to partner with our valuable stakeholders to deliver superior performance through relentless focus on customers and clients needs.

In conclusion, I wish to pay tribute to Barclays shareholders, customers, employees and partners, for their continuing support to the bank and confidence in the bank's Board and Management. I commend the Government and the regulators for their invaluable support and contribution to the development of a sound banking sector.



Francis Okomo-Okello
Chairman



Thiba Small Hydro Project is a 130 KW project community-managed initiative set up by tea farmers in Kirinyaga. It currently connects 160 households. With grant support and a loan guarantee from Barclays, the project will reach 300 homes.



“

Tuna imani na mkakati wa benki uliojaribiwa na biashara imara anuwai inayoimarishwa na wafanyikazi waliopokea mafunzo bora na wenye uzoefu.

”

MAELEZO YA JUMLA

Kwa njia nyingi, mwaka wa 2010 umekuwa kipindi muhimu kwa uchumi wetu. Baada ya miongo miwili ya kupigania mageuzi ya katiba, Wakenya waliidhinisha katiba mpya ambayo iliandikwa kwa umma kushirikishwa na kutangazwa rasmi tarehe 27 Agosti. Miongoni mwa manufaa mengi mengine, katiba itachangia ukuaji wa usawa na udhibiti ulioimarika kiuchumi na kisiasa.

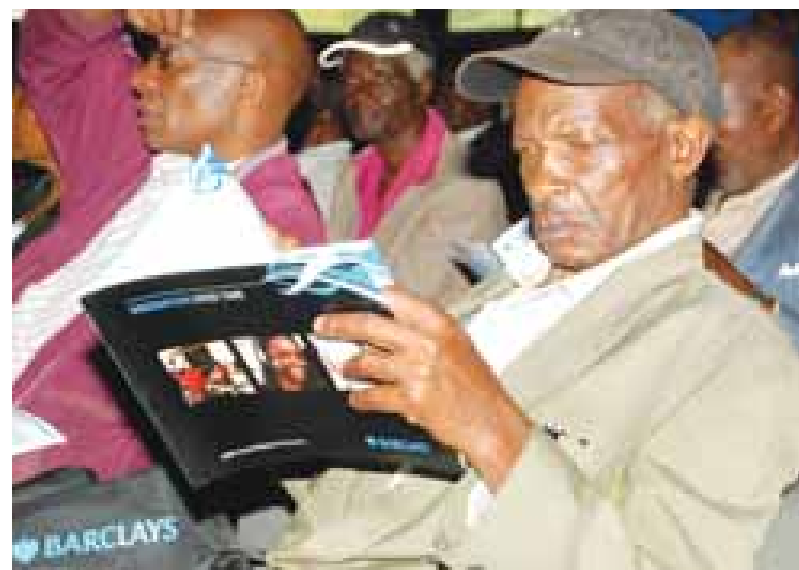
Mambo mengi yaliyoongozwa na serikali ambayo yaliweka msingi wa ufanisi wa kibiashara ndani na nje ya nchi ni pamoja na uwekezaji katika muundo msingi (mawasiliano na barabara); ajenda ya muungano wa jumuiya; na msimamo wa sera ya fedha ambao unalenga kuhimiza ubunifu na kuwepo kwa mazingira bora ya usambazaji wa huduma za kifedha na za gharama nafuu.

Tumeelezana hisia hizo mwaka mzima na tukafanya uwekezaji muhimu ili kuiwezesha benki itumie fursa zinazojitokeza katika muda mfupi ujao na siku za usoni.

MAENDELEO KATIKA SEKTA YA BENKI

Hali thabiti za uchumi mkubwa umenufaisha viwanda vingi vikiwemo lakini sio tu katika utengezaji bali pia katika ICT, kilimo, ujenzi na huduma za kifedha. Huku kukiwa na maendeleo kadhaa katika viwanda hivyo, nitazungumzia zaidi sekta ya benki.

Washiriki wa sekta ya benki waliendelea kuwa wabunifu katika kukabiliana na ongezeko la ushindani unaolenga kuwapa afueni wateja.



Mshiriki mali wa Barclays afuata maendeleo katika mkutano mkuu wa kila mwaka.

Kuletwa pamoja kwa huduma za benki na simu kuliimarika mwaka huu huku washiriki kadhaa wakiandika mkataba na makampuni ya utoaji huduma za simu ili kuzindua suluhu za ulipaji. Katika kukabiliana na hali hizi za elimumwendo, Barclays ilitia saini ya ubia na Safaricom na kuikuza huduma yetu ya Hello Money ambayo tuliizindua mwaka wa 2009. Matumizi ya teknolojia iliyoboreshwa yataendelea kuwa muhimu katika ukuaji na utofautishaji wa benki. Matumizi ya simu katika shughuli za benki ndiko ambako ubunifu wa uhakika na ustawi uliko katika sekta ya huduma za kifedha.

Maendeleo mengine ya manufaa ni pamoja na utoaji leseni kwa mawakala wa benki (uwakala wa shughuli za benki) pamoja na taasisi ndogo za kifedha za kuweka amana; na kuanzishwa kwa utoaji habari kuhusu wanaoomba mikopo kufuatia marekebisho ya sheria ya Benki.

MATOKEO YA BARCLAYS

Barclays imekuwa na mwaka mwengine wa uhakika kuhusiana na faida. Faida ya Barclays Kenya imeongezeka kwa asilimia 51 kabla ya kutozwa ushuru hadi Shilingi milioni 13,553 (2009: Shilingi bilioni 9,002), huku faida hiyo ikiwa haikujumuisha uuzaji wa biashara ya kuhifadhi amana imeongezeka kwa asilimia 20 hadi Shilingi milioni 10,775.

Kufuatia uhakiki wa matokeo, Halmashauri ya wakurugenzi imeamua kupendekeza wenyehisa walipwe mgawo wa mwisho wa Kshs 4.70 kwa kila hisa katika mwaka wa 2010, ongezeko la asilimia 118 kutoka mgawo wa 2009. Wakati huohuo kwa kutegemea idhini ya wenyehisa na mdhibiti wa soko, Halmashauri imeamua kupendekeza kwa wenyehisa kugawanya hisa katika uwiano wa hisa nne kwa kila hisa moja ya kawaida ili kuwezesha hisa zaidi za Barclays zipatikane katika Soko la Hisa la Nairobi.

Tuna imani na mkakati wa benki uliojaribiwa na biashara imara anuwai inayoimarishwa na wafanyikazi waliopokea mafunzo bora na wenye uzoefu.

UWAJIBIKAJI KATIKA KUENDESHA SHUGHULI ZA BENKI

Kwa sababu ni biashara ya huduma ya kifedha duniani, tuna jukumu muhimu katika kusaidia upatikanaji wa huduma za benki ambazo zinaweza kubadilisha jamii zetu kuwa na uhuru wa kifedha. Na hivyo tutabuni ubia utakaolenga kuboresha maisha ya wasiobahatika kwa kufikia na kuendeleza upatikanaji wa huduma za kimsingi za kifedha.

Mfano ni ushirikiano wetu na shirika la kimataifa la CARE and Plan. Mradi umetokana na mfumo wa uwekaji akiba na mikopo kwa makundi (GS&L), mpango wa jamii wa kuweka akiba ambapo kila mmoja katika jamii anajiunga na kikundi ("vyama") kuweka akiba mara kwa mara na kupata mikopo midogo midogo kutoka kwa hazina ya chama. Mpango huu wa kipekee wa kifedha unalenga zaidi ya watu 100,000 nchini Kenya.

Mradi huu unanuia kubuni zaidi ya makundi 4,000 ya GS&L yanayolenga kuongeza ufahamu wa elimu ya kifedha, kuboresha maisha na kuimarisha mapato ya nyumbani katika muda wa miaka mitatu.

Pamoja na shirika la kimataifa la CARE and Plan, tayari tumeunda takriban makundi 800 na tumeshuhudia shughuli nyingi za kibiashara. Jumla ya fedha zilizoko katika mzunguko ni zaidi ya shilingi milioni 1



Barclays ilianzisha ubia wa utoaji mafunzo ya kifedha katika maeneo ya vijijini.

UENDELEZAJI UBUNIFU WA BIASHARA NDOGO NDOGO

Barclays itaendelea kusaidia ukuaji wa biashara ndogo ndogo kupitia ubunifu na mitindo ya kuhimili biashara. Kuhusiana na hilo, tulishirikiana na shirika la kimataifa la Global Villages Environmental Program (GVEP) kudhamini shindano la mpango wa biashara ya kawi isiyochafua mazingira, tukiwalenga wajasiriamali wenye ubunifu wa miradi ya kawi safi Afrika Mashariki.

Kutoka nchi tofauti, washiriki wengi walijiorodhesha na tuliwapunguza katika makampuni ambayo yalionyesha uwezo mzuri wa kuwa na athari za kiuchumi katika nchi zao kupitia matumizi ya kawi safi au kawi jadidifu. Washindi watapewa fedha za kuwasaidia kuanzisha na kukuza makampuni yao.



Barclays ni benki ya kwanza inayoongeza ujuzi anuwai kuchochea ukuaji wa muda mrefu.

Katika mwaka huu, nilifurahi kuwa mwenyeji wa wakenya waliofika fainali, ni Sky Link, hutoa bayogesi; PECOL, kampuni inayotumia plastiki na taka za matairi kutengeza bidhaa za viwanda za thamani kubwa; Kenya Eco Energy enterprise (KEE), hutafuta soko la bidhaa za mafuta na bayodizeli; na Thiba Hydro, kundi la wakulima ambalo lilianzisha kiwanda kidogo cha kuzalisha kawi kupitia maji katika eneo la Kirinyaga.

Ninasubiri kwa hamu na ghamu kukueleza hatua iliyopigwa mwaka wa 2011 kuhusu mpango huu.

MATARAJIO YA BAADAYE

Afrika inakua kwa kasi kubwa zaidi kuliko eneo lengine lolote duniani. Hali hiyo inatokana na uthabiti mkubwa wa kijamii na kisiasa, chumi imara za kimaeneo; na kuibuka kwa kasi kwa tabaka la kati (walalaheri) kote barani.

Tumejitolea kuwa kila mahali Afrika pamoja na hapa Kenya na kanda ya Afrika Mashariki. Hivi majuzi tumethibitisha hilo kwa kuongeza maradufu mtandao wetu wa matawi kati ya 2007 na 2009; tumezidi kuzindua bidhaa na njia za usambazaji katika muda huo wa miaka minne; na hivi punde tumefanya uwekezaji muhimu wa kuboresha mfumo wa Benki wa tekonolojia ya habari (IT).

Katika matarajio ya baadaye, tutatafuta kushirikiana na wadau wetu kupata matokeo bora kupitia kushughulikia mahitaji ya wateja wetu bila ya kikomo.

Kwa kuhitimisha, ningependa kutoa shukrani kwa wenyekisi wa Barclays, wateja, wafanyikazi na wabia kwa kuendelea kuisaidia benki na kuwa na imani na Halmashauri na usimamizi wa Benki. Naipongeze serikali na wadhibiti kwa msaada na kuchangia ustawi wa sekta thabiti ya benki.

Francis Okomo-Okello
Mwenyekiti

“

We delivered excellent financial results in 2010 in a low interest environment. This was possible due to the roll-out of innovative products and services across the various business segments, enhanced business efficiency, and prudent margin management.

”



PERFORMANCE REVIEW

We maintained a positive outlook and strengthened the business with the introduction of new products and offerings for both consumer and corporate clients. Key activities included revamping our propositions and introducing new distribution channels and linkages with Internet and mobile banking.

Through our efforts, we saw Barclays profit before tax increase by 51% to Kshs 13.5 billion, which includes proceeds from the sale of the custody business. Total assets strengthened to Kshs 172 billion (2009: Kshs 165 billion), and our customer deposit base was stable at Kshs 124 billion.

In this solid financial performance, we have seen growth in total income – driven largely by interest margin management as well as activity in loans, thereby increasing our fees and commissions.

Furthermore, despite pressure on margins we took a leadership position in the banking industry and lowered lending rates in response to reduced Central Bank rates. This led to an overall reduction in interest rates in the industry as well as increased economic activity across the country.

During the period under review, we maintained a first-class credit profile through strong risk management. We witnessed better than planned performance in our overall impairment with corporate loans reporting minimal loan impairments and consumer loan recovery rates improving by 6 per cent compared to the previous year. However, overall levels of impairment increased by approximately Kshs 700 million.

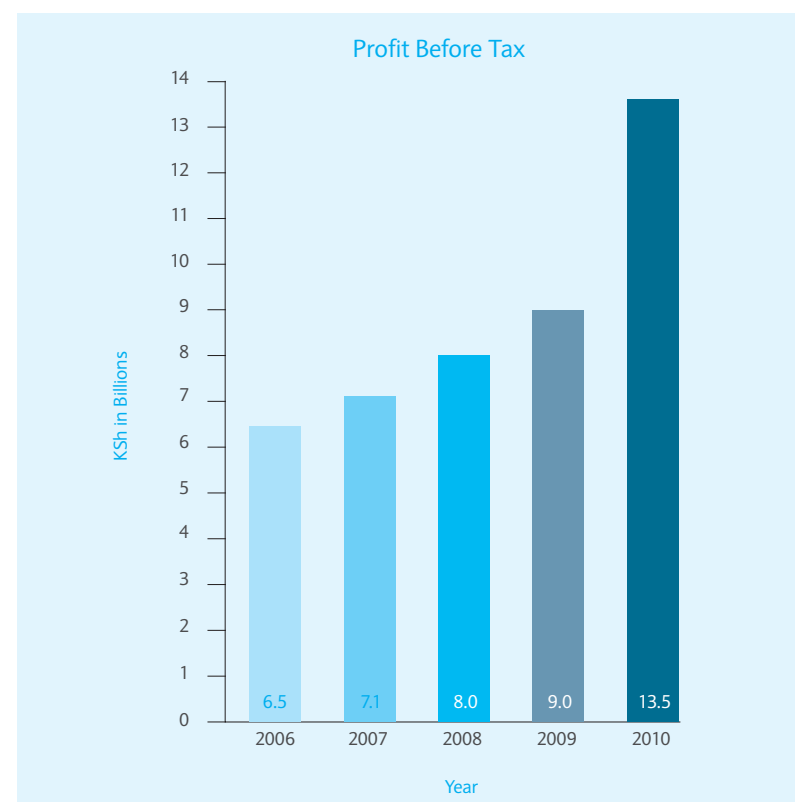
Finally, operating expenses excluding loan impairments increased marginally to Kshs 14 billion from Kshs 13.9 billion in 2009. With ever-increasing pressure on interest margins, the need for operational efficiencies gets into sharper focus. As a result, we made a restructuring provision of Kshs 767 million at the end of the fourth quarter in an effort to maximise operating efficiencies for year 2011 and beyond.

RISK MANAGEMENT

The positioning and diversification of our loan portfolio has helped us to remain profitable throughout the unprecedented global market uncertainty that we have witnessed in recent years.

A strong risk management framework to maintain excellent performance remains our key priority area of focus. Therefore, our risk management objectives ensure that we:

- Work to identify and manage significant risks to our business so that specific financial deliverables remain possible under a range of adverse business conditions;
- Formulate our risk appetite and ensure that the Bank's business profile and plans are consistent with the parameters that are set by the board; and
- Make risk/return decisions within a strong and independent review and challenge structure.



In addition to how we manage business risk, our credit risk approach ensures that we continually equip Barclays leadership and management to improve the control and co-ordination of risk taking across the business. We therefore have structured the responsibilities of Wholesale and Retail Credit Risk Management so that decisions are taken as close as possible to the business, whilst ensuring a robust review and challenge of performance, risk infrastructure and strategic plans. As a result, our wholesale asset book has an excellent profile and our consumer portfolio demonstrated good quality with a steady decline in non-performing loans.

TECHNOLOGY INVESTMENT

At the beginning of the year, we announced our plans to implement a new business-wide technology platform that streamlines core banking operations and improves efficiency. Total Technology Investment of approximately Kshs 3.3 billion positioned the bank to provide enhanced products and services to our customers, further facilitating the ease with which customers transact business with us.

The technology platform is a more secure, reliable and flexible system which is scalable for future business growth. It also features a user-friendly interface which enables our employees to serve customers more comprehensively.

Customers already have started experiencing the benefits of the upgrade with the launch of new services such as Internet Banking. The system has reinforced our Customer Service capabilities which are anchored on our Contact Centre that operates 24 hours a day, seven days a week.

CONSUMER BANKING

Consumer Banking is made up of Retail Banking and Credit Card. Through these businesses, we continuously look at ways of enhancing our financial products and services to ensure we anticipate and meet the evolving needs and expectations of our customers. The Business Club is an example of the various propositions that the bank uses to add value to our Consumer Banking customers.

Retail Banking:

This year, it was important for us to go back to the basics, and make banking much easier and more convenient for our customers. In addition to streamlining some of our processes, we rolled out additional distribution channels such as Internet Banking and strengthened our Hello Money Mobile Banking proposition through a strategic alliance with Safaricom.

In Islamic Banking, we unveiled innovative Shariah-compliant personal loans and vehicle finance products. As the first bank to launch Islamic products in Kenya, Barclays is committed to continuously enhance the Islamic banking landscape to ensure customers enjoy a fulfilling banking experience.

One of our key consumer market segments is the small and medium sized business sector, which we view as an engine for economic growth. We therefore are keen to extend credit to the sector to stimulate business activity.



Barclays management demonstrate the new Internet banking service.

Business Club:

Since the inception of the Barclays Business Club seven years ago, more than 4,000 members have visited several countries and made valuable business contacts, which have enabled the members to expand their businesses and transact approximately Kshs 3 billion worth of business.

During the year under review, we organized trips to Rwanda, Burundi, United States of America, Brazil and China. We also facilitated a networking seminar in Masai Mara, and hosted a trade expo to give club members an opportunity to promote their products and services.



Our mortgage specialists make buying your home easy

Most people dream of owning their own home one day. But it's a big commitment. And it can seem complicated and daunting.

That's why you should let one of our mortgage specialists guide you through the process. We've been helping people with advice on mortgages for years, so we have the knowledge and experience to make owning your home simple.



To arrange a visit from one of our mortgage specialists call: (020) 390 0000 or email us on: mortgages@barclays.com

A mortgage campaign was launched featuring one of the best rates in the market.

Besides organising trade missions and hosting expos, the Barclays Business Club has other value-added offerings, including facilitating quarterly seminars on tax management, marketing, investment, and financing options.

Credit Card:

In addition to bringing innovative products and services to the market, this year we delivered on our promise to reward our customers through the introduction of a card loyalty program, therefore enhancing affinity to our strong Barclays brand.

We strengthened our credit card balances with a new installment product, called "Beba Sasa na Barclaycard". Beba Sasa is unique in that it allows our credit card customers to purchase high-value items and pay in installments.

CORPORATE BANKING

One of our key commitments during the year was to get closer to our customers and better anticipate their requirements. We delivered on this promise by:

- Establishing a cash collection centre in Industrial Area, Nairobi, to bring our services to manufacturers and large businesses in the area.
- Enhancing our capabilities through investments in technology.
- Increasing the functionality and stability of our Internet banking system.

As a further step to enhance the product offering for business customers, we entered into strategic alliances with a number of key service providers. We've also worked with utility providers to enable their customers to enjoy greater convenience.

On the customer service front, we commenced a journey towards achieving service excellence through undertaking a detailed assessment of our processes ranging from basic handling of customer queries to more complex matters such as credit applications. This assessment has resulted in a robust and comprehensive approach to how we manage our customer relationships.

Looking forward, we hope to further entrench our support to corporate customers by leveraging existing relationships to extend further support to their suppliers, distributors and staff through a mix of corporate solutions specifically tailored to them.

TREASURY SERVICES

The year under review saw the local foreign currency market recover from the global recession that had been experienced in the previous year. This helped our treasury business to record an improvement in foreign exchange trading income from Kshs 2.19 billion in 2009 to stand at Kshs 2.35 billion in 2010.

The Government's strategy to stimulate economic growth through increased private sector lending saw the CBK Monetary Policy Committee push rates to a historical low. The yield curve dropped by more than 400 basis points significantly impacting accrual income. This saw the industry adjust the bench mark base lending rates downwards to reflect the credit easing approach adopted by the monetary policy committee.

While the low interest rate environment negatively impacted revenues from investments in government papers, it provided a great opportunity for fixed income trading thereby boosting the overall treasury performance.

Improved export flows into the country cushioned the local unit against international fluctuations brought on by financial sector concerns in Europe and the US thereby allowing the Kenya shilling to record an impressive level of stability throughout the year.



Barclays partnered with the Institute of Certified Public Accountants (ICPAK) to host seminars for small and medium sized businesses (SMEs)



The Euro Finance conference on treasury, risk and cash management was sponsored by the Bank.



Employees are routinely recognised for their contribution to the Bank's performance.

HUMAN RESOURCES

We recognise that Barclays employees are a crucial component of our success story. They drive performance and enable the organisation to realise its ambitions.

Barclays has long been considered an employer of choice and given the competition for talent we are up against, we hold that coveted position in the highest regard.

We are thankful for our engaged and motivated employees, who work together as a team through a robust human resources framework that includes professional development, training and mentoring, rewards and benefits.

In addition to rewarding careers, we offer our employees opportunities for personal fulfillment through participation in numerous community programmes as part of our Citizenship Agenda.

Additional details on our activities and initiatives in relation to the Corporate Citizenship Agenda are reflected on pages 24 through 28 of this Annual Report.

Barclays Bank has been at the forefront to support diversity and inclusion at its work place. The Bank launched the Kenya Women Network Forum (WNW) in 2010 to enhance women's careers and champion the role of women at the workplace. We have managed to attract female talent with professional experience which is at par with their male counterparts.

INDUSTRY RECOGNITION

Barclays is the leading financial services provider in the country. The Bank's performance and leadership position was recognized during the year with several industry and business awards. These include: Best Bank in Kenya (African Banker award); Best Emerging Markets Bank in Kenya (Global Finance Magazine); Best Commercial Bank (Banking Awards); Best Internal Communications Campaign (Public Relations Society of Kenya); and Company of the Year (COYA) – First Runner Up.

We operate in an industry with more than 40 highly competitive players. Therefore, being consistently recognized as we have been over the years, is something that we feel very proud of. We owe our successes to our customers and employees, who help us achieve our goals in many ways every day.

CONCLUSION

Looking ahead, we anticipate that the market place will become increasingly competitive in the coming years. We realize the impact this is likely to have on our performance and priorities. We therefore will continue to work hard to deliver on the promises we make, particularly to our customers and shareholders, with our focus being on how we execute our 2011 priorities, including delivering on greater operational efficiencies and top line growth.

In conclusion, I would like to thank our customers for their unfailing support and the Board, Management team as well as the other colleagues for their diligent contribution to the bank's success over the years. We also sincerely thank our shareholders for their support during the year.

Adan Mohamed
Managing Director



“Tulipata matokeo bora katika mwaka wa 2010 katika mazingira ya viwango vya chini vya riba. Matokeo hayo yalitokana na bidhaa mpya na huduma tulizoanzisha katika sehemu tofauti za biashara, utendaji bora wa kibiashara, na usimamizi wa busara.”

UCHAMBUZI WA UTENDAJI

Tulidumisha matarajio yetu na tuliimarisha biashara kwa kuanzisha bidhaa mpya na matoleo kwa wateja na mashirika. Shughuli kuu zilijumuisha upigaji jeki wa rai zetu, na kuanzishwa kwa njia mpya za usambazaji na uunganishi wa intaneti na shughuli za benki kupitia simu. Kupitia juhudi zetu, faida ya Barclays kabla ya kutozwa ushuru iliongezeka kwa asilimia 51 hadi shilingi bilioni 13.5; hii ikijumuisha mapato ya mauzo ya biashara ya huduma ya utunzaji. Thamani ya mali imeongezeka hadi shilingi bilioni 172 (2009: shilingi bilioni 165), na msingi wa uwekaji amana wa wateja ulikuwa thabiti katika kiwango cha shilingi bilioni 124. Katika matokeo haya bora, tumeona ukuaji wa mapato ya jumla-yaliyotokana zaidi na usimamizi wa riba pamoja na mikopo, na hivyo malipo yetu yaliongezeka.

Zaidi ya hayo, licha ya shinikizo kuhusu faida, tuliongoza katika sekta ya benki na tulipunguza viwango vya riba vya mikopo kufuatia kupungua kwa viwango vya Benki Kuu. Hali iliyosababisha kupungua kwa viwango vya riba katika sekta yote pamoja na kuongezeka kwa shughuli za kiuchumi kote nchini. Katika kipindi hiki tunachokichambua, tulidumisha sifa safi kabisa ya mkopo kupitia mfumo thabiti wa kufidia hasara. Tulipata matokeo bora kuliko yaliyopangwa katika hasara yetu ya jumla huku mikopo kwa mashirika ikiwa na hasara ya kiwango cha chini ya mkopo na ulipaji wa mkopo wa mteja ukiimarika kwa asilimia 6 ikilinganishwa na mwaka uliotangulia. Hata hivyo, viwango vya hasara viliongezeka hadi shilingi milioni 700.

Hatimaye gharama za kuendesha biashara mwaka wa 2009 bila ya kujumuisha mikopo isiyolipwa iliongezeka hadi shilingi bilioni 14 kutoka shilingi bilioni 13.9. Huku shinikizo likiongezeka kuhusu viwango vya riba, haja ya ufanisi wa utendaji inapewa mtazamo mkali. Kutokana na hilo, tumetenga shilingi milioni 767 kwa ajili ya upangaji upya katika robo ya mwisho ya mwaka katika juhudi za kupata ufanisi wa utendaji bora katika mwaka wa 2011 na zaidi.

MFUMO WA KUFIDIA HASARA

Namna na upanuzi wa fedha zilizowekwa kwa mkopo wetu umetusaidia kusalia kuwa na faida katika kipindi chote kisichokuwa na mfano cha ukosefu wa uhakika katika soko la dunia ambacho kimeshuhudiwa katika miaka ya hivi karibuni.



buy big and pay small with beba sasa

Introducing **Beba Sasa**, the new Easy Instalment Plan from Barclaycard.

Choose any item over Ksh 10,000 within your credit limit from selected stores and you can pay in small equal monthly instalments for up to **36 months**. It could be a new flat screen TV, a suite of furniture or even that holiday you've been dreaming of.

Beba Sasa is just part of a brand new initiative aimed at keeping you one step ahead.

If you don't have a Barclaycard, apply now and you'll soon be able to **Beba Sasa**. Give us a call on **(020) 390 0000** to find out more.

[Terms and conditions apply](#)



Barclays ilizindua kadi ya mkopo kwa ajili ya wateja kununua vitu vya thamani kubwa na kulipa polepole

Mfumo madhubuti wa kufidia hasara ili kudumisha matokeo bora utasalia kuwa mtazamo wetu wa kupewa kipaumbele. Na hivyo, malengo ya mfumo wetu wa kufidia hasara yanahakikisha kuwa:

- Tunafanya kazi kutambua na kusimamia mtaji muhimu kwa biashara yetu ili uwasilishaji maalum wa kifedha uwe unawezekana hata katika hali zisizofaa.
- Tunabuni uchu wetu wa kufidia na kuhakikisha biashara ya Benki na mipango yake inakubaliana na vigezo vilivyowekwa na Halmashauri; na
- Tunayapa umuhimu maamuzi yetu ya kufidia katika uchambuzi huru na thabiti na muundo wa changamoto.

Kwa kuongezea kuhusu jinsi tunavyosimamia biashara ya kufidia hasara, utaratibu wetu wa mkopo unahakikisha kuwa tunaendelea kuuandaa uongozi wa Barclays na usimamizi kuboresha uhabiti na ushirikishi wa kufidia hasara katika biashara yote. Na hivyo tumepanga majukumu ya usimamizi wa mikopo kwa mashirika na usimamizi wa mikopo ya rejareja ili maamuzi yafanywe karibu zaidi na biashara huku kukiwa na uhakika wa uchambuzi wa kina na mipango ya changamoto ya matokeo na muundo msingi wa kufidia.

Na matokeo yake ni kuwa ni daftari letu la mali ya jumla ni safi na orodha ya wateja wetu inaonekana bora huku kukiwa na upungufu wa mikopo isiyolipwa.

UWEKEZAJI WA TEKNOLOJIA

Mwanzoni mwa mwaka huu wa 2010, tulitangaza mipango ya kuweka teknolojia mpya ya kibiashara ambayo inaboresha shughuli muhimu za benki na utendaji bora. Uwekezaji wa teknolojia wa thamani ya shilingi bilioni 3.3 utaisaidia Benki kutoa bidhaa na huduma zilizoimarishwa kwa wateja, na hivyo kurahisisha zaidi jinsi wateja wanavyofanya biashara na sisi.

Mfumo wa Teknolojia hiyo ni salama zaidi, wa kuaminika na kutegemewa na unaweza kubadilika na hivyo unaweza kurekebisha kwa ajili ya ukuaji wa biashara katika siku za usoni. Pia ni rahisi kwa kutumia na unawawezesha wafanyikazi wetu kuwahudumia wateja kwa ueleva zaidi.

Wateja tayari wameanza kunufaika na mabadiliko hayo baada ya kuzinduliwa kwa huduma mpya kama za utekelezaji shughuli za benki kupitia intaneti. Mfumo huo umeimarisha uwezo wa huduma zetu kwa mteja ambao uko katika kituo chetu cha mawasiliano kinachohudumu saa 24 kwa siku, siku saba kwa wiki.



Ufunguzi wa tawi la Barclays la Waiyaki Way, Nairobi



Utiaji saina mkataba wa ubia wa Barclays na KPLC

HUDUMA ZA BENKI KWA MTEJA

Huduma za benki kwa mteja zinajumuisha huduma za rejareja na kadi ya mkopo. Kupitia biashara hizi, tunaendelea kuangalia njia za kuimarisha bidhaa na huduma zetu za kifedha kuhakikisha tunawahi na kutimiza mahitaji na mabadiliko ya wateja wetu.

Huduma za benki za rejareja:

Mwaka huu ilikuwa muhimu kwetu kurejea katika mambo ya kimsingi, na kurahisisha shughuli za benki pamoja na kuzifanya kuwa rahisi zaidi kufikiwa na wateja wetu. Zaidi ya hayo katika uboreshaji wa baadhi ya shughuli zetu, tulitoa njia zaidi za uenezaji huduma kama matumizi ya Intaneti katika shughuli za benki na uimarishaji wa huduma yetu ya simu ya Hello Money kupitia ushirikiano na Safaricom.

Katika shughuli za benki chini ya mfumo wa Kiislamu, tulizindua utoaji mikopo na huduma za ununuzi wa magari kuambatana na Sharia. Kama benki ya kwanza iliyoanzisha huduma za kiislamu nchini Kenya, Barclays imejitolea kuendelea kuboresha shughuli za benki chini ya mfumo wa kiislamu kuhakikisha wateja wanafurahia na wanatosheka na huduma zetu.

Moja ya soko letu muhimu la wateja ni sekta ya biashara ndogo ndogo na wastani, ambayo tunaiona kama mhimili wa ukuaji wa kiuchumi. Na hivyo tungependa sana kupanua mkopo katika sekta hiyo na kuchochea shughuli za kibiashara kupitia klabu yetu ya biashara ya Barclays.

Klabu ya biashara:

Tangu klabu ya biashara ya Barclays ianzishwe miaka saba iliyopita, zaidi ya wanachama 4,000 wamezuru nchi kadhaa na kufanya mawasiliano muhimu ya kibiashara ambayo yamewasaidia wanachama kupanua biashara zao na kuendesha biashara ya thamani ya takriban shilingi bilioni tatu.

Katika mwaka huu wa 2010, tuliandaa safari za kwenda Rwanda, Burundi, Marekani, Brazil na China. Pia tulirahisisha kufanyika kwa warsha ya kufahamiana katika Maasai Mara na kuandaa onyesho la biashara ili kuwapa wanachama wa klabu fursa ya kupatia umaarufu bidhaa na huduma zao.

Mbali na kuandaa safari za kibiashara na maonyesho ya kibiashara, klabu ya biashara ya Barclays pia hutoa huduma za kuongeza thamani zikiwemo kusaidia kuandaliwa kwa warsha za kila robo mwaka kuhusu usimamizi wa ushuru, soko, uwekezaji na nafasi za kifedha.

Kadi ya mkopo:

Pamoja na kuingiza sokoni bidhaa mpya na huduma, mwaka huu pia tulitimiza ahadi yetu ya kuwazawadi wateja wetu kupitia uzinduzi wa mpango wa uaminifu wa kadi, na hivyo kuimarisha uvutiaji wa rajamu yetu thabiti ya Barclays.

Tuliimarisha mali zetu kwa kuanzisha bidha mpya iitwayo “beba sasa na Barclaycard”. Beba sasa ni ya kipekee kwani inawaruhusu wateja wetu wenye kadi ya mkopo kununua bidhaa za thamani kubwa na kulipa polepole.

HUDUMA ZA BENKI ZA MASHIRIKA

Sehemu ya wajibu wetu mkubwa wa mwaka huu wa 2010 ilikuwa ni kuwa karibu na wateja wetu na tutazamie mahitaji yao. Tulitimiza wajibu huu kwa:

- Kuanzisha kituo cha kukusanya pesa katika eneo la viwandani-Nairobi ili kuweka karibu huduma zetu kwa watengezaji bidhaa na wenye biashara kubwa kubwa katika eneo hilo.
- Kuimarisha uwezo wetu kupitia uwekezaji katika teknolojia; na
- Kuongeza ufanyaji kazi na uimara wa mfumo wetu wa intaneti wa shughuli za benki.

Kama hatua zaidi ya kuimarisha huduma zetu kwa wateja wafanyibiashara, tulianzisha ushirikiano na watoaji kadhaa wa huduma muhimu. Pia tumeshirikiana na watoaji huduma za umma kuwawezesha wateja wao kunufaika zaidi.

Kwa upande wa huduma kwa mteja, tulianza safari ya kulenga utoaji huduma bora kupitia tathmini ya kina kuhusu shughuli zetu kuanzia jinsi ya kushughulikia maswali ya mteja hadi masuala mazito kama maombi ya mkopo. Tathmini hiyo imepelekea kubuniwa kwa mtazamo imara wa kueleweka kuhusu jinsi ya kusimamia uhusiano na mteja wetu.

Katika kuganga yajayo, tunatarajia kufanya madhubuti msaada wetu kwa wateja ambao ni mashirika kwa kutumia ushawishi wa uhusiano ulioko ili kuwapa msaada zaidi kwa wagavi wao, wasambazaji na wafanyikazi kupitia mchanganyiko wa suluhu za mashirika uliotayarishwa kwa ajili ya malengo yao.

HUDUMA ZA HAZINA KUU

Mwaka huu unaofanyiwa uchambuzi kulionekana soko la sarafu za kigeni na za humu nchini limeimarika kutoka kwa mporomoko wa kiuchumi duniani ambao ulishuhudiwa mwaka uliopita. Hiyo ilisaidia biashara ya hazina yetu kupata ongezeko la mapato yanayotokana na ubadilishaji wa fedha za kigeni kutoka shilingi bilioni 2.19 mwaka wa 2009 hadi dhilingi bilioni 2.35 mwaka wa 2010.

Mkakati wa serikali wa kukwamua ukuaji wa uchumi kupitia utoaji mkopo zaidi kwa sekta ya kibinafsi ulipelekea kamati ya sera ya fedha

ya CBK kuweka viwango vya chini vya riba vya kihistoria. Mavuno yalipungua kwa zaidi ya alama 400 na hivyo kuathiri ongezeko la mapato. Hali hiyo ilipelekea sekta kupunguza kiwango cha riba juu ya mkopo kuambatana na mtazamo wa kurahisisha upatikanaji wa mkopo wa kamati ya sera ya fedha.

Huku mazingira ya kiwango cha chini cha riba yakiathiri vibaya mapato yanayotokana na uwekezaji katika dhamana za serikali, yalitoa fursa nzuri kwa biashara ya mapato yasiyobadilika na hivyo kuboresha matokeo ya jumla ya hazina kuu.

Kuendelea kwa usafirishaji wa bidhaa nje ya nchi kulisaidia sarafu ya humu nchini dhidi ya mabadiliko ya kimataifa yaliyotokana na wasiwasi wa sekta ya kifedha Uropa na Marekani hivyo kuruhusu shilingi ya Kenya kuwa na kiwango kizuri cha uthabiti katika mwaka wote.

MLIMBI WA WAFANYIKAZI

Tunatambua kuwa wafanyikazi wa Barclays ni sehemu muhimu ya ufanisi wetu. Wanachangia matokeo na kuliwezesha shirika kuafikia malengo yake.

Barclays kwa muda mrefu imechukuliwa kuwa muajiri wa chaguo la wengi na kufuatia ushindani wa vipawa tunao uwezo, na tunashikilia nafasi inayotamaniwa kwa uzingativu mkubwa.

Tunawashukuru wafanyikazi wetu wenye motisha, ambao hufanya kazi pamoja kama timu kupitia mfumo thabiti wa mlimbi wa wafanyikazi ambao unajumuisha ustawishaji wa kitaalamu, mafunzo na ushauri, zawadi na mafao.

Pamoja na kuwazawadi, tunawapa wafanyikazi fursa ya kutimiza malengo yao ya kibinafsi kupitia kushiriki katika mipango kadhaa ya kijamii kama sehemu ya ajenda yetu ya uanajamii.

Maelezo zaidi kuhusu shughuli zetu na hatua kuhusu ajenda ya uanajamii wa shirika yako katika ukurasa wa 24 mpaka 28 katika ripoti hii ya mwaka.



Barclays inatambua hali ya kuwa anuwai, na mwaka huu ilizindua mpango wa kuwaendeleza wafanyikazi wa kike wa Benki

Benki ya Barclays imekuwa katika mstari wa mbele kusaidia hali anuwai na za kujumuishwa katika eneo lake la kazi. Benki ilizindua mtandao wa wanawake wa Kenya(WNM) mwaka wa 2010 ili kuendeleza weledi wa kazi wa wanawake na kupigania dhima ya wanawake kazini. Tumeweza kuwavutia wanawake wenye vipawa ambao wana uzoefu wa kitaalamu ambao uko sawa na wafanyikazi wenzao wanaume.

UTAMBUZI KATIKA SEKTA

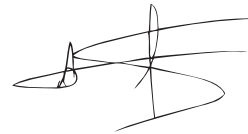
Barclays inaongoza katika utoaji wa huduma za kifedha hapa nchini. Matokeo ya Benki na uongozi wake ulitambuliwa katika mwaka huu wa 2010 kwa kupata matuzo kadhaa ya sekta ya benki na biashara. Matuzo hayo yanajumuisha: Benki bora zaidi nchini Kenya(Tuzo la benki ya Afrika);benki bora katika masoko yanayoibuka nchini Kenya (Jarida la Global Finance);Benki bora ya biashara(Matuzo ya shughuli za benki); kampeini bora ya mawasiliano ya ndani(Jamii ya uhusiano mwema ya Kenya,PRSK); na kuwa katika nafasi ya pili katika tuzo la kampuni bora ya mwaka(COYA).

Tunafanya kazi katika sekta ambayo ina zaidi ya washindani 40. Na hivyo kuendelea kutambuliwa kama inavyokuwa kwa miaka mingi, ni kitu kinachotufanya tujivunie na sio tukichukulie kama kilivyo. Mafanikio yetu yanatokana na wateja wetu na wafanyikazi ambao walitusaidia kuafikia malengo yetu katika njia nyingi kila siku.

HITIMISHO

Katika kuganga yajayo, tunatarajia kuwa soko litakuwa na ushindani zaidi katika miaka ijayo. Tunatambua uwezekano wa athari za hilo katika matokeo yetu na tunayoyapa kipaumbele. Na hivyo tutakuwa tukiendelea kufanya kazi kwa bidii kutimiza ahadi tunazoweka hasa kwa wateja wetu na wenyekazi, huku mtazamo wetu ukihusu jinsi tunatekeleza tuliyoyapa kipaumbele mwaka wa 2011, ukiwemo utendaji kazi ulio bora zaidi na ukuaji wa mapato.

Katika kuhitimisha, ningependa kuwashukuru wateja wetu kwa kuendelea kuwa waaminifu kwetu na halmashauri, jopo la usimamizi pamoja na wenzangu wengine kwa kuchapa kazi na kuchangia ufanisi wa Benki kwa miaka mingi. Pia tunatoa shukrani za dhati kwa wenyekazi kwa mchango wao mwaka huu wa 2010.



Adan Mohamed
Meneja Mkurugenzi

A close-up photograph of a family of three. A man with short dark hair and a slight smile is looking towards the right. A woman with dark hair is laughing heartily, her head tilted back, with her right arm raised high in the air. A young child with dark braided hair is leaning over the man's head, smiling and touching his forehead. The background is a clear, bright blue sky. The overall mood is one of happiness and togetherness.

*“The assurance of a bright
future comes from having the
right people around you”*

Barclays Citizenship

Table of Contents:

Economic Development

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- Education & Youth Entrepreneurship

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- Integrity at Work
- Treating Customers Fairly
- Complaint Handling
- Diversity & Inclusion
- Employee-led Community Service

Environmental Sustainability

- Environmental Policy & Compliance
- Promotion of Clean & Renewable Energy
- Capacity Building & Environmental Programmes

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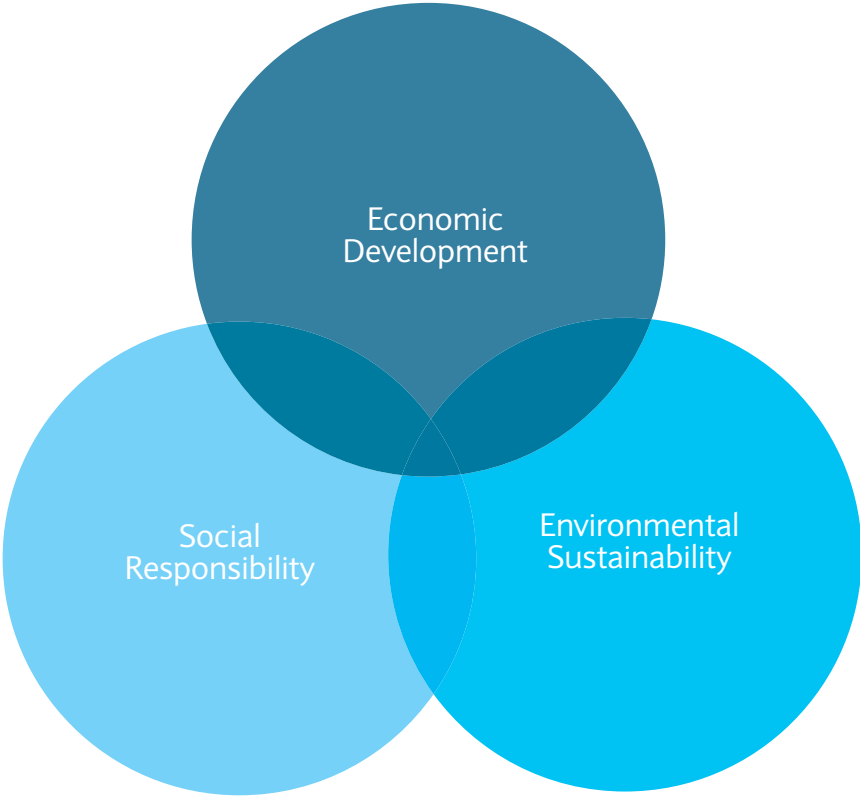
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We believe that our future success depends on us focusing on the interests of our primary stakeholders, who include Barclays customers, employees as well as the community.

During 2010, Barclays leadership undertook an assessment of the bank's social priorities. The bank's philosophy on sustainability was thereafter defined as follows:

“To stay in business for another 100 years, we must partner with our stakeholders to maximize the opportunities presented by economic, social and environmental dynamics, as well as collaborate to minimise the associated risks – both direct and indirect.”



Economic Development

We adhere to good governance and responsible practices, which ensure that the Bank continues to create value for shareholders. In addition, we contribute greatly towards economic development through business activity as well as community investment in areas such as small business growth, entrepreneurship and financial literacy.

FINANCIAL LITERACY & INCLUSION

Approximately three billion people worldwide seek access to basic financial services. As a global financial services business, we acknowledge the important role we have to play in bridging this gap. During the year, Barclays partnered with CARE and Plan International to launch the “Banking on Change” Programme. This is a unique and pioneering community-based savings and loan model with the goal of reducing poverty, and enhancing income opportunities for households in seven rural and peri-urban districts.

An estimated 800 groups have already embraced the initiative in which individuals apply proven savings and investment practices. The participating groups have managed to build an asset base of Kshs 7.6 million with 99 % of members already accessing loans to boost their businesses and support their families.

Interest revenue generated from loans in circulation is ploughed directly back into the groups’ fund to facilitate their growth and make an even greater economic impact.

Barclays is investing Kshs 200 million towards financial literacy & inclusion programmes in Kenya



Kellen Wambeti (pictured) is a beneficiary of Barclays financial literacy and inclusion programme, Banking on Change. Through this project, Kellen now has financial acumen to make better decisions for the benefit of her business as well as her family.

EDUCATION & YOUTH ENTREPRENEURSHIP

Barclays investment in the education sector is underpinned by the recognition that a skilled and high impact talent pool is critical for Kenya’s long term economic development.

As a demonstration of our commitment to the education sector, Barclays partners with schools and academic associations to provide these organizations with direct investments, as well as funding which is raised through colleague-driven activities.

Some of the beneficiaries of our educational investments in 2010 include Andulus University, Ofafa Jericho High School, Pumwani Girls High School, Wako Wario Primary School, Ikonge Primary School and Starehe Girls Centre.

Moreover, we continue to support sports and contribute towards the Kenya Secondary Schools Sports Association.



One highlight of the Barclays/Junior Achievement partnership was in October 2010, when 600 secondary school students from 14 countries across Africa showcased their talents in entrepreneurship and business management. Barclays was the title sponsor of this pan African convention.

Social Responsibility

Our social responsibility extends from the bank's 3,500 plus employees to Barclays customers and the communities in which we operate.

Principles such as integrity in all we do and Treating Customers Fairly (TCF), as well as the areas of employee health, wellness and safety are critical dynamics that affect our overall effectiveness.

INTEGRITY AT WORK

We take great pride in that Barclays has a rich legacy and reputation for integrity spanning over 95 years. We have the responsibility of safeguarding our brand and preserving the highest ethical standards in our business behaviour and practices. As a global financial institution, Barclays recognizes that bribery and corruption undermine the rule of law and adversely affect the societies and economies where they occur. It is for this reason that we have procedures and processes in place which are aimed at enhancing integrity at work and are regularly reviewed and communicated and commonly applied to all employees.

TREATING CUSTOMERS FAIRLY (TCF)

Customer Focus is a key area for all staff. It is embedded in the Company Vision, and is a key component of our Guiding Principles.

We ensure our staff demonstrate diligence in their efforts to serve our customers in a fair and acceptable manner. We are customer focused and to help us achieve this, we are guided by Barclays TCF Principles, whose basic objectives are:

- Designed to ensure high levels of consistency in our service delivery to our customers across the Barclays network;
- Benchmark standards for internal TCF measurement and reporting; and
- Based on product life cycle and key themes.

The principles are applicable to all parts of the Bank and they cover the entire life cycle of our customer journey, from the formulation of strategy, through to the development of products and services, the sales processes (including marketing & promotion) and finally through to after sales care, including how we deal with complaints.

For example, we take care to identify what products and services to provide for customers through different distribution channels ensuring that the key product/service attributes are generally appropriate and easily explainable to the relevant customers. We also build or source products and services to cater for the needs and reasonable expectations of our customers. We ensure that the products or services are suitable for the intended purposes and that relevant costs or charges are disclosed appropriately.

Where we provide advice to customers, we have robust processes for collecting and assessing the relevant customer information for our various propositions and channels and make sure that our customers are offered appropriate products and services. We ensure that appropriate quality assurance is in place.

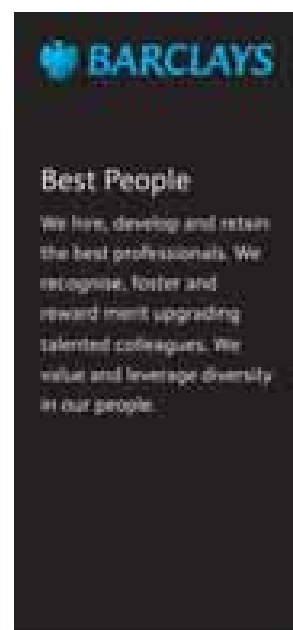
COMPLAINT HANDLING

As part of TCF, we handle customer complaints with sensitivity and in due regard for the needs and understanding of each complainant. Whilst ensuring quick turn-around on resolution of customer queries and complaints, we rely on this information to continuously improve our sales and service processes. We assess the root cause of complaints made and in instances where the complaint is upheld in favour of the customer, we ensure that any learning arising is fed back to the relevant business units to avoid future repetition. The launch of the 24-hour contact centre has immensely contributed to reducing the turn around time on complaint resolution. We also have a Customer Relationship Management system (CRM) that supports our objective of efficiently handling customer complaints whenever they arise.

DIVERSITY & INCLUSION

We value the unique characteristic, skills and experiences that employees bring to the work place. We believe that the broad diversity of work force, customer base and the communities we serve provides the Bank with a clear opportunity to create competitive advantage.

Barclays Kenya remains an employer of choice in the market, and we have managed to attract female talent with professional experience which is at par with their male counterparts. To support our diversity and inclusion agenda, we launched the Barclays Kenya Women Network Forum (WNF) to enhance women's careers and champion the role of women in the workplace through mentoring, coaching and exposure to senior level management.



EMPLOYEE-LED COMMUNITY SERVICE

An important development we have witnessed on the CSR front is the increasing involvement of our employees in the voluntary execution of social activities.

Barclays continues to be present in the community through various employee-driven initiatives. Indeed, staff participation is the bedrock of our community programmes.

Some facts on our employee-led volunteerism:

- Employees spent 9,950hrs volunteering across the country during the year.
- Through Barclays Shilling for Shilling (Bank Matching Programme) and volunteerism grants, we have invested Kshs 32 million in employee-led initiatives.
- During Step Ahead 2010, employees raised Kshs 14 million towards water and sanitation programmes in public schools.
- In October, more than 4,000 volunteers spent the day making a difference in the community on various projects through out the country.



Barclays has made a three year commitment of Kshs 107 million to rehabilitate street children. In addition, Barclays employees spend their time volunteering in the community to empower street boys and other at-risk youth.

In 2010, employees tapped various Barclays Community Programmes to raise approx. Kshs 39 million for communities in need.



The Barclays Step Ahead walk and cycling events gave employees, customers, partners and well wishers an opportunity to raise awareness as well as funds to provide water and sanitation to public schools. At the end of it all, a total of Kshs 14 million was raised.

Environmental Sustainability

Environmental management remains as important in our business in Kenya as it is for Barclays worldwide. It is in keeping with this that we continue to promote environmental stewardship in our operations, as well as the community.

ENVIRONMENTAL POLICY & COMPLIANCE

Key elements of our environmental policy include:

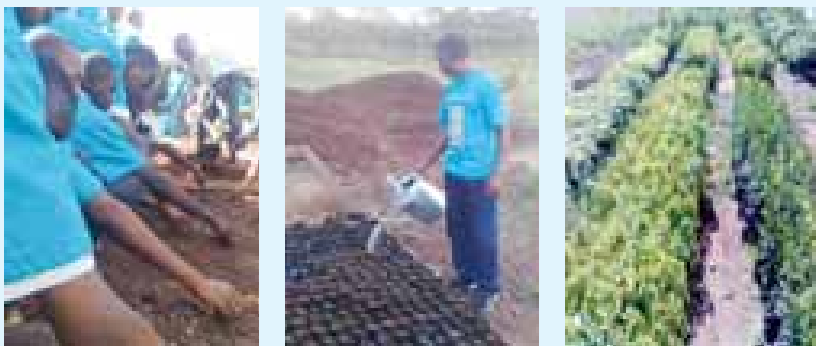
- Due compliance with the applicable environmental legislation in the countries in which we operate.
- Integration of environmental considerations into business decisions.
- Setting targets on key aspects of our environmental performance and reviewing these targets periodically. We communicate proactively and openly about our environmental commitments and performance.
- Engaging with industry groups and non-governmental organisations in order to contribute positively and pro-actively to environmental sustainability in our business.

We work closely with the National Environmental Management Authority (NEMA) to ensure compliance with their requirements. In addition we partner with the Red Cross to conduct training of staff and fire drills at various Barclays properties.

Moreover, we follow an Environmental Management System (EMS)—a framework for monitoring and managing the organisation's environmental performance and activities.

Our staff, Management and Board are strong supporters of environmental initiatives and are fully involved in conservation and awareness efforts in the community.

Thousands of trees are planted yearly by Barclays employees at various projects, and throughout the year including on Make a Difference Day (MADD).



Barclays is a key partner of Ofafa Jericho Secondary School's tree planting initiative. By the end of the first quarter 2011, it's estimated that over 100,000 seedlings will have been planted.



The highlight of our staff volunteering initiatives is the Barclays Make a Difference Day. Approximately 4,000 volunteers participated in Make A Difference Day (MADD) in October 2010.

PROMOTION OF CLEAN & RENEWABLE ENERGY

Barclays plays its part in ensuring that energy efficiency and clean energy projects get the much needed focus. To that end, Barclays partnered with Global Village Energy Partnership (GVEP) and the Bid Network of Norway to sponsor a Clean Energy Challenge across East Africa.

The competition attracted 150 applications from across East Africa (Kenya, Mozambique, Rwanda, Tanzania and Uganda). After careful assessment of the entries, proposals were selected by an expert panel based on their feasibility, development impact and investment attractiveness.

From Kenya, Sky Link, a biogas provider, received Kshs 2.8 million; while PECOL, a company which employs plastic and tyre waste to create high value industrial materials, received a Kshs 4 million grant and Kshs 2 million investment. Kenya Eco Energy Enterprise (KEE) which markets biodiesel and oil products received a Kshs 4 million grant and Kshs 2 million investment.

Thiba Mini Hydro was supported to increase their power generating and distributing capacity to supply 300 households, up from the current 160 households. To achieve this, Thiba will receive a Kshs 1.2 million grant and a loan guarantee to assist them to secure a loan to cover the balance of the required investment.

CAPACITY BUILDING & ENVIRONMENTAL PROGRAMMES

Barclays collaborates with external partners as well as the media to facilitate awareness and capacity building on matters pertaining to the environment.

Barclays recently committed Kshs 7.6 million to form a partnership with the Centre for Environmental Action. The goal of the initiative is to develop environmental clubs in public schools. This programme follows a Kshs 1 million investment the Bank made at the beginning of 2010 to support the protection and reforestation of Karura Forest.

In addition, Barclays invested Kshs 1.8 million to facilitate capacity building amongst the business community, this included the sponsorship of a special newspaper supplement distributed by the Nation Media Group.

The Directors have pleasure in presenting their report together with the audited financial statements for the year ended 31 December 2010 which disclose the state of affairs of Barclays Bank of Kenya Limited and its subsidiaries.

INCORPORATION AND REGISTERED OFFICE

The Company is incorporated in Kenya under the Companies Act (Cap 486) and is domiciled in Kenya. The address of its registered office is:

Barclays Plaza
Loita Street
P O Box 30120 – 00100
Nairobi

PRINCIPAL ACTIVITIES

The Bank provides in its own name and through subsidiary companies an extensive range of banking, financial and related services, and is licensed under the Banking Act (Cap 488).

RESULTS

The results for the year are set out on pages 39 to 89 and were approved by the Directors on 21 February 2011.

DIVIDENDS

One interim dividend of Kshs 75 cents per share totaling Kshs 1,018 million was paid in 2010 (2009: Kshs 50 cents per share totaling Kshs 679 million). Subject to the approval of the shareholders, the Directors recommend a final dividend for the year of Kshs 4.70 per share totaling Kshs 6,382 million (2009: Kshs 2.00 per share totaling Kshs 2,716 million). This will be paid on or about 27 May 2011 to shareholders registered at the close of business on 15 March 2011. This distribution will leave a balance of retained group profit for the year of Kshs 3,199 million (2009: Kshs 2,696 million) which is carried to group revenue reserves.

SHARE SPLIT

Subject to regulatory approval, the Directors recommend that the shareholders approve a split of the authorised shares of the Company in the ratio 4 for 1. If the share split is approved the holdings of those persons or entities shown in the Register as Members of the Company as at the close of business on 30th May 2011, will be adjusted proportionately to reflect the split of 4 new ordinary shares for 1 of the existing ordinary shares. The par value of the shares will consequently be adjusted from Kshs 2/= per share to Kshs 50 cents per share.

FINANCIAL STATEMENTS

At the date of this report, the Directors were not aware of any circumstance, which would have rendered the values attributed to the assets in the financial statements of the group misleading.

DIRECTORS

The members of the Board of Directors who served during the year and to the date of this report were:

Francis Okomo-Okello	–	Chairman
Adan Mohamed	–	Managing Director
Yusuf Omari	–	Chief Financial Officer
Nick Mbuvi	–	Corporate Banking Director
Paul Chemng'orem		
Rose Ogega		
Jane Karuku		
Brown Ondego		
Vinit Chandra	–	(Resigned 27 September 2010)

Vinit Chandra resigned from the Board to pursue other opportunities outside Barclays Group.

The following Directors are due to retire from the Board by rotation under Articles 94, 95 and 96 of the Company's Articles of Association at the forthcoming Annual General Meeting and are eligible for re-election:-

Brown Ondego
Jane Karuku
Nick Mbuvi

DIRECTORS BENEFITS

Since the last Annual General Meeting of the Company to the date of this report, no Director has received or become entitled to receive any benefit other than Directors' fees and amounts received under employment contracts for Executive Directors.

The aggregate amount of emoluments for Directors' services rendered in the financial year is disclosed on page 88.

AUDITORS

The auditors, PriceWaterhouseCoopers have indicated their willingness to continue in office in accordance with the provisions of Section 159(2) of the Companies Act (Cap 486) and Section 24(1) of the Banking Act (Cap 488).

By order of the board

Judy Nyaga
Company Secretary
Nairobi

21 February 2011

Wakurugenzi wanafurahia kuwasilisha ripoti yao pamoja na taarifa za kifedha zilizokaguliwa za mwaka uliomalizika 31 Disemba, 2010 ambazo zinaonyesha hali ya mambo yalivyo katika benki ya Barclays Bank of Kenya Limited na makampuni yake tanzu.

USHIRIKISHAJI NA OFISI ILIYOSAJILIWA

Kampuni hii imeshirikishwa nchini Kenya chini ya sheria ya makampuni (Cap 486) na iko Kenya. Anwani ya ofisi yake iliyosajiliwa ni:

Barclays Plaza
Barabara ya Loita
S.L.P. 30120-00100
Nairobi

KANUNI ZA SHUGHULI

Benki hii kupitia jina lake na makampuni tanzu inatoa huduma nyingi anuwai za benki na za kifedha pamoja na zinazohusiana nazo, na imeidhinishwa chini ya sheria ya Benki (Cap 488).

MATOKEO

Matokeo ya mwaka 2010 yameanzia katika ukurasa wa 39 hadi wa 89 na yaliidhinishwa na wakurugenzi tarehe 21 Februari, 2011.

MGAWO

Mgawo wa shilingi 0.75 kwa kila hisa wa jumla ya shilingi milioni 1,018 ulilipwa mwaka wa 2010 (2009: Shilingi 0.50 kwa kila hisa wa jumla ya Shilingi milioni 679). Kwa kutegemea idhini ya wenyehisa, Wakurugenzi wamependekeza mgawo wa mwisho wa mwaka huo wa shilingi 4.70 kwa kila hisa wa jumla ya Shilingi milioni 6,382 (2009: mgawo wa Shilingi 2.00 kwa kila hisa wa jumla ya Shilingi milioni 2,716). Mgawo huo utalipwa kabla au ifikiapo 27 Mei, 2011 kwa wenyehisa ambao walikuwa wamesajiliwa kufikia mwisho wa siku ya 15 Machi, 2011. Mgawo huo utaacha salio la faida ya Shilingi milioni 3,199 (2009: Shilingi milioni 2,696) ambazo zitapelekwa katika akiba ya mapato ya kampuni.

MGAWANYIKO WA HISA

Kutegemea na idhini ya urekebishaji, wakurugenzi wanapendekiza kwamba wenyehisa waidhinisha kugawanywa kwa hisa za kampuni katika uwiano wa 4 kwa 1. Iwapo mgawanyiko huo wa hisa utaidhinishwa, umiliki wa watu wa hisa au wamiliki walioko katika rejista kama wenyehisa wa kampuni kufikia muda wa mwisho wa biashara 30 Mei, 2011, utarekebishwa kwa kadri ya hisa 4 mpya za kawaida kwa kila hisa 1 ya kawaida iliyoko. Thamani ya hisa pia itabadilika kutoka Shilingi 2 za Kenya kwa kila hisa hadi senti 50 za Kenya kwa kila hisa.

TAARIFA ZA FEDHA

Wakati wa toleo la ripoti hii, wakurugenzi hawakuwa na habari yoyote kuhusu hali yoyote ambayo ingeathiri thamani ya rasilimali kama ilivyo katika taarifa za fedha ionekane inapotosha.

WAKURUGENZI

Wanachama wa Halmashauri ya wakurugenzi ambao walihudumu mwaka wa 2010 hadi tarehe ya kutolewa kwa ripoti hii walikuwa:

Francis Okomo-Okello	–	Mwenyekiti
Adan Mohamed	–	Meneja Mkurugenzi
Yusuf Omari	–	Afisa Mkuu wa Fedha
Nick Mbuvi	–	Mkurugenzi wa Biashara ya Benki
Paul Chemng'orem		
Rose Ogega		
Jane Karuku		
Brown Ondego		
Vinit Chandra	–	(alijiuzulu 27 Septemba, 2010)

Vinit Chandra alijiuzulu kutoka kwa Halmashauri kwenda kushiriki katika fursa nyengine nje ya kampuni ya Barclays Group.

Wakurugenzi wafuatao wamefikisha muda wao wa kustaafu kwa zamu katika halmashauri kuambatana na vifungu 94, 95 na 96 vya kanuni za kampuni katika Mkutano Mkuu wa Mwaka uliokaribu kufanyika na wanaweza kuchaguliwa tena:-

Brown Ondego
Jane Karuku
Nick Mbuvi

MAFAO YA WAKURUGENZI

Tangu Mkutano Mkuu wa Mwaka uliopita hadi tarehe ya ripoti hii, hakuna mkurugenzi ambaye amepokea au anaruhusiwa kupokea mafao yoyote isipokuwa ada za ukurugenzi na malipo chini ya mikataba ya uajiri wa wakurugenzi wakuu.

Jumla ya mafao ya huduma za wakurugenzi katika mwaka huu wa kifedha imechapishwa katika ukurasa wa 88.

WAKAGUZI WA MAHESABU

Wakaguzi wa mahesabu, PricewaterhouseCoopers wamejitolea kuendelea kuhudumu kuambatana na kifungu cha 159 (2) cha Sheria ya Makampuni (cap 486) na kifungu 24 (1) cha Sheria za Benki (Cap 488).

Kwa amri ya Halmashauri

Judy Nyaga
Katibu wa Kampuni
Nairobi

21 Februari 2011

OVERVIEW

The Board and Management of the bank are bound by the highest standards of integrity in carrying out their responsibilities to ensure that sound banking and governance practices are adopted in the Bank's engagement with all its stakeholders who include its customers, shareholders and regulators. The Board keenly adheres to the code of corporate governance and codes of conduct prescribed by the Central Bank of Kenya Prudential Guidelines, the Capital Markets Authority and the Barclays Group as well as its own stringent standards of governance and control as is evident from the governance framework outlined below.

The Board's mandate is to provide strategic leadership for the Bank, to review and approve the Bank's strategy as proposed by Management and to monitor the Bank's performance against clearly defined measures agreed between the Board and Management. The Board is also charged with the responsibility of identifying business opportunities as well as risks in the Bank's operating environment, overseeing major capital expenditures and advising on the management of regulatory relationships.

In view of the roll-out of the new banking platform which took place in 2010, the Board's oversight responsibility during the year was primarily focused on ensuring the maintenance of a robust internal control environment and the integrity of the Bank's financial information prior to, during and after the implementation of the new banking platform in order to meet the expectations of all the Bank's stakeholders.

BOARD MEMBERSHIP

The Board consists of eight (8) Directors, five (5) of whom are independent Non-Executive Directors (including the Chairman) with a diverse mix of skills and experience relevant to the Bank's business.

Each director has been issued with a role profile which clearly sets out their respective responsibilities in ensuring creation and delivery of sustainable shareholder value. The role profiles provide a clear separation of responsibilities between Management, the Chairman and the other Non-Executive Directors. The Chairman is accountable for managing the business of the Board, building an effective and complementary Board and ensuring effective communication with shareholders to ensure sound decision making for the long term sustainability of the bank. The Chairman also ensures that the Board supports and advises Management whilst respecting Executive responsibility. The Non-Executive Directors are responsible for constructively challenging Management on its proposals on strategy, scrutinising the performance of Management in meeting agreed objectives and satisfying themselves on the integrity of financial information and financial controls. Management is responsible for the day to day running of the Bank and in particular for the development and implementation of strategy.

In carrying out its responsibilities the Board is empowered to obtain independent professional advice and where necessary invite professionals with relevant experience to attend Board Committee meetings or to carry out such work as deemed necessary.

COMPANY SECRETARY

The Company Secretary coordinates the activities of the Board and Board Committees and is the primary liaison in the flow of information between the Management and the Board. The Company Secretary provides the Board with timely information and the support and guidance required for the discharge of the Board's responsibilities. Each Director has direct access to the Company Secretary. In conjunction with the Chairman, the Company Secretary is responsible for developing and implementing processes that promote and sustain the highest standards of corporate governance.

GOVERNANCE FRAMEWORK

The Board has three Board Committees (Audit, Advances and External Relations) with delegated authority to assist the Board effectively carry out its obligations. The Audit Committee and the Advances Committee are mandatory Committees required by the Central Bank of Kenya Prudential Guidelines and Capital Markets Authority Listing Obligations. At each ordinary Board meeting, the chairpersons of the Board Committees are required to report to the Board on the highlights of the deliberations of the Committees and to escalate to the Board all matters requiring the Board's consideration and approval.

AUDIT COMMITTEE

The Audit Committee plays a vital role in ensuring the integrity of the financial statements prior to review and approval by the Board. It is also responsible for continually evaluating the effectiveness of the internal control systems and regularly receives reports from the internal and external auditors as well as Management's Risk and Control Committee. The Audit Committee has direct access to the External Auditors, Barclays Internal Audit Function, the Company Secretary as well as the authority to engage external professional advisors. The Chair of the Audit Committee holds private sessions with Committee members to take soundings on the matters to be discussed prior to the meetings. Outside the formal meetings, the Chair of the Audit Committee is in regular contact with Management, including the Chief Financial Officer, the Head of Compliance, the Chief Internal Auditor and the lead audit partner of the External Auditors.

The Committee's membership comprises 3 independent Non-Executive Directors namely Rose Ogega (Chairperson), Jane Karuku and Paul Chemng'orem. The Managing Director, External Auditors, the Chief Internal Auditor, Chief Financial Officer, Chief Operating Officer and Head of Compliance are regular invitees to Audit Committee meetings. During the year the Audit Committee convened and held six (6) meetings. Attendance of members at the meetings was as follows:

	No. of Meetings
Rose Ogega	6/6
Paul Chemng'orem	6/6
Jane Karuku	6/6

ADVANCES COMMITTEE

The Advances Committee plays a critical role in the formulation and review of lending policies and ensures that such policies are in compliance with regulatory requirements. It assesses the credit quality and risk profile of the Bank's lending book by sector and by product and makes recommendations to the Board on remedial actions or on matters that may enhance the quality of the lending book. The Committee's membership comprises 3 independent Non-Executive Directors namely Brown Ondego (Chairman), Francis Okomo-Okello and Jane Karuku. From Management, the Committee's membership comprises the Managing Director, Corporate Banking Director, Head of Consumer Banking and Heads of Corporate Credit Risk and Consumer Credit Risk or their authorised representatives. During the year the Advances Committee convened and held six meetings. Attendance was as follows:

	No. of Meetings
Brown Ondego	6/6
Jane Karuku	6/6
Francis Okomo-Okello	6/6
Managing Director	6/6
Corporate Banking Director	6/6
Head of Consumer Banking	4/6
Head of Corporate Credit Risk	6/6
Head of Consumer Credit Risk	4/6

EXTERNAL RELATIONS COMMITTEE

This Committee has been tasked with advising and supporting the Management of the Bank in the conduct of its relationship with key stakeholders. It has been instrumental in guiding the Bank's policies on public relations, corporate social responsibility programmes and marketing of the Bank's products and services. The Committee also monitors customer service levels to ensure delivery of the Bank's vision of making life much easier for its customers. The Committee is also a vital component of the Bank's strategy to protect, promote and enhance its brand. The Committee's membership comprises 3 independent Non-Executive Directors namely Jane Karuku (Chairperson), Francis Okomo-Okello and Paul Chemng'orem. From Management, the meetings are attended by the Managing Director, Corporate Banking Director, Head of Consumer Banking, Chief Operating Officer, Head of Corporate Affairs, Head of Marketing and Head of Customer Service or their authorised representatives. During the year the External Relations Committee convened and held 4 ordinary meetings. Attendance of the meetings was as follows:

	Ordinary (Scheduled) Meetings
Jane Karuku	4/4
Paul Chemng'orem	3/4
Francis Okomo-Okello	4/4
Managing Director	2/4
Corporate Banking Director	2/4
Head of Consumer Banking	2/4
Chief Operating Officer	4/4
Head of Corporate Affairs	4/4
Head of Marketing	4/4
Head of Customer Service	4/4

MANAGEMENT COMMITTEES

The Board and its committees are supported by six key Management committees (Country Management Committee, Assets and Liabilities Committee, Risk and Control Committee, Remuneration and Promotions Committee, Operating Committee and Brand and Reputation Committee). Final authority and responsibility for the direction of the Bank however rests with the Board.

Country Management Committee (CMC)

CMC meets twice every month. It is a key Management Committee in that it is responsible for the implementation of strategy and driving the overall performance of the Bank. It also reviews the work of other Management Committees. CMC works in tandem with the Board to formulate strategy and policies for the Bank. The Committee is also charged with the responsibility of identifying and coaching senior talent within the Bank for succession planning.

Assets & Liabilities Committee (ALCO)

ALCO is tasked with managing financial risk specifically liquidity, interest rates, market risk, capital management and balance sheet structure. The Committee meets at least once a month and is instrumental in ensuring that sustainable and stable returns are obtained from the deployment of the Bank's assets within a framework of financial risks and controls.

Risk and Control Committee (RCC)

This Committee is mandated to embed and implement policies and controls to provide assurance on the effectiveness of internal controls. RCC monitors credit risk exposures against defined appetite and thresholds. The Committee also monitors legal and regulatory changes in the external environment and oversees compliance with relevant laws, regulations and directives. The Committee meets quarterly and reports to the Board Audit Committee highlighting key risk and control issues and management actions to address them.

Remuneration and Promotions Committee (RPC)

The primary aim of this Committee is to develop, motivate and retain employees within the Bank's talent pool. The Committee is tasked with the responsibility of developing a framework of policies, practices and programmes to resource and reward the Bank's employees. RPC meets once every quarter.

Operating Committee (OPCO)

OPCO is charged with the responsibility of reviewing the operational capability of the Bank and ensuring the timely and robust delivery of Operations and IT projects within stipulated time lines and approved costs. In line with prudential requirements OPCO also monitors the embedding of the Bank's business continuity management practices and policies to reduce the likelihood and impact of operational disruptions. This Committee meets once a month.

Brand and Reputation Committee (BRC)

This Committee is charged with the mandate of monitoring the implementation of the Bank's Corporate Social Responsibility agenda, issues that could negatively impact the brand and reputation of the Bank and ensuring the fair treatment of customers. BRC meets quarterly.

BOARD SELF ASSESSMENT

In accordance with the widely accepted principles of good governance, the Board and the Board Committees carried out their 2010 annual self assessments to evaluate their effectiveness and performance and take appropriate actions where necessary to ensure achievement of the goals and objectives as set out in the Board Work Plan for 2010 and the respective Committees' Terms of Reference. The outcomes of the assessments are communicated to the Central Bank of Kenya in accordance with prudential requirements.

As part of continuous development of the Board's mix of skills and experience, during the year 2010 a number of training activities were undertaken by Board members as follows:

- Best practice human resource standards for talent management and employee engagement;
- The Board's oversight responsibility for financial regulatory reporting for mitigation of the risk of failure to submit financial regulatory reports accurately and on time;
- The selection of triggers and recovery measures in the event of systemic stresses;
- Transfer pricing arrangements for services that are consistent with the benefits received by the Bank and expectations of all shareholders and regulators; and
- Treasury risk management products.

In line with its commitment to succession planning and having a complimentary set of skills, during 2010 the Board commenced the search for new Non-Executive Directors. The exercise is expected to be completed in 2011. The Bank has a comprehensive induction plan for any new Board member.

During the year, the Board convened and held nine meetings. All the meetings convened had sufficient quorum. The attendance of individual Directors at Board meetings is tabulated below:

	No. of Meetings
Francis Okomo-Okello	9/9
Adan Mohamed	8/9
Yusuf Omari	8/9
Nick Mbuvi	8/9
Rose Ogega	9/9
Brown Ondego	6/9
Paul Chemng'orem	9/9
Jane Karuku	8/9

DIRECTORS' EMOLUMENTS, SHAREHOLDING AND CONFLICTS OF INTEREST

The aggregate amount of emoluments and fees paid to directors during the year are disclosed in note 36 of the financial statements. No member of the Board holds shares in his or her personal capacity that exceeds 1% of the total equity of the Bank. A breakdown of the Directors personal shareholding in the Bank as at 31 December 2010 is shown below. Directors are required to disclose all areas of conflict of interest to the Board and are excluded from any discussion or decision on such areas. A register of interests is maintained by the Company Secretary.

Name of Director	No of Shares
Francis Okomo-Okello	7,100
Rose Ogega	1,000
Brown Ondego	8,545
Jane Karuku	Nil
Paul Chemng'orem	6,830
Adan Mohamed	Nil
Nick Mbuvi	Nil
Yusuf Omari	Nil

RELATIONSHIP WITH STAKEHOLDERS

The Bank is committed to communicating openly with all its stakeholders and its shareholders in particular on its performance and addressing any areas of concern that may arise. This is achieved through the dissemination of the annual reports, holding of the Annual General Meetings where shareholders have the opportunity to ask questions and freely interact with members of the Board as well as through briefing sessions held with key investors and analysts on the Bank's half-year and full year financial results. The Bank's financial results are published in the media every quarter in compliance with regulatory requirements. On a day-to-day basis all shareholders have direct access to the Company Secretary and the Shares Registrar who respond to shareholder queries on a variety of issues.

21 February 2011

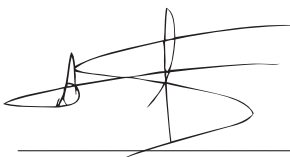
The Companies Act requires the Directors to prepare financial statements for each financial year that give a true and fair view of the state of affairs of the Group and the Bank as at the end of the financial year and of the Group's profit or loss. It also requires the directors to ensure that the Bank keeps proper accounting records that disclose, with reasonable accuracy, the financial position of the Bank. They are also responsible for safeguarding the assets of the Bank.

The directors accept responsibility for the annual financial statements, which have been prepared using appropriate accounting policies supported by reasonable, prudent judgements and estimates, in conformity with International Financial Reporting Standards and the requirements of the Companies Act. The directors are of the opinion that the financial statements give a true and fair view of the state of the financial affairs of the Group and of the Bank and of the Group's profit in accordance with International Financial Reporting Standards. The Directors further accept responsibility for the maintenance of accounting records that may be relied upon in the preparation of financial statements as well as designing, implementing and maintaining internal control relevant to the preparation and fair presentation of financial statements that are free from material misstatement.

Nothing has come to the attention of the dDirectors to indicate that the Bank and its subsidiaries will not remain a going concern for at least twelve months from the date of this statement.



Francis Okomo-Okello
Chairman



Adan Mohamed
Managing Director

21 February 2011

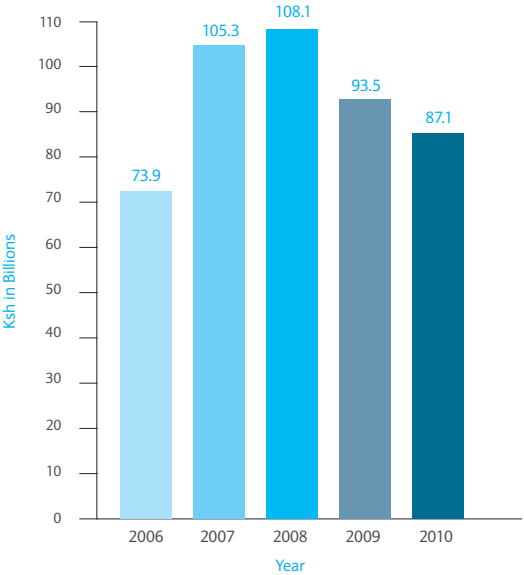
"We believe in nurturing today for a better tomorrow"



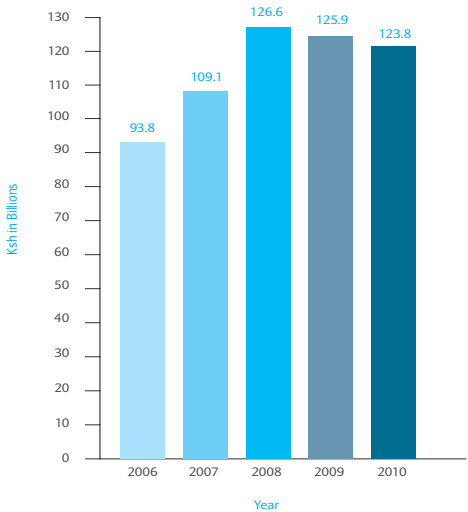
Kshs Million	2006	2007	2008	2009	2010
Operating Income	15,123	18,860	23,628	23,397	26,025
Operating expenses	(7,767)	(11,095)	(14,329)	(13,882)	(14,049)
Impairment losses on loans and advances	(881)	(687)	(1,282)	(513)	(1,200)
Profit before tax	6,475	7,078	8,017	9,002	13,553*
Net profit	4,492	4,910	5,558	6,091	10,599
Earnings per share (Kshs)	3.30	3.60	4.09	4.49	7.81*
Dividends per share (Kshs)	1.65	1.65	2.00	2.50	5.45
Loans and advances to customers (Net)	73,907	105,346	108,086	93,543	87,147
Cash and short term funds	11,869	10,774	13,695	9,751	13,131
Government securities	25,484	25,721	28,307	43,861	55,996
Property and Equipment	1,613	2,772	4,012	5,921	3,244
Other assets	4,849	13,043	14,412	11,799	12,897
Total Assets	117,722	157,656	168,512	164,875	172,415
Customer deposits	93,837	109,097	126,562	125,869	123,826
Other liabilities	9,023	30,995	21,455	14,797	17,124
Total Liabilities	102,860	140,092	148,017	140,666	140,950
Net assets	14,862	17,564	20,494	24,210	31,465
Shareholders funds	14,862	17,564	20,494	24,210	31,465
Performance ratios:					
Return on Capital employed	30.0%	28.0%	27.1%	25.2%	33.7%
Return on assets	4.0%	3.1%	3.3%	3.7%	6.1%
Impairment Charge / Loans and Advances	1.0%	0.6%	1.2%	0.5%	1.4%
Cost income ratio	51.4%	58.8%	60.6%	59.3%	54.0%
Balance sheet ratios:					
Net advances to deposits (%)	79%	97%	85%	74%	70%
Impairment allowances / Gross Advances	5.7%	3.1%	3.0%	3.8%	4.2%
Classified Debt / Gross Advances	13.0%	5.0%	5.9%	6.0%	6.4%
Others:					
Staff Numbers	2,197	6,900	5,724	5,325	5,039
FTEs	2,197	2,785	4,026	3,590	3,581
LGs	-	4,115	1,698	1,735	1,458
Number of shareholders	46,119	58,946	60,914	60,488	57,888
Branches	62	107	117	119	119
ATMs	98	193	234	234	231

* This amount includes Kshs 3,544m gain on sale of Custody business and restructuring expense amounting to Kshs 767m

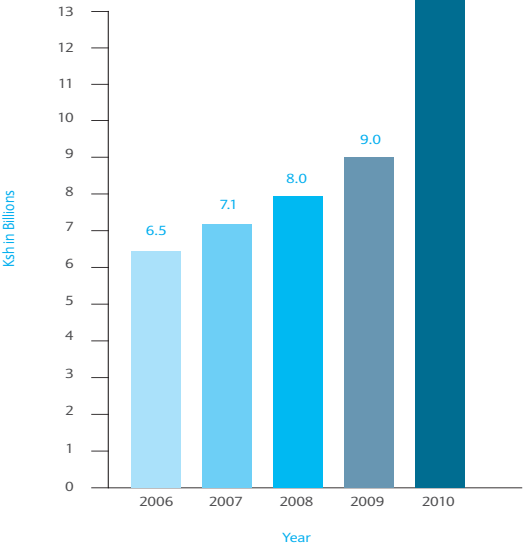
Net Advances to Customers



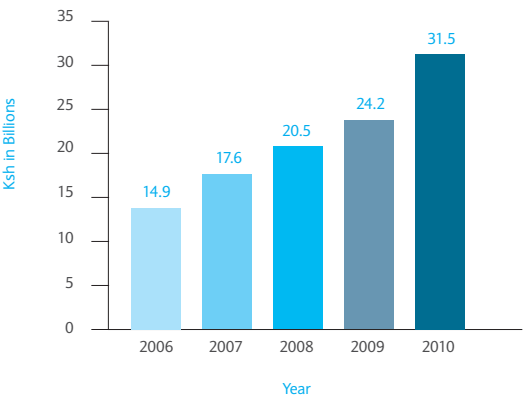
Customer Deposits



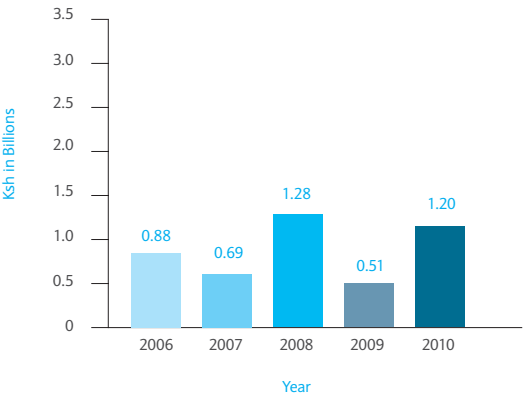
Profit Before Tax



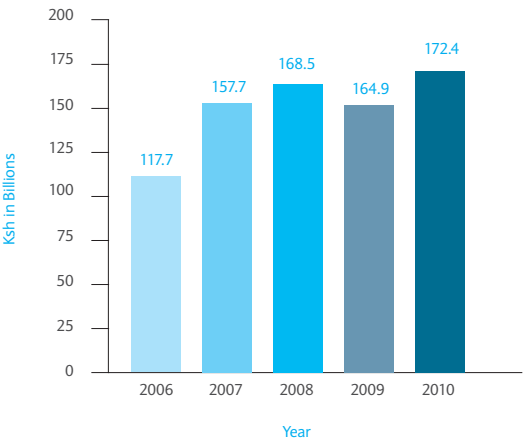
Shareholders Funds



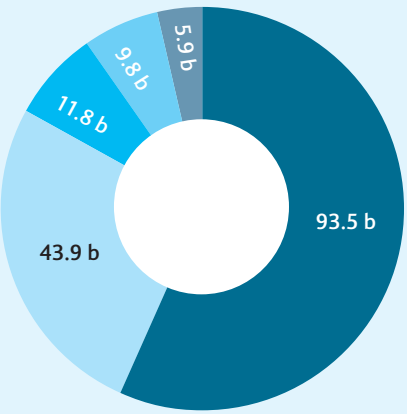
Impairment Charge



Total Assets



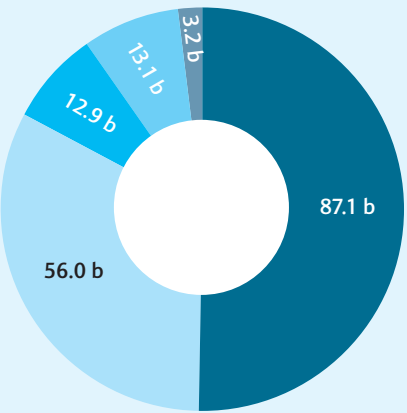
Distribution of Assets – 2009



- Loans & advances to customers (Net)
- Government Securities
- Other Assets
- Cash & Short Term Funds
- Property and Equipment

Total Assets: KSh 164.9B

Distribution of Assets – 2010



- Loans & advances to customers (Net)
- Government Securities
- Other Assets
- Cash & Short Term Funds
- Property and Equipment

Total Assets: KSh 172.4B

REPORT ON THE CONSOLIDATED FINANCIAL STATEMENTS

We have audited the accompanying consolidated financial statements of Barclays Bank of Kenya Limited (the “Bank”) and its subsidiaries (together, the “Group”), as set out on pages 39 to 89. These financial statements comprise the consolidated statement of financial position as at 31 December 2010 and the consolidated income statement, statement of other comprehensive income, statement of changes in equity and statement of cash flows for the year then ended, together with the separate statement of financial position of the Bank standing alone as at 31 December 2010 and the statement of changes in equity of the Bank for the year then ended, and a summary of significant accounting policies and other explanatory notes.

DIRECTORS RESPONSIBILITY FOR THE FINANCIAL STATEMENTS

The directors are responsible for the preparation and fair presentation of these financial statements in accordance with International Financial Reporting Standards and with the requirements of the Kenyan Companies Act and for such internal control, as the directors determine necessary to enable the preparation of financial statements that are free from material misstatements, whether due to fraud or error.

AUDITORS’ RESPONSIBILITY

Our responsibility is to express an independent opinion on the financial statements based on our audit. We conducted our audit in accordance with International Standards on Auditing. Those standards require that we comply with ethical requirements and plan and perform our audit to obtain reasonable assurance that the financial statements are free from material misstatement.

An audit involves performing procedures to obtain audit evidence about the amounts and disclosures in the financial statements. The procedures selected depend on the auditor’s judgement, including the assessment of the risks of material misstatement of the financial statements, whether due to fraud or error. In making those risk assessments, the auditor considers internal control relevant to the Bank’s preparation and fair presentation of the financial statements in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the Bank’s internal control.

An audit also includes evaluating the appropriateness of accounting policies used and the reasonableness of accounting estimates made by the directors, as well as evaluating the overall presentation of the financial statements.

We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our opinion.

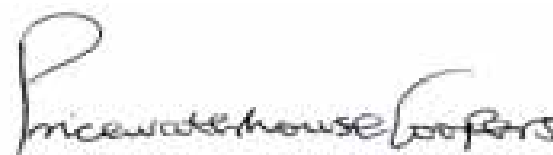
OPINION

In our opinion the accompanying financial statements give a true and fair view of the state of the financial affairs of the Group and of the Bank as at 31 December 2010 and of the profit and cash flows of the Group for the year then ended in accordance with International Financial Reporting Standards and the Kenyan Companies Act.

REPORT ON OTHER LEGAL REQUIREMENTS

The Kenyan Companies Act requires that in carrying out our audit we consider and report to you on the following matters. We confirm that:

- i) We have obtained all the information and explanations which to the best of our knowledge and belief were necessary for the purposes of our audit;
- ii) In our opinion proper books of account have been kept by the bank, so far as appears from our examination of those books;
- iii) The Bank’s statement of financial position is in agreement with the books of account.



Certified Public Accountants
Nairobi

21 February 2011

RIPOTI KUHUSU TAARIFA ZA JUMLA ZA FEDHA

Tumefanya ukaguzi wa mahesabu wa taarifa za fedha za Benki ya Barclays Kenya Limited ("Benki") na makampuni yake tanzu ("Muungano") kama zilivyo katika ukurasa wa 39 hadi 89. Taarifa hizi za fedha zinashirikisha taarifa ya jumla kuhusu hali ya kifedha kufikia Disemba 31,2010 na taarifa ya jumla ya mapato ,taarifa ya mapato mengine yote, taarifa ya mabadiliko ya hisa zisizokuwa na riba ya kudumu na taarifa ya mapato halisi ya mwaka uliomalizika, pamoja na taarifa tofauti ya hali ya kifedha ya Benki pekee kama ilivyokuwa Disemba 31,2010 na taarifa ya mabadiliko katika hisa zisizokuwa na riba ya kudumu ya Benki katika mwaka uliomalizika, na muhtasari wa sera za uhasibu na ufafanuzi mwengine.

JUKUMU LA WAKURUGENZI KATIKA TAARIFA ZA FEDHA

Wakurugenzi wana jukumu la kutayarisha na kuwasilisha taarifa za fedha kulingana na viwango vya kimataifa vya utoaji wa taarifa za fedha pamoja na masharti ya sheria za makampuni ya kenya na udhibiti wa ndani , kama ambavyo wakurugenzi wataamua ni muhimu kuwezesha utayarishaji taarifa za fedha ambazo hazina kasoro , iwe ni za kutokana na ufasadi au makosa.

JUKUMU LA WAKAGUZI WA MAHESABU

Jukumu letu ni kueleza maoni huru kuhusu taarifa za fedha kulingana na ukaguzi wetu. Tuliendesha ukaguzi wetu wa mahesabu kuambatana na viwango vya kimataifa kuhusu ukaguzi wa mahesabu. Viwango hivyo vinashurutisha tufuate masharti ya maadili na kupanga na kutekeleza ukaguzi wetu wa mahesabu ili tuwe na hakikisho kuwa taarifa za fedha hazina maelezo ya kupotosha.

Ukaguzi wa mahesabu unahusu utekelezaji wa taratibu za kupata ushahidi kuhusu kiasi na ufichuzi katika taarifa za fedha. Taratibu zinazotumiwa zinategemea uamuzi wa mkaguzi wa mahesabu unaojumuishia tathmini ya hatari iliyopo kuhusu kukosea maelezo ya taarifa za fedha,iwe ni kutokana na ulaghai au makosa. Katika kutayarisha makadirio hayo ya hatari, mkaguzi wa mahesabu anazingatia udhibiti wa ndani unaohusiana na utayarishaji wa Benki na uwasilishaji wa haki wa taarifa za fedha ili kupanga taratibu za ukaguzi ambazo zinafaa katika hali iliyoko lakini sio kwa ajili ya kueleza maoni kuhusu uwezo wa udhibiti wa ndani wa Benki.

Ukaguzi wa mahesabu pia unashirikisha kutathmini sera za mahesabu zilizotumika na uridhishaji wa makadirio ya mahesabu yaliyofanywa na wakurugenzi pamoja na kutathmini uwasilishaji wa jumla wa taarifa za fedha.

MAONI

Kulingana na maoni yetu, taarifa za fedha zilizoambatanishwa zinaonyesha taswira kamili ya ukweli na maridhawa kuhusu hali ya kifedha ya Muungano na ya Benki kufikia tarehe 31 Disemba,2010 na kuhusu faida na mapato halisi ya Muungano katika kipindi cha mwaka uliomalizika kulingana na viwango vya kimataifa vya utoaji wa taarifa za fedha na Sheria ya makampuni ya Kenya.

TAARIFA KUHUSU MAHITAJI MENGINE YA KISHERIA

Sheria kuhusu makampuni ya Kenya inashurutisha kuwa katika ukaguzi wetu wa mahesabu tunaofanya tunatakiwa tuzingatie na tukueleze kuhusu masuala yafuatayo. Tunathibitisha kuwa:

- Tumepokea habari na maelezo yote ambayo kulingana na tunavyofahamu yalikuwa muhimu kwa malengo ya ukaguzi wetu wa mahesabu;
- Kwa maoni yetu madaftari sahihi ya mahesabu yamehifadhiwa vyema na Benki kama ilivyodhihiri katika upekuzi wetu wa madaftari hayo; na
- Taarifa ya Benki ya hali ya kifedha inaafikiana na madaftari ya mahesabu.



Wahasibu wa Umma Waliothibitishwa
Nairobi.

21 Februari 2011

Note: The text set out above is a Kiswahili translation of the "Report of the Independent Auditor to the Members of Barclays Bank of Kenya Limited" which appears on page 37. In the event of any dispute over the interpretation of the Auditors Report, the English version shall be the authoritative version

CONSOLIDATED INCOME STATEMENT

	Notes	2010 Kshs million	2009 Kshs million
Interest income	4	17,131	17,517
Interest expense	5	(1,457)	(2,747)
Net interest income		15,674	14,770
Fees and commission income		7,892	6,705
Fees and commission expense		(518)	(450)
Net fees and commission income		7,374	6,255
Foreign exchange income		2,346	2,193
Other operating income	7	631	179
Impairment losses on loans and advances	16	(1,200)	(513)
Other operating expenses	8	(14,049)	(13,882)
Operating profit		10,776	9,002
Restructuring expense		(767)	-
Net income from sale of custody business	6	3,544	-
Profit before income tax		13,553	9,002
Income tax expense	10	(2,954)	(2,911)
Profit for the year		10,599	6,091
The whole profit above has been dealt with in the books of the Bank.			
Earnings per share			
- Basic and diluted (Kshs per share)	11	7.8	4.5

The notes on pages 46 to 89 are an integral part of this Financial Statements.

CONSOLIDATED STATEMENT OF OTHER COMPREHENSIVE INCOME

	Notes	2010 Kshs million	2009 Kshs million
Profit for the year		10,599	6,091
Other comprehensive income			
Gains on available for sale securities			
- Unrealised net gains arising during the year	14	390	372
Total comprehensive income for the year		10,989	6,463

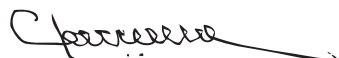
The total comprehensive income has been dealt with in the books of the bank.

The notes on pages 46 to 89 are an integral part of these Financial Statements.

CONSOLIDATED STATEMENT OF FINANCIAL POSITION

	Notes	2010 Kshs million	2009 Kshs million
ASSETS			
Cash and balances with Central Bank of Kenya	13	13,131	9,751
Government securities: available-for-sale securities	14	55,996	43,861
Deposits and balances due from banking institutions	15	935	1,061
Balances due from group companies	36	3,285	6,246
Loans and advances to customers	16	87,147	93,543
Financial assets at fair value through profit or loss		350	412
Intangible assets	20	3,448	686
Property and equipment	19	3,244	5,921
Prepaid operating lease rentals	21	61	62
Retirement benefit assets	22	1,539	1,837
Other assets	23	3,279	1,496
Total assets		172,415	164,876
LIABILITIES			
Balances due to Central Bank of Kenya	24	3,105	1,503
Customer deposits	25	123,826	125,869
Deposits and balances due to banking institutions	26	92	262
Lines of credit	27	-	34
Balance due to group companies	36	1,571	3,986
Current income tax payable		193	115
Deferred income tax liabilities	18	508	619
Long term liabilities	28	4,351	4,294
Other liabilities	29	7,304	3,984
Total liabilities		140,950	140,666
SHAREHOLDERS' EQUITY			
Share capital	30	2,716	2,716
Revaluation reserve: available-for-sale securities		515	125
Retained earnings		19,326	16,882
Statutory loan loss reserve		2,526	1,771
Proposed dividend	12	6,382	2,716
Total shareholders' equity		31,465	24,210
Total equity and liabilities		172,415	164,876

The financial statements on pages 39 to 89 were approved for issue by the board of directors on 21 February 2011 and signed on its behalf by:



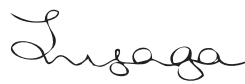
Francis Okomo – Okello: Director



Yusuf Omari: Director



Adan Mohamed: Director



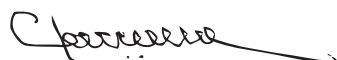
Judy Nyaga: Secretary

The notes on pages 46 to 89 are an integral part of this Financial Statements.

BANK STATEMENT OF FINANCIAL POSITION

	Notes	2010 Kshs million	2009 Kshs million
ASSETS			
Cash and balances with Central Bank of Kenya	13	13,131	9,751
Government securities: available-for-sale securities	14	55,996	43,861
Deposits and balances due from banking institutions	15	935	1,061
Balances due from group companies	36	3,285	6,246
Loans and advances to customers	16	87,147	93,543
Financial assets at fair value through profit or loss		350	412
Investments in subsidiary companies	17	275	275
Intangible assets	20	3,448	686
Property and equipment	19	3,244	5,921
Prepaid operating lease rentals	21	61	62
Retirement benefit assets	22	1,539	1,837
Other assets	23	3,279	1,496
Total assets		172,690	165,151
LIABILITIES			
Balances due to Central Bank of Kenya	24	3,105	1,503
Customer deposits	25	123,826	125,869
Deposits and balances due to banking institutions	26	92	262
Lines of credit	27	-	34
Balances due to group companies	36	1,571	3,986
Current income tax payable		195	117
Deferred income tax liabilities	18	508	619
Long term liabilities	28	4,351	4,294
Other liabilities	29	7,577	4,257
Total liabilities		141,225	140,941
SHAREHOLDERS' EQUITY			
Share capital	30	2,716	2,716
Revaluation reserve : investment in subsidiaries		89	89
Revaluation reserve : available for sale securities		515	125
Retained earnings		19,237	16,793
Statutory loan loss reserve		2,526	1,771
Proposed dividend	12	6,382	2,716
Total shareholders' equity		31,465	24,210
Total equity and liabilities		172,690	165,151

The financial statements on pages 39 to 89 were approved for issue by the board of directors on 21 February 2011 and signed on its behalf by:



Francis Okomo – Okello: Director



Yusuf Omari: Director



Adan Mohamed: Director



Judy Nyaga: Secretary

The notes on pages 46 to 89 are an integral part of this Financial Statements.

CONSOLIDATED STATEMENT OF CHANGES IN EQUITY

	Notes	Share capital	Retained earnings	Statutory loan loss reserve	Revaluation on available-for sale securities	Proposed dividend	Total equity
		Kshs million	Kshs million	Kshs million	Kshs million	Kshs million	Kshs million
Year ended 31 December 2009							
At start of year		2,716	15,325	632	(247)	2,037	20,463
Comprehensive income:							
Profit for the year		-	6,091	-	-	-	6,091
Net change in available-for-sale securities	14	-	-	-	372	-	372
Transfer to statutory loan loss reserve		-	(1,139)	1,139	-	-	-
Total comprehensive income		-	4,952	1,139	372	-	6,463
Transactions with owners							
Dividends:							
- Final for 2008 paid		-	-	-	-	(2,037)	(2,037)
- Interim for 2009 paid		-	(679)	-	-	-	(679)
- Proposed final for 2009	12	-	(2,716)	-	-	2,716	-
At end of year		2,716	16,882	1,771	125	2,716	24,210
Year ended 31 December 2010							
At start of year		2,716	16,882	1,771	125	2,716	24,210
Comprehensive income							
Profit for the year		-	10,599	-	-	-	10,599
Net change in available-for-sale securities	14	-	-	-	390	-	390
Transfer to statutory loan loss reserve		-	(755)	755	-	-	-
Total comprehensive income		-	9,844	755	390	-	10,989
Transactions with owners							
Dividends:							
- Final for 2009 paid		-	-	-	-	(2,716)	(2,716)
- Interim for 2010 paid		-	(1,018)	-	-	-	(1,018)
- Proposed final for 2010	12	-	(6,382)	-	-	6,382	-
At end of year		2,716	19,326	2,526	515	6,382	31,465

The notes on pages 46 to 89 are an integral part of this Financial Statements.

BANK STATEMENT OF CHANGES IN EQUITY

	Notes	Share Capital	Revaluation reserve on investment in subsidiaries	Retained earnings	Statutory loan loss reserve	Revaluation reserve on available for sale securities	Proposed dividends	Total
		Kshs Million	Kshs Million	Kshs Million	Kshs Million	Kshs Million	Kshs Million	Kshs Million
Year ended 31 December 2009								
At start of year		2,716	89	15,236	632	(247)	2,037	20,463
Comprehensive income								
Profit for the year		-	-	6,091	-	-	-	6,091
Net change in available for sale securities	14	-	-	-	-	372	-	372
Transfer to statutory loan loss reserve		-	-	(1,139)	1,139	-	-	-
Total comprehensive income		-	-	4,952	1,139	372	-	6,463
Transactions with owners								
Dividends:								
- Final for 2008 paid		-	-	-	-	-	(2,037)	(2,037)
- Interim for 2009 paid		-	-	(679)	-	-	-	(679)
- Proposed final for 2009	12	-	-	(2,716)	-	-	2,716	-
At end of year		2,716	89	16,793	1,771	125	2,716	24,210
Year ended 31 December 2010								
At start of year		2,716	89	16,793	1,771	125	2,716	24,210
Comprehensive income								
Profit for the year		-	-	10,599	-	-	-	10,599
Net change in available for sale securities	14	-	-	-	-	390	-	390
Transfer to statutory loan loss reserve		-	-	(755)	755	-	-	-
Total comprehensive income		-	-	9,844	755	390	-	10,989
Transactions with owners								
Dividends:								
- Final for 2009 paid		-	-	-	-	-	(2,716)	(2,716)
- Interim for 2010 paid		-	-	(1,018)	-	-	-	(1,018)
- Proposed final for 2010	12	-	-	(6,382)	-	-	6,382	-
At end of year		2,716	89	19,237	2,526	515	6,382	31,465

The notes on pages 46 to 89 are an integral part of this Financial Statements.

CONSOLIDATED STATEMENT OF CASH FLOWS

	Notes	2010 Kshs million	2009 Kshs million
Cash flows from operating activities			
Interest receipts		16,884	17,735
Interest payments		(1,666)	(2,875)
Net fee and commission receipts		7,317	6,257
Other income received		6,764	2,158
Recoveries from loans previously written off	16	291	365
Payments to employees and suppliers		(13,638)	(12,524)
Tax paid		(3,154)	(2,844)
Cash flows from operating activities before changes in operating assets and liabilities		12,798	8,272
Changes in operating assets and liabilities:			
- loans and advances		6,411	13,870
- other assets		(1,487)	1,996
- CBK cash reserve requirement	34	(32)	816
- government securities maturing after 90 days		(15,173)	(13,420)
- lines of credit		(34)	(255)
- customer deposits		(1,863)	(413)
- other liabilities		3,407	(1,146)
- amounts due to group companies		(2,416)	(5,897)
Net cash from operating activities		1,611	3,823
Cash flows from investing activities			
Purchase of property and equipment		(287)	(3,241)
Purchase of intangibles		(1,102)	(346)
Proceeds from sale of property and equipment		1	5
Net cash used in investing activities		(1,388)	(3,582)
Cash flows from financing activities			
Dividends paid		(3,734)	(2,716)
Net cash used in financing activities		(3,734)	(2,716)
Net decrease in cash and cash equivalents		(3,511)	(2,475)
Cash and cash equivalents at beginning of year	34	12,151	14,626
Cash and cash equivalents at end of year	34	8,640	12,151

The notes on pages 46 to 89 are an integral part of this Financial Statements.

NOTES

1 General Information

The Company is incorporated in Kenya under the Companies Act as a public limited liability company and is domiciled in Kenya. The address of its registered office is:

Barclays Plaza,
Loita Street,
P O Box 30120 – 00100,
NAIROBI.

The shares of the company are listed on the Nairobi Stock Exchange.

The financial statements for the year ended 31 December 2010 have been approved for issue by the Board of Directors on 21 February 2011.

For Kenyan Companies Act reporting purposes, the balance sheet is represented by statement of financial position and the profit and loss account by income statement, in these financial statements.

2 Summary of significant accounting policies

The principal accounting policies adopted in the preparation of these financial statements are set out below. These policies have been consistently applied to all years presented, unless otherwise stated.

(A) BASIS OF PREPARATION

The Bank's financial statements have been prepared in accordance with International Financial Reporting Standards (IFRS) as issued by the International Accounting Standards Board (IASB). Additional information required by national regulations is included where appropriate.

The financial statements have been prepared under the historical cost convention, except for available-for-sale financial assets, financial assets held at fair value through profit or loss and all derivative contracts, which have been measured at fair value.

The disclosures on risks from financial instruments are presented in the financial risk management report contained in Note 35.

The preparation of financial statements in conformity with IFRS requires the use of certain critical accounting estimates. It also requires the directors to exercise judgement in the process of applying the Group's accounting policies. Changes in assumptions may have a significant impact on the financial statements in the period the assumptions changed. The directors believe that the underlying assumptions are appropriate and that the Group's financial statements therefore present the financial position and results fairly. The areas involving a higher degree of judgement or complexity, or areas where assumptions and estimates are significant to the financial statements are disclosed in Note 3.

a) New and amended standards adopted by the Group

The amendments to existing standards below that are part of the IASB's Annual Improvements Project and are relevant to the Group's operations:

Standard	Title	Applicable for financial year beginning on/after
IAS 1	Presentation of financial statements	1 January 2010
IAS 17	Leases	1 January 2010
IAS 36	Impairment of Assets	1 January 2010
IFRS 8	Operating Segments	1 January 2010

NOTES (continued)

2) Summary of significant accounting policies (continued)

(a) Basis of preparation (continued)

IAS 1, 'Presentation of financial statements'. The amendment clarifies that the potential settlement of a liability by the issue of equity is not relevant to its classification as current or non current. By amending the definition of current liability, the amendment permits a liability to be classified as non-current provided that the entity has an unconditional right to defer settlement by transfer of cash or other assets for at least 12 months after the accounting period. The application of the amendment does not have an impact on the Group's financial statements.

IAS 17, 'Leases'. The amendment clarifies that when a lease includes both land and buildings elements, an entity shall assess the classification of each element as a finance or an operating lease separately. The application of the amendment does not have a significant impact on the Group's financial statements.

IAS 36, 'Impairment of Assets'. The amendment clarifies that the largest cash-generating unit (or group of units) to which goodwill should be allocated for the purposes of impairment testing is an operating segment, as defined by paragraph 5 of IFRS 8, 'Operating Segments' (that is, before the aggregation of segments with similar economic characteristics). The application of the amendment does not have an impact on the Group's financial statements.

IFRS 8, 'Operating Segments'. The amendment removes the requirement to provide a measure of total assets for each reportable segment. Instead a measure of total assets and total liabilities should be provided if such amounts are regularly provided to the Chief Operating Decision Maker (CODM). The application of the amendment does not have a significant impact on the Group's financial statements.

b) New and amended standards, and interpretations mandatory for the financial year beginning 1 January 2010 but not relevant to the Group:

Standard / interpretation	Title	Applicable for financial years beginning on/after
IFRS 1	First-time Adoption of International Financial Reporting Standards Additional exemptions for first-time adopters	1 July 2009
IFRS 2 (amended)	Share-based payment – Group cash-settled share-based payment transaction	1 January 2010
IFRS 2	Share-based Payment (part of Annual Improvement Project 2009) – Scope of IFRS 2 and revised IFRS 3	1 July 2009
IFRS 3	Business combinations	1 July 2009
IFRS 5	Non-current Assets Held for Sale and Discontinued Operations (part of Annual Improvement Project 2009) – Disclosures of non-current assets (or disposal groups) classified as held for sale or discontinued operations	1 January 2010
IAS 27 (revised)	Consolidated and Separate Financial Statements	1 July 2009
IAS 38	Intangible assets (part of Annual Improvement Project 2009) Additional consequential amendments arising from revised IFRS 3	1 July 2009
IAS 39	Financial Instruments: Recognition and Measurement (part of Annual Improvement Project 2009) – (i) Treating loan prepayment penalties as closely related embedded derivatives (ii) Scope exemption for business combination contracts	1 January 2010
IFRIC 9 & IAS 39	Reassessment of embedded derivatives & Financial Instruments: Recognition and Measurement	30 June 2009
IFRIC 17	Distribution of non-cash assets to owners	1 July 2009
IFRIC 18	Transfers of assets from customers	1 July 2009

NOTES (continued)

2) Summary of significant accounting policies (continued)

(A) BASIS OF PREPARATION (continued)

(c) Standards and interpretations issued but not yet effective

The following new standards, amendments to existing standards and interpretations have been issued and are mandatory for the Group's accounting periods beginning on or after 1 January 2011 or later periods and are not expected to be relevant to the Group, except for IFRS 9.

Standard/ Interpretation	Title	Applicable for financial years beginning on/after
IFRS 1 (amended)	First-time Adoption of International Financial Reporting Standards – Limited exemption from comparative IFRS 7 disclosures for first-time adopters	1 July 2010
IFRS 9	Financial instruments part 1: Classification and measurement	1 January 2013
IAS 24 (amended)	Related party disclosures	1 January 2011
IAS 32 (amended)	Financial instruments: Presentation – Classification of rights issue	1 February 2010
IFRIC 14 (amended)	IAS 19 – The limit on a defined benefit asset, minimum funding requirement and their interaction	1 January 2011
IFRIC 19	Extinguishing Financial Liabilities with Equity Instruments	1 July 2010

IFRS 9, 'Financial instruments part 1: Classification and measurement' and part 2: Financial liabilities and Derecognition of financial instruments

IFRS 9, part 1 was issued in November 2009 and replaces those parts of IAS 39 relating to the classification and measurement of financial assets. Key features are as follows:

- Financial assets are required to be classified into two measurement categories: those to be measured subsequently at fair value, and those to be measured subsequently at amortised cost. The decision is to be made at initial recognition. The classification depends on the entity's business model for managing its financial instruments and the contractual cash flow characteristics of the instrument.
- An instrument is subsequently measured at amortised cost only if it is a debt instrument and both the objective of the entity's business model is to hold the asset to collect the contractual cash flows, and the asset's contractual cash flows represent only payments of principal and interest (that is, it has only 'basic loan features'). All other debt instruments are to be measured at fair value through profit or loss.
- All equity instruments are to be measured subsequently at fair value. Equity instruments that are held for trading will be measured at fair value through profit or loss. For all other equity investments, an irrevocable election can be made at initial recognition, to recognise unrealised and realised fair value gains and losses through other comprehensive income rather than profit or loss. There is to be no recycling of fair value gains and losses to income statement. This election may be made on an instrument-by-instrument basis. Dividends are to be presented in income statement, as long as they represent a return on investment.
- While adoption of IFRS 9 is mandatory from 1 January 2013, earlier adoption is permitted.

The Group is considering the implications of the Standard, the impact on the Group and the timing of its adoption by the Group.

NOTES (continued)

2) Summary of significant accounting policies (continued)

(A) BASIS OF PREPARATION (continued)

IFRS 9 (continued)

IFRS 9, part 2 was issued in October 2010 and includes guidance on financial liabilities and derecognition of financial instruments. The accounting and presentation of financial liabilities and for derecognising financial instruments has been relocated from IAS 39, 'Financial Instruments: Recognition and Measurement', without change except for financial liabilities that are designated at fair value through profit or loss.

Under the new standard, entities with financial liabilities at fair value through profit or loss recognise changes in the liability's credit risk directly in other comprehensive income. There is no subsequent recycling of the amounts in other comprehensive income to income statement, but accumulated gains or losses may be transferred within equity.

Improvements to IFRS

'Improvements to IFRS' were issued in May 2010. The amendments that are relevant to the Group's operations relate to: IFRS 7, 'Financial Instruments: Disclosures' and IAS 1, 'Presentation of financial statements'. Most of the amendments are effective for annual periods beginning on or after 1 January 2011 with early application permitted.

IFRS 7, 'Financial Instruments: Disclosures'. The amendment emphasises the interaction between quantitative and qualitative disclosures about the nature and extent of risks associated with financial instruments.

IAS 1, 'Presentation of financial statements'. The amendment clarifies that an entity must present an analysis of other comprehensive income for each component of equity, either in the statement of changes in equity or in the notes to the financial statements.

Early adoption of standards

The Group did not early-adopt new or amended standards in 2010.

(B) CONSOLIDATION

The consolidated financial statements comprise the financial statements of Barclays Bank of Kenya Limited and its subsidiary companies made up to 31 December. Subsidiary undertakings have been fully consolidated. All intercompany transactions, balances and unrealised surpluses and deficits on transactions between group companies have been eliminated. The accounting policies for the subsidiaries are consistent with the policies adopted by the Bank. A listing of the Bank's subsidiaries is set out in Note 17.

(C) INTEREST INCOME AND EXPENSE

Interest income and expense are recognised in the income statement for all interest bearing financial instruments measured at amortised cost using the effective interest method.

The effective interest method is a method of calculating the amortised cost of a financial asset or a financial liability and of allocating the interest income or interest expense over the relevant period. The effective interest rate is the rate that exactly discounts estimated future cash payments or receipts through the expected life of the financial instrument or, when appropriate, a shorter period, to the net carrying amount of the financial asset or financial liability. The calculation includes all fees paid or received between parties to the contract that are an integral part of the effective interest rate, transaction costs and all other premiums or discounts.

When loans and advances become doubtful of collection, they are written down to their recoverable amounts and interest income is thereafter recognised based on the rate of interest that was used to discount the future cash flows for the purpose of measuring the impairment loss.

(D) FEES AND COMMISSION

Unless included in the effective interest calculation, fees and commissions income are generally recognised on an accrual basis when the service has been provided. Loan appraisal fees together with related direct costs are deferred and recognised using the effective interest rate method.

Fees and commission expenses are generally deferred and recognised on an accrual basis when incurred.

(E) TRANSLATION OF FOREIGN CURRENCIES

(a) Functional and presentation currency

The accounting records are maintained in the currency of the primary economic environment in which the Group operates (the "functional currency"). The financial statements are presented in Kenya Shillings, which is the Group's presentation currency. The figures shown in the financial statements are stated in Kenya Shillings (Kshs), rounded to the nearest million.

(b) Transactions and balances

Transactions in foreign currencies during the year are translated into the functional currency using the exchange rates prevailing at the dates of the transaction or valuation where items are re-measured.

Monetary items denominated in foreign currency are translated with the closing rate as at the reporting date. If several exchange rates are available, the forward rate is used at which the future cash flows represented by the transaction or balance could have been settled if those cash flows had occurred.

Foreign exchange gains and losses resulting from the settlement of such transactions and from the translation at year-end exchange rates of monetary assets and liabilities denominated in foreign currencies are recognised in the income statement.

Translation differences on non-monetary financial instruments, such as equities held at fair value through profit or loss, are reported as part of the fair value gain or loss. Translation differences on non-monetary financial instruments, such as equities classified as available-for-sale financial assets, are included in other comprehensive income.

NOTES (continued)

(F) FINANCIAL ASSETS AND LIABILITIES

All financial assets and liabilities – which include derivative financial instruments – have to be recognised in the statement of financial position and measured in accordance with their assigned category.

Financial assets

The Bank classifies its financial assets into the following categories: financial assets at fair value through profit or loss; loans, advances and receivables and available-for-sale financial assets. Management determines the appropriate classification of its financial assets at initial recognition.

(i) Financial assets at fair value through profit or loss (FVTPL)

This category comprises two sub-categories: financial assets classified as held for trading, and financial assets designated by the Bank as at fair value through profit or loss upon initial recognition.

A financial asset is classified as held for trading if it is acquired or incurred principally for the purpose of selling or repurchasing it in the near term or if it is part of a portfolio of identified financial instruments that are managed together and for which there is evidence of a recent actual pattern of short-term profit-taking. Derivatives are also categorised as held for trading unless they are designated and effective as hedging instruments.

The Bank designates certain financial assets upon initial recognition as at fair value through profit or loss (fair value option). This designation cannot subsequently be changed and can only be applied when the following conditions are met:

- The application of the fair value option reduces or eliminates an accounting mismatch that would otherwise arise or
- The financial assets are part of a portfolio of financial instruments which is risk managed and reported to senior management on a fair value basis or
- The financial assets consists of debt host and embedded derivatives that must be separated.

Financial assets at fair value through profit or loss are carried at fair value. Purchases and sales of financial assets at fair value through profit or loss are recognized on trade-date, the date on which the Bank commits to purchase or sell the asset. Fair value changes relating to financial assets designated at fair value through profit or loss are recognized in the income statement in the year in which they arise.

(ii) Loans and receivables

Loans and receivables are non-derivative financial assets with fixed or determinable payments that are not quoted in an active market, other than:

- (a) Those that the Bank intends to sell immediately or in the short term, which are classified as held for trading, and those that the Bank upon initial recognition designates as at fair value through profit or loss;
- (b) Those that the Bank upon initial recognition designates as available for sale; or

(c) Those for which the holder may not recover substantially all of its initial investment, other than because of credit deterioration. They arise when the Bank provides money, goods or services directly to a debtor with no intention of trading the receivable.

Loans and receivables are initially recognised at fair value – which is the cash consideration to originate the loan including any transaction costs – and measured subsequently at amortised cost using the effective interest method.

Loans and receivables are reported in the statement of financial position as loans and advances to customers. Interest on loans is included in the income statement and is reported as 'Interest income'. In the case of impairment, the impairment loss is reported as a deduction from the carrying value of the loan and recognised in the income statement as 'impairment losses on loans and advances'.

(iii) Available-for-sale financial assets

Available-for-sale financial assets are financial assets that are intended to be held for an indefinite period of time, which may be sold in response to needs for liquidity or changes in interest rates, exchange rates or equity prices or that are not classified as loans and receivables, held-to-maturity investments or financial assets at fair value through profit or loss.

Available-for-sale financial assets are initially recognised at fair value, which is the cash consideration including any transaction costs, and measured subsequently at fair value with gains and losses being recognised in the statement of comprehensive income, except for impairment losses and foreign exchange gains and losses, until the financial asset is derecognised. If an available-for-sale financial asset is determined to be impaired, the cumulative gain or loss previously recognised in the statement of comprehensive income is recognised in the income statement. However, interest is calculated using the effective interest method, and foreign currency gains and losses on monetary assets classified as available for sale are recognised in the income statement.

(iv) Recognition

The Bank uses trade date accounting for regular way contracts when recording financial asset transactions.

Financial assets are derecognized when the rights to receive cash flows from the financial assets have expired or where the Group has transferred substantially all risks and rewards of ownership.

Financial liabilities

All the Bank's financial liabilities are measured at amortised cost. These include deposits from banks or customers or balances due to Group, long term debt instruments and subordinated debts.

Financial liabilities are initially recognised at their fair value, being their issue proceeds (fair value of consideration received), net of transaction costs incurred and subsequently measured at amortised cost. Financial liabilities are derecognised when extinguished.

NOTES (continued)

2) Summary of significant accounting policies (continued)

(f) Financial Assets and Liabilities (continued)

Determination of fair value

For financial instruments traded in active markets, the determination of fair values of financial assets is based on quoted market prices or dealer price quotations. This includes listed equity securities and quoted debt instruments on major exchanges and broker quotes.

A financial instrument is regarded as quoted in an active market if quoted prices are readily and regularly available from an exchange, dealer, broker, industry group, pricing service or regulatory agency, and those prices represent actual and regularly occurring market transactions on an arm's length basis. If the above criteria are not met, the market is regarded as being inactive. Indicators that a market is inactive are when there is a wide bid-offer spread or significant increase in the bid-offer spread or there are few recent transactions.

For all other financial instruments, fair value is determined using valuation techniques. These include the use of recent arm's length transactions, discounted cash flow analysis and other valuation techniques commonly used by market participants.

The Bank uses widely recognised valuation models for determining fair values of government securities. For these financial instruments, inputs into models are generally market-observable.

The fair values of the Bank's financial assets and liabilities approximate the respective carrying amounts, due to the generally short periods to contractual re-pricing or maturity dates as set out above. Fair values are based on discounted cash flows using a discount rate based upon the borrowing rate that directors expect would be available to the company at the reporting date.

The fair value of foreign exchange forwards is generally based on current forward exchange rates.

The fair values of contingent liabilities correspond to their carrying amounts.

(G) LEASES

Leases are divided into finance leases and operating leases.

(a) The Bank is the lessor

(i) Finance lease

Assets leased to customers under agreements, which transfer substantially all the risks and rewards of ownership, with or without ultimate legal title, are classified as finance leases. When assets are held subject to a finance lease, the present value of the lease payments, discounted at the rate of interest implicit in the lease, is recognised as a receivable. The difference between the total payments receivable under the lease and the present value of the receivable is recognised as unearned finance income, which is allocated to accounting periods under the pre-tax net investment method to reflect a constant periodic rate of return.

(ii) Operating lease

Assets leased to customers which do not transfer substantially all the risks and rewards of ownership are classified as operating leases.

The leased assets are included within property, plant and equipment on the Bank's statement of financial position and depreciation is provided on the depreciable amount of these assets on a systematic basis over their estimated useful lives. Lease income is recognised on a straight-line basis over the period of the lease unless another systematic basis is more appropriate.

(b) The Bank is the lessee

For operating lease where the Bank is the lessee, payments, including pre-payments, made under operating leases (net of any incentives received from the lessor) are charged to the income statement on a straight-line basis over the period of the lease.

(H) IMPAIRMENT OF FINANCIAL ASSETS

(i) Assets carried at amortised cost

The Bank assesses at each reporting date whether there is objective evidence that a financial asset or group of financial assets is impaired. A financial asset or a group of financial assets is impaired and impairment losses are incurred only if there is objective evidence of impairment as a result of one or more events that occurred after the initial recognition of the asset (a 'loss event') and that loss event (or events) has an impact on the estimated future cash flows of the financial asset or group of financial assets that can be reliably estimated.

The criteria that the Bank uses to determine that there is objective evidence of an impairment loss include:

- (a) Significant financial difficulty of the issuer or obligor;
- (b) a breach of contract, such as a default or delinquency in interest or principal payments;
- (c) The lender, for economic or legal reasons relating to the borrower's financial difficulty, granting to the borrower a concession that the lender would not otherwise consider;
- (d) It becomes probable that the borrower will enter bankruptcy or other financial reorganisation;
- (e) The disappearance of an active market for that financial asset because of financial difficulties; or
- (f) Observable data indicating that there is a measurable decrease in the estimated future cash flows from a portfolio of financial assets since the initial recognition of those assets, although the decrease cannot yet be identified with the individual financial assets in the portfolio, including:
 - (i) adverse changes in the payment status of borrowers in the portfolio; and
 - (ii) national or local economic conditions that correlate with defaults on the assets in the portfolio.

The estimated period between a loss occurring and its identification is determined by local management for each identified portfolio. In general, the periods used vary between 3 and 6 months; in exceptional cases, longer periods are warranted.

The Bank first assesses whether objective evidence of impairment exists individually for financial assets that are individually significant, and collectively for financial assets that are not individually significant. If the Bank determines no objective evidence of impairment exists for an individually assessed financial asset, whether significant or not, it includes the asset in a group of financial assets with similar credit risk characteristics and collectively assesses them for impairment. Assets that are individually assessed for impairment and for which an impairment loss is or continues to be recognised are not included in a collective assessment of impairment.

NOTES (continued)

2) Summary of significant accounting policies (continued)

(H) IMPAIRMENT OF FINANCIAL ASSETS (CONTINUED)

If there is objective evidence that an impairment loss on loans carried at amortised cost has been incurred, the amount of the loss is measured as the difference between the asset's carrying amount and the present value of estimated future cash flows (excluding future credit losses that have not been incurred) discounted at the financial instrument's original effective interest rate. The carrying amount of the asset is reduced through the use of an allowance account and the amount of the loss is recognised in the profit and loss account. If a loan has a variable interest rate, the discount rate for measuring any impairment loss is the current effective interest rate determined under the contract. As a practical expedient, the Bank may measure impairment on the basis of an instrument's fair value using an observable market price.

The calculation of the present value of the estimated future cash flows of a collateralised financial asset reflects the cash flows that may result from foreclosure less costs for obtaining and selling the collateral, whether or not foreclosure is probable.

For the purposes of a collective evaluation of impairment, financial assets are grouped on the basis of similar credit risk characteristics (i.e. on the basis of the bank's grading process that considers asset type, industry, geographical location, collateral type, past-due status and other relevant factors). Those characteristics are relevant to the estimation of future cash flows for groups of such assets by being indicative of the debtors' ability to pay all amounts due according to the contractual terms of the assets being evaluated.

Future cash flows in a group of financial assets that are collectively evaluated for impairment are estimated on the basis of the contractual cash flows of the assets in the group and historical loss experience for assets with credit risk characteristics similar to those in the group. Historical loss experience is adjusted on the basis of current observable data to reflect the effects of current conditions that did not affect the period on which the historical loss experience is based and to remove the effects of conditions in the historical period that do not exist currently.

Estimates of changes in future cash flows for groups of assets should reflect and be directionally consistent with changes in related observable data from period to period (for example, changes in unemployment rates, property prices, payment status, or other factors indicative of changes in the probability of losses in the Bank and their magnitude). The methodology and assumptions used for estimating future cash flows are reviewed regularly by the Bank to reduce any differences between loss estimates and actual loss experience.

When a loan is uncollectible, it is written off against the related provision for loan impairment. Such loans are written off after all the necessary procedures have been completed and the amount of the loss has been determined. Impairment charges relating to loans and advances to customers are classified in loan impairment charges. Subsequent recoveries of amounts previously written off decrease the amount of the provision for loan impairment in the income statement.

If, in a subsequent period, the amount of the impairment loss decreases and the decrease can be related objectively to an event occurring after the impairment was recognised (such as an improvement in the debtor's credit rating), the previously recognised impairment loss is reversed by adjusting the allowance account. The amount of the reversal is recognised in the income statement.

(ii) Assets classified as available-for-sale

The Bank assesses at each reporting date whether there is objective evidence that a financial asset or a group of financial assets is impaired. In the case of equity investments classified as available for sale, a significant or prolonged decline in the fair value of the security below its cost is objective evidence of impairment resulting in the recognition of an impairment loss. If any such evidence exists for available-for-sale financial assets, the cumulative loss – measured as the difference between the acquisition cost and the current fair value, less any impairment loss on that financial asset previously recognised in profit or loss – is removed from equity and recognised in the income statement. Impairment losses recognised in the income statement on equity instruments are not reversed through the income statement. If, in a subsequent period, the fair value of a debt instrument classified as available for sale increases and the increase can be objectively related to an event occurring after the impairment loss was recognised in profit or loss, the impairment loss is reversed through the income statement.

Renegotiated loans

Renegotiated loans are loans that are either subject to collective impairment assessment or individually significant whose terms have been renegotiated and are no longer considered past due but are treated as new loans. In subsequent years the renegotiated terms apply in determining whether the asset is considered past due.

(I) IMPAIRMENT OF NON-FINANCIAL ASSETS

Intangible assets that have an indefinite useful life are not subject to amortisation and are tested annually for impairment. Assets are reviewed for impairment whenever events or changes in circumstances indicate that the carrying amount may not be recoverable. An impairment loss is recognised for the amount by which the asset's carrying amount exceeds its recoverable amount. The recoverable amount is the higher of an asset's fair value less costs to sell and value in use. For the purposes of assessing impairment, assets are grouped at the lowest levels for which there are separately identifiable cash inflows (cash-generating units). The impairment test also can be performed on a single asset when the fair value less cost to sell or the value in use can be determined reliably. Non-financial assets other than goodwill that suffered impairment are reviewed for possible reversal of the impairment at each reporting date. No non-financial assets were impaired in 2010.

(J) INVESTMENTS IN SUBSIDIARIES

Investments in subsidiary companies are carried only in the Bank's accounts at fair value. Changes in fair value of the investments are recognised in equity in "revaluation reserve on investments in subsidiaries" and subsequent recycling into the income statement on disposal or impairment.

(K) OFFSETTING FINANCIAL INSTRUMENTS

Financial assets and liabilities are offset and the net amount reported in the statement of financial position when there is a legally enforceable right to set off the recognised amounts and there is an intention to settle on a net basis, or realise the asset and settle the liability simultaneously.

NOTES (continued)

2) Summary of significant accounting policies (continued)

(L) PROPERTY AND EQUIPMENT

Land and buildings comprise mainly branches and offices. All property and equipment is stated at historical cost less depreciation. Historical cost includes expenditure that is directly attributable to the acquisition of these assets.

Subsequent expenditures are included in the asset's carrying amount or are recognised as a separate asset, as appropriate, only when it is probable that future economic benefits associated with the item will flow to the Group and the cost of the item can be measured reliably. The carrying amount of the replaced part is derecognised. All other repair and maintenance costs are charged to other operating expenses during the financial period in which they are incurred.

Freehold land is not depreciated. Depreciation on other assets is calculated on the straight line basis to write down their cost to their residual values over their estimated useful lives, as follows:

Buildings	25 – 40 years
Leasehold improvements	Over the remaining lease period
Fixtures, fittings and equipment	3 – 15 years
Motor vehicles	5 – 8 years

The assets' residual values and useful lives are reviewed, and adjusted if appropriate, at each reporting date.

The Bank assesses at each reporting date whether there is any indication that any item of property and equipment is impaired. If any such indication exists, the Bank estimates the recoverable amount of the relevant assets. An impairment loss is recognised for the amount by which the asset's carrying amount exceeds its recoverable amount. The recoverable amount is the higher of an asset's fair value less costs to sell and value in use. Gains and losses on disposal of property and equipment are determined by reference to their carrying amount and are taken into account in determining operating profit.

(M) INTANGIBLE ASSETS

Intangible assets comprise computer software and other intangible assets. Intangible assets are recognised at cost. Intangible assets with a definite useful life are amortised using the straight-line method over their estimated useful economic life, generally not exceeding 10 years. Generally, the identified intangible assets of the Bank have a definite useful life. At the end of each reporting period, intangible assets are reviewed for indications of impairment or changes in estimated future economic benefits. If such indications exist, the intangible assets are analysed to assess whether their carrying amount is fully recoverable. An impairment loss is recognised if the carrying amount exceeds the recoverable amount.

The Bank chooses to use the cost model for the measurement after recognition.

(i) Computer software

Costs associated with maintaining computer software programmes are recognised as an expense as incurred. Development costs that are directly attributable to the design and testing of identifiable and unique software products controlled by the Bank are recognised as intangible assets when the following criteria are met:

- It is technically feasible to complete the software product so that it will be available for use;
- Management intends to complete the software product and use or sell it;
- There is an ability to use or sell the software product;
- It can be demonstrated how the software product will generate probable future economic benefits;
- Adequate technical, financial and other resources to complete the development and to use or sell the software product are available; and
- The expenditure attributable to the software product during its development can be reliably measured.

Directly attributable costs that are capitalised as part of the software product include the software development employee costs and an appropriate portion of relevant overheads. Other development expenditures that do not meet these criteria are recognised as an expense as incurred. Development costs previously recognised as an expense are not recognised as an asset in a subsequent period.

(ii) Goodwill

Goodwill arises on the acquisition of subsidiary and associated entities and joint ventures. It represents the excess of fair value of the purchase consideration and direct costs of making the acquisition, over the fair value of the share of the assets acquired and the liabilities and contingent liabilities assumed on the date of acquisition.

Goodwill on acquisition of the custody business was reversed in the current year following sale of the business and has been disclosed in note 6.

(iii) Other intangible assets

Other intangible assets such as Brands and other contracts have not been recognised in the Financial statements.

The Bank does not have intangible assets with an indefinite useful life as at 31 December 2010.

(N) SALE AND REPURCHASE AGREEMENTS

Securities sold subject to repurchase agreements ('repos') are classified in the financial statements as pledged assets when the transferee has the right by contract or custom to sell or repledge the collateral; the counterparty liability is included in amounts due to Central Bank of Kenya, due to other banks, deposits from banks, other deposits or deposits due to customers, as appropriate.

Securities purchased from Central Bank of Kenya under agreements to resell ('reverse repos') are disclosed separately as they are purchased and are not negotiable/discounted during their tenure. The difference between sale and repurchase price is treated as interest and accrued over the life of the agreements using the effective interest method.

NOTES (continued)

2) Summary of significant accounting policies (continued)

(O) EMPLOYEE BENEFITS

(i) Retirement benefit obligation

The Group operates both a defined benefit plan and defined contribution plan. The assets of these schemes are held in separate trustee administered funds that are funded by contributions from the Group and the employees. Certain of the employees are members of the parent bank's defined benefit scheme. The Group and all its employees also contribute to the National Social Security Fund, which is a defined contribution scheme.

A defined contribution plan is a retirement benefit plan under which the Group pays fixed contributions into a separate entity. The Group has no legal or constructive obligation to pay further contributions if the fund does hold sufficient assets or pay all employees the benefits relating to employee service in the current and prior periods. A defined contribution plan is a retirement benefit plan that is not a defined contribution plan.

The Group's contribution to the defined contribution scheme is charged to the income statement in the year in which they fall due. The Group has no further payment obligation once the contributions have been paid.

A defined benefit plan is a pension plan that defines an amount of pension benefit that an employee will receive on retirement, usually dependent on one or more factors, such as age, years of service and compensation.

The asset recognised in the consolidated statement of financial position in respect of defined benefit pension plans is the present value of the defined benefit obligation at the reporting date less the fair value of plan assets, together with adjustments for unrecognised actuarial gains or losses and past service costs. The defined benefit obligation is calculated annually by independent actuaries using the projected unit credit method. The present value of the defined benefit obligation is determined by discounting the estimated future cash outflows using interest rates of high-quality corporate bonds that are denominated in the currency in which the benefits will be paid, and that have terms to maturity approximating the terms of the related pension liability.

Actuarial gains and losses arising from experience adjustments and changes in actuarial assumptions in excess of the greater of 10% of the value of plan assets or 10% of the defined benefit obligation are charged or credited to income statement over the employees' expected average remaining working lives. Past-service costs are recognised immediately in income, unless the changes to the pension plan are conditional on the employees remaining in service for a specified period of time (the vesting period). In this case, the past-service costs are amortised on a straight-line basis over the vesting period.

(ii) Termination benefits

Termination benefits are payable when employment is terminated by the Bank before the normal retirement date, or whenever an employee accepts voluntary redundancy in exchange for these benefits. The Bank recognises termination benefits when it is demonstrably committed to either: termination of the employment of current employees according to a detailed formal plan without possibility of withdrawal; or providing termination benefits as a result of an offer made to encourage voluntary redundancy. As at the reporting date, the Bank had no benefits falling due more than 12 months after the end of the reporting period.

(iii) Other employee entitlements

The estimated monetary liability for employees accrued annual leave entitlement at the reporting date is recognised as an expense accrual.

(P) INCOME TAX

(a) Current income tax

The tax expense for the period comprises current and deferred income tax.

Income tax expense is the aggregate of the charge to the income statement in respect of current income tax and deferred income tax. Tax is recognised in the income statement, except to the extent that it relates to items recognised in other comprehensive income or directly in equity. In this case, the tax is also recognised in other comprehensive income or directly in equity respectively.

Current income tax is the amount of income tax payable on the profit for the year determined in accordance with the Kenyan Income Tax Act.

Management periodically evaluates positions taken in tax returns with respect to situations in which applicable tax regulation is subject to interpretation. It establishes provisions where appropriate on the basis of amounts expected to be paid to the tax authorities.

(b) Deferred income tax

Deferred income tax is provided in full, using the liability method, for all temporary differences arising between the tax bases of assets and liabilities and their carrying values for financial reporting purposes.

However, if the deferred income tax arises from the initial recognition of an asset or liability in a transaction other than a business combination that at the time of the transaction affects neither accounting nor taxable profit or loss, it is not accounted for. Deferred income tax is determined using tax rates enacted or substantively enacted at the reporting date and are expected to apply when the related deferred income tax liability is settled.

Deferred income tax assets are recognised only to the extent that it is probable that future taxable profits will be available against which temporary differences can be utilised.

NOTES (continued)

2) Summary of significant accounting policies (continued)

(Q) SHARE CAPITAL

Ordinary shares are classified as 'share capital' in equity. Any premium received over and above the par value of the shares is classified as share premium in equity.

(R) STATUTORY LOAN LOSS RESERVE

Where impairment losses required by the regulators exceeds those computed under IFRS, the excess is recognised as a statutory loan loss reserve and is accounted for as an appropriation of retained earnings. The statutory loan loss reserve is not distributable.

(S) DIVIDENDS PAYABLE

Dividends on ordinary shares are charged to equity in the period in which they are declared. Proposed dividends are shown as a separate component of equity until declared.

(T) DERIVATIVE FINANCIAL INSTRUMENTS

Derivatives, which comprise forward foreign exchange contracts and foreign exchange swaps, are initially recognised at fair value on the date the derivative contract is entered into and are subsequently measured at fair value. The fair value is determined using forward exchange market rates at the reporting date or appropriate pricing models. The derivatives do not qualify for hedge accounting. Changes in the fair value of derivatives are recognised immediately in the income statement.

(U) PROVISIONS

Provisions are recognised for present obligations arising as consequences of past events where it is more likely than not that a transfer of economic benefits will be necessary to settle the obligation, and these can be reliably estimated. When a leasehold property ceases to be used in the business, a provision is made where the unavoidable costs of the future obligations relating to the lease are expected to exceed anticipated rental income. The net costs are discounted using market rates of interest to reflect the long-term nature of the cash flows.

Provision is made for the anticipated cost of restructuring, including redundancy costs when an obligation exists. An obligation exists when the group has a detailed formal plan for restructuring a business and has raised valid expectations in those affected by the restructuring by starting to implement the plan or announcing its main features. The provision raised is normally utilised within nine months.

Contingent liabilities are possible obligations whose existence will be confirmed only by uncertain future events or present obligations where the transfer of economic benefit is uncertain or cannot be reliably measured. Contingent liabilities are not recognised but are disclosed unless they are remote.

(V) CASH AND CASH EQUIVALENTS

For the purposes of the statement of cash flows, cash and cash equivalents comprise balances with less than 90 days maturity from the date of acquisition including: cash and balances with the Central Bank of Kenya, treasury bills and amounts due from other banks. Cash and cash equivalents exclude the cash reserve requirement held with the Central Bank of Kenya.

(W) ACCEPTANCES AND LETTERS OF CREDIT

Acceptances and letters of credit are accounted for as off balance sheet transactions and disclosed as contingent liabilities.

(X) FIDUCIARY ACTIVITIES

The Group commonly acts as trustee, nominee or agent and in other fiduciary capacities that result in the holding or placing of assets on behalf of individuals, trusts, retirement benefit plans and other institutions. These assets and income arising thereon are excluded from these financial statements, as they are not assets of the group.

The Group disposed of its custodial business during the year as discussed in note 6 to the financial statements.

(Y) SEGMENT REPORTING

Operating segments are reported in a manner consistent with the internal reporting provided to the chief operating decision-maker. The chief operating decision-maker who is responsible for allocating resources and assessing the performance of the operating segments has been identified as the Country Management Committee that makes strategic decisions.

All transactions between business segments are conducted on an arm's length basis, with intra-segment revenue and costs being eliminated in head office. Income and expenses directly associated with each segment are included in determining business segment performance.

In accordance with IFRS 8, the Bank has the following business segments: Consumer banking and Corporate banking.

(Z) COMPARATIVES

Except when a standard or an interpretation permits or requires otherwise, all amounts are reported or disclosed with comparative information.

NOTES (continued)

3) CRITICAL ACCOUNTING ESTIMATES

IFRS require that the Group adopts accounting policies and estimation techniques that the Directors believe are most appropriate in the circumstances for the purpose of giving a true and fair view of the state of the Group's financial affairs, its' profit and cash flows. However different policies, estimation techniques and assumptions in critical areas could lead to materially different results.

The following are estimates which are considered to be complex and involve significant amounts of management valuation judgements, often in areas that are inherently uncertain.

(i) Impairment of financial assets

The estimation of potential credit losses is inherently uncertain and depends upon many factors, including general economic conditions, changes in individual customers' circumstances, structural changes within industries that alter competitive positions and other external factors such as legal and regulatory requirements.

Identified impairment is raised when the Group considers that the credit worthiness of a borrower has deteriorated such that recovery of the whole or part of an outstanding advance is in serious doubt.

For larger accounts, this is done on an individual basis and all relevant considerations that have a bearing on the expected future cash flows are taken into account, for example the business prospects for the customer, the realisable value of collateral, the group's position relative to other claimants and the reliability of customer information. Subjective judgements are made in this process that may vary from person to person and team to team. Judgements may also change with time as new information becomes available.

Within the consumer and small business portfolio, which comprise a large number of small homogeneous assets, statistical techniques are used to raise identified impairment on a portfolio basis, based on historical recovery rates. These statistical techniques use as primary inputs the extent to which accounts in the portfolio are in arrears and historical information on the eventual losses encountered from such delinquent portfolios. The models do not contain judgemental inputs but judgement and knowledge is needed in selecting the statistical methods to use when the models are developed or revised.

Unidentified impairment is raised to cover losses which are known from previous historical experience to be present in loans and advances at the reporting date, but which have not yet been specifically identified.

(ii) Fair value of financial instruments

The fair value of a financial instrument is the amount at which the instrument could be exchanged in a current transaction between willing parties, other than in a forced or liquidation sale. Some of the group's financial instruments are carried at fair value and include swaps, forwards and debt securities held as available for sale.

Financial instruments are either priced with reference to a quoted market price for that instrument or by using a valuation model. These models use as their basis independently sourced market parameters including, for example, interest rate yield curves. Most market parameters are either directly observable or are implied from instrument prices. However, where no observable price is available then instrument fair value will include provision for the uncertainty in the market parameter based on sale price or subsequent traded levels.

The sensitivity information for these financial instruments is shown in Note 35.

(iii) Income taxes

Significant estimates are required in determining the provision for income taxes. There are many transactions and calculations for which the ultimate tax determination is uncertain during the ordinary course of business. Where the final tax outcome is different from the amounts that were initially recorded, such differences will impact the income tax and deferred tax provisions in the period in which such determination is made. Refer to the disclosure on contingent tax liabilities in note 31.

iv) Retirement benefits

The present value of the retirement benefit obligations depends on a number of factors that are determined on an actuarial basis using a number of assumptions. Any changes in these assumptions will impact the carrying amount of pension obligations. The assumptions used in determining the net cost (income) for pensions are disclosed in note 22. The Group determines the appropriate discount rate at the end of each year. This is the interest rate that should be used to determine the present value of estimated future cash outflows expected to be required to settle the pension obligations. In determining the appropriate discount rate, the Group considers the interest rates of high-quality corporate bonds that are denominated in Kenya Shillings in which the benefits will be paid and that have terms to maturity approximating the terms of the related pension liability. Other key assumptions for pension obligations are based in part on current market conditions and are discussed in Note 22 of these financial statements.

NOTES (continued)

4 Interest income

	2010 Kshs million	2009 Kshs million
Loans and advances	13,553	13,438
Government securities	3,099	3,272
Cash and short term funds	42	337
Other	437	470
	17,131	17,517

5 Interest expense

Customer deposits	1,071	2,150
Deposits by banks	99	165
Subordinated debt	30	43
Medium term note	256	303
Other	1	86
	1,457	2,747

6 Net income from sale of the custody business

Barclays Bank of Kenya concluded its sale of the custodial business to Standard Chartered Bank of Kenya on 31 October 2010. The net proceeds from the sale after associated costs was Kshs 3,544 million. Other than outstanding fees, there were no separately identifiable assets attributed to this business.

Goodwill of Kshs 128 million relating to the custody business and related expenses of Kshs 57 million have been deducted from the transaction proceeds in arriving at the net income from the sale.

The directors do not consider the income from this business to have been significant to both the Bank and the Group.

Fiduciary assets held by the Group at the end of 2009 are disclosed in note 32 of these financial statements.

NOTES (continued)

7 Other operating income

	2010 Kshs million	2009 Kshs million
Net changes on financial instruments designated at fair value through profit or loss account	(62)	160
Other operating income	693	19
	<u>631</u>	<u>179</u>

8 Other operating expenses

Staff costs (note 9)	8,398	7,223
Other administrative expenses	5,651	6,659
	<u>14,049</u>	<u>13,882</u>

Other administrative expenses include:

Amortisation of intangibles (note 20)	432	206
Depreciation (note 19)	744	722
Amortisation of leasehold land (note 21)	1	1
Operating lease rentals	868	872
Auditor's remuneration	17	17
	<u></u>	<u></u>

9 Staff costs

Salaries and accrued incentive payments	6,353	5,986
Temporary staff costs	17	31
Social security costs	14	12
Retirement benefit costs (note 22)	756	583
Staff training	95	80
Staff medical costs	363	274
Other staff costs	800	257
	<u></u>	<u></u>

Total staff costs	<u>8,398</u>	<u>7,223</u>
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2010 Number	2009 Number
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The number of persons employed by the Group as at year end was:	<u>5,039</u>	<u>5,325</u>
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NOTES (continued)

	GROUP AND BANK	
	2010 Kshs million	2009 Kshs million
10 Income tax expense		
Current income tax	3,232	2,778
Deferred income tax (note 18)	(278)	133
	<u>2,954</u>	<u>2,911</u>

The tax on the group's profit before income tax differs from the theoretical amount that would arise using the statutory tax rate as follows:

	2010 Kshs million	2009 Kshs million
Profit before income tax	13,553	9,002
Tax calculated at the statutory tax rate of 30% (2009: 30%)	4,066	2,701
Tax effect of:		
• Income not subject to tax	(1,242)	(1)
• Expenses not deductible for tax purposes	220	104
• (Over)/Under provision of deferred tax in prior years	(90)	107
Income tax expense	<u>2,954</u>	<u>2,911</u>

There is a deferred tax charge of Kshs 167 million (2009: Kshs 54 million) that has been dealt with in the statement of other comprehensive income relating to available-for-sale assets (Note 14).

11 Earnings per share

Basic earnings per share is calculated by dividing the profit attributable to shareholders of Kshs 10,599 million (2009: Kshs 6,091 million) by the weighted average number of ordinary shares in issue during the year.

	GROUP AND BANK	
	2010 Kshs million	2009 Kshs million
Net profit attributable to shareholders (Kshs million)	10,599	6,091
Weighted average number of ordinary shares in issue (millions)	1,358	1,358
Basic earnings per share (Kshs)	<u>7.8</u>	<u>4.5</u>

There were no potentially dilutive shares outstanding at 31 December 2010 or 2009. Diluted earnings per share are therefore the same as basic earnings per share.

NOTES (continued)

12 Dividends per share

Proposed dividends are accounted for as a separate component of equity until they have been ratified at an annual general meeting. At the forthcoming Annual General Meeting to be held on 27 May 2011, a final dividend in respect of the year ended 31 December 2010 of Kshs 4.70 per share amounting to a total of Kshs 6,382 million is to be proposed. During the year an interim dividend of Kshs 0.75 per share, amounting to a total of Kshs 1,018 million was paid (2009: Kshs 679 million). The total dividend for the year is therefore Kshs 5.45 per share (2009: Kshs 2.50), amounting to a total of Kshs 7,400 million (2009: Kshs 3,395 million).

Payment of dividends is subject to withholding tax at a rate of 5% for residents and 10%, for non-resident shareholders.

13 Cash and balances with Central Bank of Kenya

	GROUP AND BANK	
	2010	2009
	Kshs million	Kshs million
Cash in hand	5,642	4,103
Balances with Central Bank of Kenya	7,489	5,648
	13,131	9,751

14 Government securities: available-for-sale securities

Treasury bills and bonds:		
Maturing within 90 days	19	2,356
Maturing after 90 days	55,977	41,505
	55,996	43,861

Treasury bills and bonds are debt securities issued by the Government of Kenya and are classified as available-for-sale. The weighted average effective interest rate on the Government securities as at 31 December 2010 was 6.4% (2009: 9.7%).

A fair value gain of Kshs 390 million (Gross, Kshs 557 million less deferred tax of Kshs 167 million) has been dealt with in the statement of other comprehensive income. In 2009, a fair value gain of Kshs 372 million (Gross, Kshs 426 million less deferred tax of Kshs 54 million) was recognised in the statement of other comprehensive income.

NOTES (continued)

	GROUP AND BANK	
	2010 Kshs million	2009 Kshs million
15 Deposits and balances due from banking institutions		
Items in course of collection from other banks	835	860
Placements with other banks	100	201
	935	1,061

The weighted average effective interest rate on deposits and balances due from banking institutions as at 31 December 2010 was 1.8% (2009: 6.5%).

16 Loans and advances to customers

	GROUP AND BANK	
	2010 Kshs million	2009 Kshs million
Overdrafts	7,846	7,705
Commercial loans	73,180	80,011
Advances under finance lease agreements	3,196	4,017
Bills discounted	6,661	5,511
Bills negotiated	1	4
La Riba	46	21
Gross loans and advances to customers	90,930	97,269
Less:		
Allowances for impairment of loans and advances		
- Identified	(3,550)	(3,515)
- Unidentified	(233)	(211)
Loans and advances to customers net of provisions	87,147	93,543

The aggregate amount of impaired loans included in the statement of financial position (net of impairment losses) is Kshs 2,269 million (2009: Kshs 2,357 million). All such loans have been written down to the present value of their recoverable amount.

NOTES (continued)

16 Loans and advances to customers (continued)

Movements in provisions for impairment of loans and advances are as follows:

	Identified provisions	GROUP AND BANK Unidentified provisions	Total
	Kshs million	Kshs million	Kshs million
Year ended 31 December 2009			
At 1 January 2009	3,665	113	3,778
New impairment provisions	1,015	-	1,015
Increase in impairment provisions	287	98	385
Recoveries and impairment provisions no longer required	(522)	-	(522)
Net increase in impairment provisions	780	98	878
Amounts written off during the current year	(930)	-	(930)
At 31 December 2009	3,515	211	3,726
Net increase in impairment provisions above Amount recovered previously written off	780 (365)	98 -	878 (365)
Net impairment charge to the income statement	415	98	513
Year ended 31 December 2010			
At 1 January 2010	3,515	211	3,726
New impairment provisions	1,696	-	1,696
Increase in impairment provisions	110	22	132
Recoveries and impairment provisions no longer required	(337)	-	(337)
Net increase in impairment provisions	1,469	22	1,491
Amounts written off during the current year	(1,434)	-	(1,434)
At 31 December 2010	3,550	233	3,783
Net increase in impairment provisions above Amounts recovered previously written off	1,469 (291)	22 -	1,491 (291)
Net impairment charge to the income statement	1,178	22	1,200

The weighted average effective interest rate on loans and advances as at 31 December 2010 was 14.8% (2009: 13.7%).

NOTES (continued)

16 Loans and advances to customers (continued)

Impaired Loans and advances to customers

	GROUP AND BANK	
	2010 Kshs million	2009 Kshs million
As at 31 December		
Loans and advances individually and collectively assessed as impaired	5,819	5,872
Impairment allowance	(3,550)	(3,515)
Loans and advances to customers individually impaired - net	2,269	2,357
Unidentified impairment allowance	(233)	(211)

Economic sector risk concentrations within the customer loan portfolio were as follows:

	GROUP AND BANK	
	2010 %	2009 %
Manufacturing	6	7
Wholesale and retail trade	5	6
Transport and communications	1	8
Business services	3	1
Agricultural	2	1
Private individuals	48	52
Other	35	25
	100	100

17 Investments in subsidiary companies

	Percentage Shareholding	BANK	
		2010 Kshs million	2009 Kshs million
Barclays Financial Services Limited	100%	275	275
Barclays (Kenya) Nominees Limited	100%	-	-
Barclays Bank Insurance Agency Limited	100%	-	-
		275	275

Barclays (Kenya) Nominees Limited holds various securities on behalf of customers of Barclays Bank of Kenya Ltd. Barclays Financial Services Limited (formerly Barclays Mortgages Limited) and Barclays Bank Insurance Agency Limited (formerly Barclays Mercantile Limited) are dormant companies. The subsidiaries, all of which are unlisted, are incorporated in Kenya and have the same year end as the company.

NOTES (continued)

18 Deferred income tax

Deferred income tax is calculated, in full, on all temporary differences under the liability method using the enacted income tax rate of 30% (2009 : 30%). The movement on the deferred tax account is as follows:

GROUP AND BANK

	2010 Kshs million	2009 Kshs million
At start of year	(619)	(432)
Statement of other comprehensive income	(167)	(54)
Income statement charge (Note 10)	278	(133)
At end of year	<u>(508)</u>	<u>(619)</u>

Consolidated deferred income tax assets and liabilities and deferred income tax credit in the income statement and statement of other comprehensive income are attributable to the following items.

	1.1.2010 Kshs million	Cr/(Dr) to income statement Kshs million	Cr/(Dr) to comprehensive income Kshs million	31.12.2010 Kshs million
Deferred tax liabilities				
Unrealised fair value gain on FVTPL	(123)	19	-	(104)
Property and equipment at historical cost	33	(59)	-	(26)
Retirement benefit asset	(551)	89	-	(462)
Fair value on available-for-sale instruments	(54)	-	(167)	(221)
Deferred tax assets				
Provisions	76	(1)	-	75
Restructuring expense	-	230	-	230
Net deferred tax liability	<u>(619)</u>	<u>278</u>	<u>(167)</u>	<u>(508)</u>

	1.1.2009 Kshs million	Cr/(Dr) to income statement Kshs million	Cr/(Dr) to comprehensive income Kshs million	31.12.2009 Kshs million
Deferred tax liabilities				
Unrealised fair value gain on FVTPL	-	(123)	-	(123)
Retirement benefit asset	(444)	(107)	-	(551)
Available-for-sale fair value movement	-	-	(54)	(54)
Deferred tax assets				
Provisions	19	57	-	76
Property and equipment at historical cost	(7)	40	-	33
Net deferred tax liability	<u>(432)</u>	<u>(133)</u>	<u>(54)</u>	<u>(619)</u>

NOTES (continued)

19 Property and equipment

	GROUP AND BANK					
	Freehold land and buildings	Leasehold land and buildings	Fixtures fittings and equipment	Motor vehicles	WIP	Total
	Kshs million	Kshs million	Kshs million	Kshs million	Kshs million	Kshs million
At 1 January 2009						
Acquisition cost	100	2,908	4,886	57	-	7,951
Accumulated depreciation	(33)	(944)	(3,525)	(46)	-	(4,548)
Opening net book value	67	1,964	1,361	11	-	3,403
Year ended 31 December 2009						
Opening net book value	67	1,964	1,361	11	-	3,403
Additions	1	193	431	6	2,610	3,241
Disposals	-	-	(1)	-	-	(1)
Transfers	21	(21)	-	-	-	-
Depreciation charge	(2)	(277)	(439)	(4)	-	(722)
Closing net book value	87	1,859	1,352	13	2,610	5,921
At 31 December 2009						
Acquisition cost	122	3,080	5,316	40	2,610	11,168
Accumulated depreciation	(35)	(1,221)	(3,964)	(27)	-	(5,247)
Closing net book value	87	1,859	1,352	13	2,610	5,921
Year ended 31 December 2010						
Opening net book value	87	1,859	1,352	13	2,610	5,921
Additions	5	92	190	-	1,102	1,389
Disposals	-	-	-	-	-	-
Transfers	-	-	(75)	-	(3,247)	(3,322)
Depreciation charge	(1)	(284)	(455)	(4)	-	(744)
Closing net book value	91	1,667	1,012	9	465	3,244
At 31 December 2010						
Acquisition cost	127	3,172	5,431	40	465	9,235
Accumulated depreciation	(36)	(1,505)	(4,419)	(31)	-	(5,991)
Closing net book value	91	1,667	1,012	9	465	3,244

NOTES (continued)

20 Intangible assets

	GROUP AND BANK		
	Goodwill	Computer software	Total
	Kshs million	Kshs million	Kshs million
At 1 January 2009			
Acquisition cost	160	441	601
Accumulated amortisation	(32)	(23)	(55)
Opening net book value	128	418	546
Year ended 31 December 2009			
Opening net book value	128	418	546
Additions	-	346	346
Amortisation charge	-	(206)	(206)
Closing net book value	128	558	686
At 31 December 2009			
Acquisition cost	160	787	947
Accumulated amortisation	(32)	(229)	(261)
Closing net book value	128	558	686
Year ended 31 December 2010			
Opening net book value	128	558	686
Additions	-	3,322	3,322
Amortisation charge	-	(432)	(432)
Written off on disposal of custody business	(128)	-	(128)
Closing net book value	-	3,448	3,448
At 31 December 2010			
Acquisition cost	-	4,109	4,109
Accumulated amortisation	-	(661)	(661)
Closing net book value	-	3,448	3,448

Kshs 3,322 million of accumulated WIP was transferred to intangible assets on the implementation of the new banking platform during the year. Kshs 559 million of the additional WIP in the year relates to costs incurred by Barclays Plc on behalf of the Bank.

NOTES (continued)

21 Prepaid operating lease rentals

Leasehold land is disclosed as prepaid operating lease rentals and carried at cost less amortisation over the period of the lease.

GROUP AND BANK

	2010 Kshs million	2009 Kshs million
At start of the year	62	63
Amortisation charge for the year	(1)	(1)
At end of year	61	62

22 Retirement benefit assets

The amounts recognised in the statement of financial position are determined as follows:

GROUP AND BANK

	2010 Kshs million	2009 Kshs million
Present value of funded obligations	(10,738)	(8,773)
Fair value of scheme assets	10,683	8,714
Fund deficit	(55)	(59)
Unrecognised actuarial losses	1,594	1,896
Asset in the statement of financial position	1,539	1,837

The amounts recognised in the income statement for the year are as follows:

Current service cost	491	447
Interest cost	1,176	1,006
Expected return on plan assets	(1,148)	(920)
Amortisation of actuarial losses	237	50
Net charge for the year included in staff costs (Note 9)	756	583
Contributions paid	(458)	(400)
Movement in the asset recognised in the statement of financial position	298	183

NOTES (continued)

22 Retirement benefits assets (continued)

Changes in the present value of the defined benefit obligation over the year:

	GROUP AND BANK	
	2010	2009
	Kshs million	Kshs million
Defined benefit obligation at start of year	8,773	8,021
Service cost	491	447
Employee contributions	234	192
Interest cost	1,176	1,006
Actuarial losses and /(gains)	801	(300)
Benefits paid	(737)	(593)
Defined benefit obligation at end of year	10,738	8,773

Changes in the fair value of plan assets over the year:

Assets at start of year	8,714	7,061
Expected return on plan assets	1,148	920
Actuarial gains and /(losses)	866	734
Employer contributions	458	400
Employee contributions	234	192
Benefits paid	(737)	(593)
Assets at end of year	10,683	8,714

Plan assets comprise

	2010	%	2009	%
	Kshs million		Kshs million	
Equity instruments	4,273	40%	3,485	40%
Debt instruments and fixed deposits	3,846	36%	2,964	34%
Property	2,564	24%	2,265	26%
	10,683	100%	8,714	100%

Pension plan assets include buildings occupied by the bank with a fair value of Kshs 1,595 million. The actual return on scheme assets was 20% (2009: 11%)

Five year summary

	2010	2009	2008	2007	2006
	Kshs million	Kshs million	Kshs million	Kshs million	Kshs million
Present value of funded obligation	(10,738)	(8,773)	(8,021)	(7,033)	(6,497)
Fair value of scheme assets	10,683	8,714	7,061	8,090	7,620
(Deficit) /surplus in plan	(55)	(59)	(960)	1,057	1,123
Unrecognised actuarial losses	1,594	1,896	2,980	653	356
	1,539	1,837	2,020	1,710	1,479

NOTES (continued)

22 Retirement benefits assets (continued)

The principal actuarial assumptions used were as follows:

	2010	2009
- Discount rate	9.5%	13.5%
- Expected rate of return on scheme assets	10.5%	13.0%
- Future salary increases	10.0%	10.0%
- future pension increases	2.0%	4.5%

23 Other assets

	GROUP AND BANK	
	2010	2009
	Kshs million	Kshs million
Financial guarantee	75	262
Deferred costs	24	43
Other assets	3,180	1,191
	<u>3,279</u>	<u>1,496</u>

24 Balances due to Central Bank of Kenya

Reverse repo	<u>3,105</u>	<u>1,503</u>
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In the normal course of business, the Group borrows overnight from Central Bank of Kenya. On 31 December 2010 the effective interest rate was 1% (2009: 4%).

25 Customer deposits

	GROUP AND BANK	
	2010	2009
	Kshs million	Kshs million
Current and demand deposits	78,472	72,329
Savings accounts	19,497	16,597
Fixed deposit accounts	23,023	34,323
La Riba accounts	2,834	2,620
	<u>123,826</u>	<u>125,869</u>

The weighted average effective interest rate on interest bearing customer deposits as at 31 December 2010 was 0.9% (2009: 1.7%).

Business sector risk concentrations within the customer deposit portfolio were as follows:-

	GROUP AND BANK	
	2010	2009
	%	%
Non financial public enterprises	3.2	3.7
Private enterprises	51.8	16.1
Non-profit enterprises & individuals	28.3	62.1
Foreign currency	15.0	16.5
Other	1.7	1.6
	<u>100</u>	<u>100</u>

NOTES (continued)

26 Deposits and balances due to banking institutions

	GROUP AND BANK	
	2010	2009
	Kshs million	Kshs million
Balances due to local banks	92	168
Balances due to foreign banks	–	94
	<u>92</u>	<u>262</u>

The weighted average effective interest rate on deposits and balances due to banking institutions as at 31 December 2010 was 2.9% (2009: 5.3%).

27 Lines of credit

	GROUP AND BANK	
	2010	2009
	Kshs million	Kshs million
Lines of credit relate to loans administered on behalf of the following agencies as follows:		
European Investment Bank (EIB) Global Private Enterprises loan programme funding	–	34

The weighted average effective interest rate on the lines of credit as at 31 December 2010 was nil (2009: 3.97%).

28 Long term liabilities

	GROUP AND BANK	
	2010	2009
	Kshs million	Kshs million
Fixed and floating rate medium term notes	3,058	3,079
Subordinated debt	1,293	1,215
	<u>4,351</u>	<u>4,294</u>

The medium term notes are an unsecured five year term note issued by the Bank for the development of its business and to strengthen its capital base. They are registered with the Capital Markets Authority. These notes bear interest at rates referenced to the Government of Kenya Treasury bill rates. Effective interest rate at 31 December 2010 was 8.6% (December 2009: 10.01%).

The subordinated debt is an unsecured 10 year loan capital issued by Barclays Bank Plc to enhance the Bank's capital base. The debt obligation of the Bank ranks ahead of the interest of holders of equity and is redeemable on maturity. These notes bear interest at rates referenced to the Libor. The effective interest rate on the subordinated debt as at 31 December 2010 was 2.4% (December 2009: 3.51%).

29 Other liabilities

	GROUP		BANK	
	2010	2009	2010	2009
	Kshs million	Kshs million	Kshs million	Kshs million
Bills payable	846	807	846	807
Unclaimed dividends	384	148	384	148
Deferred income	62	249	62	249
Restructuring expense	767	–	767	–
Other	5,245	2,780	5,518	3,053
	<u>7,304</u>	<u>3,984</u>	<u>7,577</u>	<u>4,257</u>

NOTES (continued)

30 Share capital

	Number of shares in Kshs millions	Ordinary shares Kshs million
Issued and fully paid		
Balance at 1 January 2009	1,358	2,716
Balance at 1 January 2010	1,358	2,716
Balance at 31 December 2010	1,358	2,716

Capital management

Barclays Bank Plc operates a centralised capital management model, considering both regulatory and economic capital. The capital management strategy is to continue to maximise shareholder value through optimising both the level and mix of capital resources in order to:

- meet the individual capital ratios required by our regulators plus a prudent buffer.
- maintain a high credit rating.
- generate sufficient capital to support asset growth.
- manage the currency exposure to its overall equivalent capital requirement.

Decisions on the allocation of capital resources are based on a number of factors including return on economic and regulatory capital. This is conducted as part of the strategic planning review.

Capital resources

The Group manages both its debt and equity capital actively.

	2010 Kshs million	2009 Kshs million
Shareholders' equity	31,465	24,210
Total capital resources	31,465	24,210

The authorised share capital of Barclays Bank of Kenya Limited is Kshs 2,720 million comprising 1,360 million ordinary shares with a par value of Kshs 2 per share. The issued share capital comprises 1,358 million ordinary shares with a par value of Kshs 2 each. All issued shares are fully paid for.

Regulatory capital**Supervision and regulation**

Barclays Bank of Kenya Limited is a financial services group involved primarily in Banking and Asset Management, and has 119 branches across the Country. The Group's operations are subject to rules and regulations, including reserve and reporting requirements and conduct of business requirements imposed by the Central Bank of Kenya and other regulatory authorities.

Regulatory capital and capital adequacy

Capital adequacy and the use of regulatory capital are monitored by the Group, employing techniques based on the guidelines developed by the Basel Committee on Banking Supervision (the Basel Committee), as implemented by the Central Bank of Kenya for supervisory purposes. These techniques include the risk asset ratio calculation. The ratio calculation involves the application of designated risk weightings to reflect an estimate of credit, market and other risks associated with broad categories of transactions and counterparties.

Regulatory guidelines define two 'tiers' of capital resources. Tier 1 capital, comprising mainly shareholders' funds used to meet trading and banking activity requirements. Tier 2 includes perpetual, medium-term and long-term subordinated debt, general provisions for bad and doubtful debts and fixed asset revaluation reserves. Tier 2 capital can also be used to support both trading and banking activities. Tier 2 capital included in the risk asset ratio calculation may not exceed Tier 1 capital.

NOTES (continued)

30 Share capital (continued)

Capital ratios

The Group's capital ratio and its weighted risk assets as at 31 December 2010 and 2009 were as follows:-

	GROUP AND BANK	
	2010	2009
Capital ratios		
Core capital to risk assets	26.6%	19.1%
Minimum	8.0%	8.0%
Total capital to risk assets	31.2%	23.8%
Minimum	12.0%	12.0%
	Kshs million	Kshs million
Weighted risk assets		
On balance sheet	95,279	102,012
Off balance sheet	11,649	13,868
Total weighted risk assets	106,928	115,880

The distribution of shareholders as at 31 December 2010 was as follows:

Share range	Number of shareholders	Shares held	%
Less than 500	19,571	4,227,060	0.31
501 to 5,000	22,376	40,615,988	2.99
5,001 to 10,000	13,243	102,052,196	7.52
10,001 to 100,000	2,335	65,453,108	4.82
100,001 to 1,000,000	310	87,445,061	6.44
Above 1,000,000	53	1,058,090,587	77.92
Total	57,888	1,357,884,000	100

The shareholders with the largest shareholding as at 31 December 2010 were:

Name	Share held	%
Barclays Bank Plc	930,204,000	68.50
National Social Security Fund Board of Trustees	22,459,165	1.65
Barclays (Kenya) Nominees Limited – Account No. 1256	6,290,865	0.46
Standard Chartered Nominees Limited A/C 9230 Kenya	5,087,405	0.37
The Jubilee Insurance Company of Kenya Limited Kenya	4,506,955	0.33
Standard Chartered Nominees Limited Non-Resident A/C 9057 Kenya	4,364,240	0.32
Standard Chartered Nominees Limited A/C 1256B Kenya	3,948,347	0.29
Old Mutual Life Assurance Company Ltd Kenya	3,943,340	0.29
Standard Chartered Nominees Limited A/C 9389 Kenya	3,290,059	0.24
Others	373,789,624	27.53

NOTES (continued)

31 Off balance sheet financial instruments, contingent liabilities and commitments

In common with other banks, the group conducts business involving acceptances, guarantees, performance bonds and indemnities. The majority of these facilities are offset by corresponding obligations of third parties. In addition, there are other off-balance sheet financial instruments including forward contracts for the purchase and sale of foreign currencies, the nominal amounts for which are not reflected in the consolidated balance sheet.

	GROUP AND BANK	
	2010	2009
	Kshs million	Kshs million
Contingent liabilities		
Acceptances and letters of credit	3,770	4,792
Guarantee and performance bonds	12,083	13,561
	15,853	18,353

An acceptance is an undertaking by a bank to pay a bill of exchange drawn on a customer. The group expects most acceptances to be presented and reimbursement by the customer is normally immediate. Letters of credit commit the bank to make payments to third parties on production of documents, which are subsequently reimbursed by customers.

Guarantees and assets pledged as security are generally written by a bank to support the performance of a customer to third parties. The group will only be required to meet these obligations in the event of the customers' default.

Similarly the bank has obtained undertakings from Barclays Bank PLC to the following extent:

- Documentary credits facility of Kshs 111,504,000
- Bonds, guarantees and indemnities facility of Kshs 797,791,881
- Letters of credit of Kshs 1,319,954,489

Nature of the contingent liabilities

	GROUP AND BANK	
	2010	2009
	Kshs million	Kshs million
Commitments		
Undrawn formal stand-by facilities, credit lines and other commitments to lend	1,374	1,783
Forwards and SWAPS	2,739	3,945
Foreign exchange spot settlement agreements	814	1,248
	4,927	6,976

Commitments to lend are agreements to lend to a customer in future subject to certain conditions. Such commitments are normally made for a fixed period. The bank may withdraw from its contractual obligation for the undrawn portion of agreed overdraft limits by giving reasonable notice to the customer. Undelivered spot transactions represent commitment either to buy or sell foreign currency and are recognised at cost on the trade date.

Contingent tax liabilities

There are a number of open tax issues that are currently the subject of discussion between Barclays Bank of Kenya Limited and the Kenya Revenue Authority. Based on appropriate professional advice, the directors are of the opinion that no significant loss is expected and therefore, no provision has been made in these accounts. As at 31 December 2010, the Kenya Revenue Authority had issued tax demand notes amounting to Kshs 901 million, which were objected by the Bank and are now subject to deliberations at the local tax tribunal committees and the High Court.

NOTES (continued)

32 Fiduciary activities

The Group held asset security documents on behalf of customers with a value of Kshs 173,254 million at the end of 2009. Most of these securities were held by the custody services department. The assets comprise of deposits with financial institutions, government securities, debentures, title deeds, quoted and unquoted shares. The custody business was sold during the year as discussed in note 6.

33 Segment analysis

Following the management approach of IFRS 8, operating segments are reported in accordance with the internal reporting provided to the Country Management Committee (the chief operating decision-maker), which is responsible for allocating resources to the reportable segments and assesses its performance.

The Group has two main business segments:

- Consumer banking – incorporating private customer current accounts, savings, deposits, credit and debit cards, consumer loans and mortgages; and
- Corporate banking – incorporating direct debit facilities, current accounts, deposits, overdrafts, loan and other credit facilities, foreign currency dealings and derivative products.

Given the majority of the Group revenues are derived from interest and dealing activities and the Country Management Committee (CMC) relies primarily on net interest revenue and dealing income to assess the performance of the segments, the total interest income and expense for all reportable segments is presented on a net basis.

There were no changes in the reportable segments during the year. Transactions between the business segments are carried out at arm's length. The revenue from external parties reported to the CMC is measured in a manner consistent with that in the consolidated income statement.

Funds are ordinarily allocated between segments, resulting in funding cost transfers disclosed in inter-segment net interest income. Revenue-sharing agreements are used to allocate external customer revenues to a business segment on a reasonable basis.

The Group's management reporting is based on a measure of operating profit comprising net interest income, loan impairment charges, net fee and commission income, other income and non-interest expenses. This measurement basis excludes the effects of non-recurring expenditure from the operating segments such as restructuring costs, legal expenses.

The information provided about each segment is based on the internal reports about segment profit or loss, assets and other information, which are regularly reviewed by the CMC. Segment assets and liabilities comprise operating assets and liabilities, being the majority of the consolidated statement of financial position, but exclude items such as taxation, property and equipment.

NOTES (continued)

33 Segments analysis (continued)

The segment results for the year ended 31 December 2010 are as follows:

At 31 December 2010	Total Segment Kshs million	Corporate Banking Kshs million	Consumer Banking Kshs million	Unallocated Kshs million
Net interest income	15,674	6,430	9,244	—
Non interest income	10,351	4,718	5,633	—
Inter segment interest	-	336	(336)	—
Operating income	26,025	11,484	14,541	—
Impairment losses on loans and advances	(1,200)	(6)	(1,194)	—
Depreciation and amortisation	(1,176)	—	—	(1,176)
Restructuring expense	(767)	—	—	(767)
Other operating expenses	(12,873)	(960)	(4,668)	(7,245)
Operating profit	10,009	10,518	8,679	(9,188)
Net income from sale of custody business	3,544	3,544	—	—
Profit before income tax	13,553	14,062	8,679	(9,188)
Income tax expense	(2,954)	—	—	(2,954)
Profit after tax	10,599	14,062	8,679	(12,142)
Total assets	172,415	106,899	50,604	14,912
Total liabilities	140,950	39,001	84,818	17,131
Additions of non-current assets	1,389	—	—	1,389

NOTES (continued)

33 Segments analysis (continued)

The segment results for the year ended 31 December 2009 are as follows:

At 31 December 2009	Total Segment	Corporate Banking	Consumer Banking	Unallocated
	Kshs million	Kshs million	Kshs million	Kshs million
Net interest income	14,770	7,193	7,577	–
Non interest income	8,627	3,600	5,027	–
Inter segment interest	–	(270)	270	–
Operating income	23,397	10,523	12,874	–
Impairment losses on loans and advances	(513)	193	(706)	–
Depreciation and amortisation	(928)	–	–	(928)
Other operating expenses	(12,954)	(990)	(4,169)	(7,795)
Profit before income tax	9,002	9,726	7,999	(8,723)
Income tax expense	(2,911)	–	–	(2,911)
Profit after tax	6,091	9,726	7,999	(11,634)
Total assets	164,876	93,409	51,302	20,165
Total liabilities	140,665	55,185	79,376	6,104
Additions of non-current assets	3,587	–	–	3,587

All revenues are earned in Kenya.

There are no revenues derived from transactions with a single external customer that amounted to 10% or more of the Group's revenues.

NOTES (continued)

34 Analysis of the balances of cash and cash equivalents as shown in the consolidated statement of cash flows

	2010 Kshs million	2009 Kshs million
Cash and balances with Central Bank of Kenya	13,131	9,751
Treasury bills maturing within 90 days (note 14)	19	2,356
Balances due from group companies	3,285	6,246
Deposit and balances due from banking institutions (Note 15)	935	1,061
Deposits and balances due to banking institutions (Note 26)	(92)	(261)
Balances due to Central Bank of Kenya (Note 24)	(3,105)	(1,503)
Less: Central Bank of Kenya cash reserve requirement	(5,533)	(5,499)
	8,640	12,151

For the purposes of the statement of cash flows, cash and cash equivalents comprise balances with less than 90 days maturity from the date of acquisition including: cash and balances with the Central Bank of Kenya, treasury bills and amounts due from other banks. Cash and cash equivalents exclude the cash reserve requirement held with the Central Bank of Kenya

Banks are required to maintain a prescribed minimum cash balance with the Central Bank of Kenya that is not available to finance the bank's day-to-day activities. The amount is determined as %age of the average outstanding customer deposits over a cash reserve cycle period of one month. In the year 2010, the cash ratio was 4.5% (2009: January to June - 5% and was revised from 1st of July to 4.5%).

35 Financial risk management

Barclays Bank of Kenya is a major financial services provider engaged in consumer and corporate banking. Managing risk is a fundamental part of its business activity and an essential component of the planning process. The Bank achieves its risk management goals by keeping risk management at the centre of the CMC and RCC agenda and by building a culture that meshes risk management within everyday business decision-making. The Bank ensures that it has the capacity to manage the risk in its established businesses as well as new and growing ones and that its business plans are consistent with risk appetite, that is, the level of risk the Bank is willing to accept in fulfilling its business objectives.

The main sources of financial risk that the Group faces are those arising from financial instruments, ie. credit risk, liquidity risk and market risk. The Group devotes considerable resources to maintaining effective controls to manage, measure and mitigate each of these risks and regularly reviews its risk management procedures and systems to ensure that they continue to meet the needs of the business.

Financial instruments are fundamental to the Group's business and constitute the core element of its operations. The risks associated with financial instruments are a significant component of the risks faced by the Group. Financial instruments create, modify or reduce the liquidity, credit and market risks of the Group's statement of financial position. These risks and the Group's policies and objectives for managing such risks are outlined below.

The Bank's risk management policies and processes are designed to identify and analyse these risks, to set appropriate risk appetite, limits, and controls, and to monitor the risks and adherence to limits by means of reliable and up-to-date data. Risk management policies, models and systems are regularly reviewed to reflect changes to markets, products and best market practice. Individual responsibility and accountability, instilled through training, are designed to deliver a disciplined, conservative and constructive culture of risk management and control.

Risk responsibilities

On a day-to-day basis risks are managed through a number of management committees. Through this process the Group monitors compliance within the overall risk policy framework and ensures that the framework is kept up to date. Risk management information is provided on a regular basis to the CMC, RCC and the Board.

The Board approves risk appetite and the Board Audit Committee monitors the Group's risk profile against this appetite. In more detail:

- The Board Audit Committee has responsibility for ensuring effective risk management and control;
- Business heads are responsible for the identification and management of risk in their businesses;
- Business risk teams are responsible for assisting Business Heads in the identification and management of their business risk profiles for implementing appropriate controls.
- Internal Audit is responsible for the independent review of risk management and the control environment.

NOTES (continued)

35 Financial risk management (continued)

a) Market risk

Market risk is the risk that the Bank's earnings or capital, or its ability to meet business objectives, will be adversely affected by changes in the level or volatility of market rates or prices such as interest rates, credit spreads, commodity prices, equity prices and foreign exchange rates. The main market risks arise from trading activities.

Categorisation of market risks

To facilitate the management, control, measurement and reporting of market risk, the Bank has grouped market risk into three broad categories:

- Trading market risk. These risks arise in trading transactions where the Bank acts as principal with clients or with the market. Barclays' policy is that market risks arising from trading activities are concentrated in Barclays Capital, a related party.
- Asset and liability risk. These risks arise from banking activities, including those incurred on non-trading positions such as customer assets and liabilities and capital balances, comprising:
 - Interest rate risk.
 - Foreign currency risk.
- Other market risks. In some instances, the Bank also incurs market risks that do not fall into the above categories. The principal risks of this type are defined benefit pension scheme risk and the price risk.

Market risk measurement

The measurement techniques used to measure and control market risk include:

- Stress Tests;
- Annual Earnings at Risk; and
- Economic capital.

Stress Tests

Stress tests provide an indication of the potential size of losses that could arise in extreme conditions. The stress tests carried out include risk factor stress testing, where stress movements are applied to each of the five risk categories namely interest rate, inflation, credit spread, equity and foreign exchange rate and ad hoc stress testing. If potential stressed losses exceed the trigger limit, the positions captured by the stress test are reviewed and discussed. The stress testing is tailored to the business and is typically scenario analysis and historical stress movements applied to respective portfolios.

Annual Earnings at Risk (AEaR)

AEaR measures the sensitivity of annual earnings to shocks in market rates at the 99th percentile for change over a one-year period. This shock is consistent with the standardised interest rate shock recommended by the Basel II framework for assessing banking book interest rate risk.

i) Interest rate risk

The Group is exposed to various risks associated with the effects of fluctuations in the prevailing levels of market interest rates on its financial position and cash flows. The responsibility of managing risk lies with the Assets and Liabilities Committee ("ALCO"). Through this process the Group monitors compliance within the overall risk policy framework and ensures that the framework is kept up to date. Risk management information is provided on a regular basis to the CMC and the Board.

Interest rate risk arises from the variability of income from non-interest bearing products, managed variable rate products and equity. Interest rate exposures and other market risks may be managed through the use of derivatives.

The table below summarises the exposure to interest rate risks as at 31 December 2010. Included in the table are the Bank's assets and liabilities at carrying amounts, categorised by the earlier of contractual repricing or maturity dates. The Bank does not bear any interest rate risk on off balance sheet items. All figures are in millions of Shillings.

NOTES (continued)

35 Financial risk management (continued)

a) Market risk (continued)

i) INTEREST RATE RISK

As at 31 December 2010	Up to 1 month	1 – 3 Months	3 – 12 Months	Over 1 year	Non-interest Bearing	Total
ASSETS						
Cash and balances with Central Bank of Kenya	-	-	-	-	13,131	13,131
Government securities	7,277	16,046	20,540	12,133	-	55,996
Deposits and balances due from banking institutions	935	-	-	-	-	935
Balances due from group companies	3,285	-	-	-	-	3,285
Other assets	-	-	-	-	3,629	3,629
Loans and advances to customers	81,003	6,144	-	-	-	87,147
Property and equipment	-	-	-	-	3,244	3,244
Prepaid operating lease rentals	-	-	-	-	61	61
Intangible assets	-	-	-	-	3,448	3,448
Retirement benefit asset	-	-	-	-	1,539	1,539
Total assets	92,500	22,190	20,540	12,133	25,052	172,415
LIABILITIES & EQUITY						
Balances due to Central Bank of Kenya	3,105	-	-	-	-	3,105
Customer deposits	75,413	6,636	2,712	1,031	38,034	123,826
Deposits and balances due to banking institutions	92	-	-	-	-	92
Other liabilities	-	-	-	-	7,304	7,304
Amounts due to group companies	1,571	-	-	-	-	1,571
Current tax payable	-	-	-	-	193	193
Deferred income tax	-	-	-	-	508	508
Long term liabilities – medium term note	-	4,351	-	-	-	4,351
Shareholders' equity	-	-	-	-	31,465	31,465
Total liabilities and equity	80,181	10,987	2,712	1,031	77,504	172,415
Interest sensitivity gap	12,319	11,203	17,828	11,102	(52,452)	-
As at 31 December 2009						
Total assets	98,375	13,261	22,360	10,715	20,165	164,876
Total liabilities and equity	69,022	10,404	6,829	2,030	76,591	164,876
Interest sensitivity gap	29,353	2,857	15,531	8,685	(56,426)	-

NOTES (continued)

35 Financial risk management (continued)

a) Market risk (continued)

i) Interest rate risk (continued)

Interest risk sensitivity analysis

The impact on income from financial instruments of a 1% increase or decrease in interest rates would be as follows:

	As at 31 December 2010			As at 31 December 2009		
	Carrying amounts	1% increase	1% decrease	Carrying amounts	1% increase	1% decrease
ASSETS						
Cash and balances with Central Bank of Kenya	13,131	-	-	9,751	-	-
Government securities	55,996	(560)	560	43,861	(439)	439
Deposits and balances due from banking institutions	935	(9)	9	1,061	(11)	11
Balances due from group companies	3,285	(33)	33	6,246	(62)	62
Other assets	3,629	-	-	1,496	-	-
Loans and advances to customers	87,147	(871)	871	93,543	(935)	935
Property and equipment	3,244	-	-	5,921	-	-
Prepaid operating lease rentals	61	-	-	62	-	-
Intangible assets	3,448	-	-	686	-	-
Retirement benefit asset	1,539	-	-	1,837	-	-
LIABILITIES & EQUITY						
Balances due to Central Bank of Kenya	3,105	31	(31)	1,503	15	(15)
Customer deposits	123,826	870	(870)	125,869	1,259	(1,259)
Deposits and balances due to banking institutions	92	1	(1)	262	-	-
Lines of credit	-	-	-	34	-	-
Other liabilities	7,304	-	-	3,984	-	-
Amounts due to group companies	1,571	16	(16)	3,986	40	(40)
Deferred income tax	508	-	-	619	-	-
Current income tax payable	-	-	-	115	1	(1)
Long term liabilities	4,351	44	(44)	4,294	43	(43)
Shareholders' equity	31,465	-	-	24,210	-	-
Net interest income increase/ (decrease)		(511)	511		(89)	89
Tax charge at 30%		153	(153)		27	(27)
Impact on profit after tax		(358)	358		(62)	62

NOTES (continued)

35 Financial risk management (continued)

a) Market risk (continued)

i) Interest rate risk (continued)

At 31 December 2010 if interest rates were to increase/decrease by 1% with all other variables held constant the after tax profit would have been Kshs 358 million (2009: Kshs 62 millions) higher/lower with other components of equity remaining the same.

ii) Currency risk

The group operates wholly within Kenya and its assets and liabilities are carried in the local currency. The Group maintains trade with the majority shareholder and other correspondent banks and its foreign currency exposure as at 31 December 2010 was an asset of Kshs 1,591 million (2009: liability of Kshs 408 million).

Non-structural

Non-structural (transactional) foreign exchange exposures represent exposure on banking assets and liabilities, the functional currencies of which are currencies other than shillings.

Concentrations of currency risk- on and off balance sheet financial instruments.

The various currencies to which the Bank was exposed as at 31 December 2010 are summarised in the table below (all amounts expressed in millions of Kenya Shillings).

As at 31 December 2010	USD	GBP	Euro	Other	Total
Assets					
Cash and bank balances	567	3,096	1,489	201	5,353
Loans and advances to customers	12,990	67	1,054	270	14,381
Other assets	149	-	-	-	149
Total assets	13,706	3,163	2,543	471	19,883
Liabilities					
Balances due to banking institutions and group companies	489	854	287	270	1,900
Customer deposits	14,070	2,315	1,890	156	18,431
Other liabilities	1,031	49	28	36	1,144
Total liabilities	15,590	3,218	2,205	462	21,475
Net balance sheet position	(1,884)	(55)	338	9	(1,592)
Off balance sheet net notional position	65	457	619	(5)	1,136
Overall net position	(1,819)	402	957	4	(456)
As at 31 December 2009					
Total assets	17,390	2,545	2,216	1,117	23,268
Total liabilities	18,200	2,407	2,215	854	23,676
Net balance sheet position	(810)	138	1	263	(408)
Off balance sheet net notional position	758	(121)	(253)	(3)	381
Overall net position	(52)	17	(252)	260	(27)

NOTES (continued)

35 Financial risk management (continued)

a) Market risk (continued)

ii) Currency risk (continued)

Currency risk sensitivity analysis

The impact on profit after tax of a 10% appreciation or depreciation of the shilling would be as follows:

	As at 31 December 2010			As at 31 December 2009		
	Currency carrying	10% appreciation	10% depreciation	Currency carrying	10% appreciation	10% depreciation
ASSETS						
Assets						
USD	13,707	(1,371)	1,371	17,390	(1,739)	1,739
GBP	3,163	(316)	316	2,545	(255)	255
EURO	2,543	(254)	254	2,216	(222)	222
Other currencies	471	(47)	47	1,117	(112)	112
LIABILITIES						
USD	15,590	1,559	(1,559)	18,199	1,820	(1,820)
GBP	3,218	322	(322)	2,407	241	(241)
EURO	2,205	221	(221)	2,215	221	(221)
Other currencies	463	46	(46)	854	85	(85)
Total increase / (decrease)		160	(160)		41	(41)
Tax charge of 30%		(48)	48		(12)	12
Effect on profit for the year		112	(112)		29	(29)
As percentage of net profit after tax		1.06%	1.06%		0.48%	(0.48%)

At 31 December 2010 if the shilling had weakened /strengthened by 10% against the major trading currencies with all other variables held constant after tax profit would have been Kshs 112 million (2009: Kshs 29 million) lower/higher.

iii) Price risk

Price risk arises from open positions in equity securities, which are exposed to specific market movements.

The sensitivity analysis for equity risk illustrates how changes in the fair value of equity securities will fluctuate because of changes in market prices. Management monitors movements of equity price risk movements on a monthly basis by assessing the expected changes in the price of the equity securities.

The equity securities held in the statement of financial position are quoted and are classified as financial assets at fair value through profit. An increase or a decrease of 20% in the price of the securities would result in an impact on the after-tax income statement and financial assets of Kshs 70 million (2009: Kshs 82 million).

NOTES (continued)

35 Financial risk management (continued)

b) Liquidity risk

Liquidity risk is the risk that the Bank is unable to meet its payment obligations associated with its financial liabilities as they fall due and to replace funds when they are withdrawn.

The Bank is exposed to daily calls on its available cash resources from overnight deposits, current accounts, maturing deposits, and calls on cash settled contingencies. The Bank does not maintain cash resources to meet all of these needs as experience shows that a minimum level of reinvestment of maturing funds can be predicted with a high level of certainty. The Central Bank requires that the Bank maintains a cash reserve ratio. In addition, the Board sets limits on the minimum proportion of maturing funds available to meet such calls and on the minimum level of inter-bank and other borrowing facilities that should be in place to cover withdrawals at unexpected levels of demand.

The Treasury department monitors liquidity ratios on a daily basis. Sources of liquidity are regularly reviewed by a separate team in the Treasury department to maintain a wide diversification by provider, product and term.

Non-derivative financial liabilities and assets held for managing liquidity risk.

The table below presents the undiscounted cash flows payable by the Bank under non-derivative financial liabilities and assets held for managing liquidity risk by remaining contractual maturities at the date of consolidated statement of financial position.

As at 31 December 2010	Up to 1 Month	1 – 3 Months	3 – 12 Months	1 – 3 Years	3 – 5 Years	Over 5 Years	Totals
Liabilities							
Balances due to Central Bank of Kenya	3,105	-	-	-	-	-	3,105
Customer deposits	114,663	6,636	2,712	1,031	-	-	125,042
Deposits and balances due to banking institutions	92	-	-	-	-	-	92
Balances due to group companies	1,571	-	-	-	-	-	1,571
Other liabilities	7,577			604	4,351		12,532
Total financial liabilities (contractual maturity dates)	127,008	6,636	2,712	1,635	4,351	-	142,342
Assets held for managing liquidity (contractual maturity dates)	24,627	16,046	20,540	9,592	1,655	887	73,347
As at 31 December 2009							
Liabilities							
Balances due to Central Bank of Kenya	1,503	-	-	-	-	-	1,503
Customer deposits	114,848	5,991	4,125	1,996	-	-	126,960
Deposits and balances due to banking institutions	262	-	-	-	-	-	262
Balances due to group companies	1,163	119	2,704	-	-	-	3,986
Other liabilities	3,984	-	-	34	4,913	-	8,931
Total financial liabilities (contractual maturity dates)	121,760	6,110	6,829	2,030	4,913	-	141,642
Assets held for managing liquidity (contractual maturity dates)	23,388	4,037	23,145	4,462	2,488	3,400	60,919

NOTES (continued)

35 Financial risk management (continued)

(c) Credit risk

Credit risk is the risk of suffering financial loss from any of the Group's customers, clients or market counterparties failing to fulfil their contractual obligations to the Group. Credit risk mainly arises from loans and advances.

There is a risk management team which is charged with devising and implementing group risk policy, such as ensuring maximum exposure guidelines are in place relating to the exposures to any individual customer or counterparty and policies are in place that limit lending to certain industries, for example, commercial real estate.

This functional team manages the resolution of all significant credit policy issues and runs the Credit Committee, which approves credit decisions. The Board Advances Committee reviews the group credit policy and the impairment allowance as part of financial reporting. The exposure to any one borrower including banks is further restricted by sub – limits covering on and off –balance sheet exposures and daily delivery risk limits in relation to trading items such as forward exchange contracts. Actual exposures against limits are monitored daily.

Exposure to credit risk is managed through regular analysis of the ability of borrowers and potential borrowers to meet interest and capital repayment obligations and by changing lending limits where appropriate. Exposure to credit risk is also managed in part by obtaining collateral and corporate guarantees. Credit risk is spread over a diversity of consumer and commercial customers as set out in Note 16. The credit risk exposure relating to contingencies and commitments is further outlined in Note 31.

Credit risk measurement

The Group's credit rating systems use statistical modelling techniques throughout its business which assist the Group in front line credit decisions, such as managing its existing portfolios and making new commitments.

The Group assesses the credit quality and assigns an internal risk rating to all borrowers and other counterparties, including retail customers. Each internal rating corresponds to the statistical probability of a customer in that rating class defaulting within the next 12-month period. The probability of default, the exposure at default and the loss given default are calculated for all loan portfolios. This allows the Group to monitor its exposures, enabling it to derive measures such as Risk Tendency. Risk Tendency is a statistical estimate of the average loss for each loan portfolio for a 12-month period, taking into account the size of the portfolio and its risk characteristics under current economic conditions, and is used to track the change in risk as the portfolio of loans changes over time.

The Group monitors its financial exposure to individual counterparties, to industries and countries to ensure that no undue concentrations of credit arise.

Guarantees and irrevocable loan commitments

The Group is exposed to loss through the financial guarantees it issues to clients and commitments to provide loan finance which cannot be withdrawn once entered in to. The credit risks associated with such contracts are managed in a similar way to loans and advances, and form part of the exposure at default measure.

Settlement risk

The Bank is also exposed to settlement risk in its dealings with other financial institutions. These risks arise, for example, in foreign exchange transactions when the Bank pays away its side of the transaction to another bank or other counterparty before receiving payment from the other side. The risk is that the counterparty may not meet its obligation. While these exposures are of short duration, they can be large. In recent years settlement risk has been reduced by several industry initiatives that have enabled simultaneous and final settlement of transactions to be made. The Bank has worked with its peers in the development of these arrangements. Increasingly the majority of high value transactions are settled by such mechanisms. Where these mechanisms are not available, the risk is further reduced by dealing predominantly with highly rated counterparties, holding collateral and limiting the size of the exposures according to the rating of the counterparty, with smaller exposures to those of higher risk.

NOTES (continued)

35 Financial risk management (continued)

(c) Credit risk (continued)

The following table represents the credit risk exposure to the Group at 31 December 2010 and 2009, without taking account of any collateral held or other credit enhancements attached. For on-balance sheet assets the exposures set out above are based on net carrying amounts as reported in the statement of financial position.

Maximum exposure to credit risk before collateral held or other credit enhancements

The Group's maximum exposure to credit risk is set out in the table below:

An analysis of financial assets subject to credit risk is set below:

	Loans and advances to customers Kshs million	Loans and advances to banks Kshs million	Balances with Central Bank Kshs million	Balances due from group companies Kshs million	Available for sale debt securities Kshs million	Totals Kshs million
As at December 2010						
Neither past due nor impaired	80,970	935	7,489	3,285	55,996	148,675
Past due but not impaired						
Past due 30 to 90 days	2,372	-	-	-	-	2,372
Past due over 90 days	1,769	-	-	-	-	1,769
Impaired						
Individually assessed	5,819	-	-	-	-	5,819
Total	90,930	935	7,489	3,285	55,996	158,635
Impairment allowances						
Identified impairment	(3,550)	-	-	-	-	(3,550)
Unidentified impairment	(233)	-	-	-	-	(233)
Total carrying value	87,147	935	7,489	3,285	55,996	154,852
Fair value of collateral held for impaired loans & advance	3,811	-	-	-	-	3,811
As at December 2009						
Neither past due nor impaired	87,927	1,061	5,648	6,246	43,861	144,743
Past due but not impaired						
Past due up to 90 days	1,787	-	-	-	-	1,787
Past due over 90 days	1,683	-	-	-	-	1,683
Impaired						
Individually assessed	5,872	-	-	-	-	5,872
Total	97,269	1,061	5,648	6,246	43,861	154,085
Impairment allowances						
Identified	(3,515)	-	-	-	-	(3,515)
Unidentified	(211)	-	-	-	-	(211)
Total carrying value	93,543	1,061	5,648	6,246	43,861	150,359

NOTES (continued)

35 Financial risk management (continued)

(c) Credit risk (continued)

Collateral and other credit enhancements

Financial assets that are past due or individually assessed as impaired are at least partially collateralised or subject to other forms of credit enhancement. The effects of such arrangements are taken into account in the calculation of the impairment allowance held against them.

Collateral and other credit enhancements obtained

The carrying value of assets held by the group as at 31 December as a result of the enforcement of collateral was as follows:-

Carrying amount

Nature of assets	GROUP AND BANK	
	2010	2009
	Kshs million	Kshs million
Commercial and industrial property	3,811	5,103

d) Fair value of financial assets and liabilities

Fair value estimation

Effective 1 January 2009, the Group adopted the amendment to IFRS 7 for financial instruments that are measured in the statement of financial position at fair value. This requires disclosure of fair value measurements by level of the following fair value measurement hierarchy:

Level 1 – Quoted prices (unadjusted) in active markets for identical assets or liabilities.

Level 2 – Inputs other than quoted prices included within level 1 that are observable for the asset or liability, either directly (that is, as prices) or indirectly (that is, derived from prices).

Level 3 – Inputs for the asset or liability that are not based on observable market data (that is, unobservable inputs).

The fair value of financial instruments traded in active markets is based on quoted market prices at the reporting date. A market is regarded as active if quoted prices are readily and regularly available from an exchange, dealer, broker, industry group, pricing service, or regulatory agency, and those prices represent actual and regularly occurring market transactions on an arm's length basis. The quoted market price used for financial assets held by the Group is the current bid price. These instruments are included in level 1. Instruments included in level 1 comprise primarily NYSE equity investments classified as trading securities.

The fair value of financial instruments that are not traded in an active market (for example, government debt instruments) is determined by using valuation techniques. These valuation techniques maximise the use of observable market data where it is available and rely as little as possible on Bank specific estimates. If all significant inputs required to fair value an instrument are observable, the instrument is included in level 2.

If one or more of the significant inputs is not based on observable market data, the instrument is included in level 3.

The following table presents the group's assets and liabilities that are measured at fair value at 31 December 2010.

31 December 2010	Level 1 Kshs million	Level 2 Kshs million	Level 3 Kshs million	Total balance Kshs million
ASSETS				
Financial assets at fair value through profit or loss				
– Trading securities	350	-	-	350
Available-for-sale financial assets				
– Debt investments	-	55,996	-	55,996
Total assets	350	55,996	-	56,346

There are no financial liabilities measured at fair value through profit and loss as at 31 December 2010.

NOTES (continued)

36 Related party transactions

The group is controlled by Barclays Bank Plc incorporated in the United Kingdom. The ultimate parent of the Group is Barclays Plc incorporated in the United Kingdom. There are other companies which are related to Barclays Bank of Kenya Limited through common shareholdings or common directorships.

In the normal course of business, placings of foreign currencies are made with the parent company and other companies at interest rates in line with the market. The relevant balances are as shown below:-

Balances with group companies

	GROUP AND BANK	
	2010	2009
	Kshs million	Kshs million
Due from:		
Barclays Bank Plc	3,217	6,117
Other group companies	68	129
	<u>3,285</u>	<u>6,246</u>
Interest income earned on the above	34	108
Due to:		
Barclays Bank Plc	559	3,063
Other group companies	1,012	923
	<u>1,571</u>	<u>3,986</u>
Interest expense incurred on the above	78	118

The weighted average effective interest rate at 31 December 2010 on amounts due from Group companies was 0.5% (2009:4.25%) and on amounts due to group companies was 1.0% (2009: 4.1%).

Related companies provide support services from time to time for which they recharge the Group.

Value of services provided

	GROUP AND BANK	
	2010	2009
	Kshs million	Kshs million
Barclays Bank Plc	723	1,806
Other group companies	-	159
	<u>723</u>	<u>1,965</u>
Due to:		
Barclays Bank Plc	161	512
	<u>161</u>	<u>512</u>

The value of the services provided has been debited to the income statement and is included in total expenditure of the Group. Additional costs incurred by Barclays Plc on behalf of the Bank on the replatforming exercise are disclosed in note 20.

NOTES (continued)

36 Related party transactions (continued)

Amounts due from directors

Advances to customers as at 31 December 2010, include loans to directors, loans to companies controlled by directors or their families, and loans to employees as follows:-

	2010 Kshs million	2009 Kshs million
At the start of the year	105	96
Amounts advanced during the year	5	18
Repayments received	(26)	(9)
At the end of year	84	105

At 31 December 2010 advances to directors or companies controlled by directors or their families amounted to Kshs 84 million (2009: Kshs 105 million).

No provisions have been recognised in respect of loans given to the directors. (2009: Nil).

Deposits by directors

During the year the directors maintained various deposit accounts with the Bank which included current, savings and fixed deposit accounts. At 31 December 2010 balances relating to directors deposits amounted to Kshs 16.2 million (2009: Kshs 5 million).

	2010 Kshs million	2009 Kshs million
Key management compensation		
Salaries and other short-term employment benefits	330	250
Directors emoluments		
– Fees for services as directors	12	9
– Other emoluments	65	60
(included in key management compensation above)		
– Barclays Plc share options scheme	6	6
(amount recharged to Barclays Bank of Kenya)		

NOTES (continued)

36 Related party transactions (continued)

Staff pension scheme

Barclays Bank of Kenya Limited Staff Pension Fund and Barclays Bank of Kenya Limited Staff Retirement Benefits (DC) Scheme 2009 (the “Funds”) are sponsored by Barclays Bank of Kenya Limited. The Funds’ foreign investments are managed by Barclays Private Banking & Trust Limited, which is a related entity to the Fund by virtue of shareholding.

The Bank provides normal banking services to the Funds in order to facilitate the day to day financial administration of the Funds.

	2010 Kshs million	2009 Kshs million
Transactions during the year		
Rent expense	64	78
Interest on fixed and time deposits	2	18
Custodian fee – Barclays Security Services Limited	(11)	(12)
Dividends on Barclays Bank of Kenya shares	18	16
	<u> </u>	<u> </u>

The transactions were at similar terms and conditions to those offered to other customers.

	2010 Kshs million	2009 Kshs million
Outstanding balances:		
Investment balances	659	597
Due from Barclays Bank of Kenya Limited	-	1
Cash at bank - Barclays Bank of Kenya Limited	-	34
	<u> </u>	<u> </u>

Custody and Registrars Services Limited

Bruce House, 6th floor, Standard Street

P. O. Box 8484 – 00100, Nairobi

*I/We _____ of _____

being *a member/members of Barclays Bank of Kenya Limited, hereby appoint:- _____

of (address) _____ or failing *him/her _____

of (address) _____

and failing *him/her the Chairman of the meeting as *my/our proxy to vote for *me/us on *my/our behalf at the Thirty Second Annual General Meeting of the Company to be held on 27th May 2011 and at any adjournment thereof.

As witness *I/we affix *my/our *hand/hands this _____ day of _____ 2011

Signature(s) _____

Unless otherwise instructed, the proxy will vote as *he/she thinks fit.

*Delete/Cross out whichever is not applicable.

Note 1: A member entitled to attend and vote at the meeting is entitled to appoint a proxy on his or her behalf.
A proxy need not be a member of the Company.

Note 2: In case of a member being a corporation this proxy must be executed under its common seal or signed on its behalf by an officer or attorney of the corporation duly authorised in writing.

NOTE 3: To be valid, this proxy form must be duly completed by the member and must either be lodged with the Registrar of the Company at Custody and Registrars Services, 6th floor, Bruce House, Standard Street – Nairobi or be posted to Custody and Registrars Services, P. O. Box 8484 – 00100 Nairobi, so as to reach the Registrar not later than 11.00 a.m. on Wednesday 25th May 2011.

Custody and Registrars Services Limited

Bruce House, 6th floor, Standard Street
P. O. Box 8484 – 00100, Nairobi

*Mimi/Sisi _____ wa _____

kama *mwanachama/wanachama wa of Barclays Bank of Kenya Limited, namteua/tunamteua:- _____

wa (anuwani) _____ au akikosa yeye _____

wa (anuwani) _____

na akikosa yeye Mwenyekiti wa mkutano kama mwakilishi *wangu/wetu anipigie kura kwa niaba *yangu/yetu katika Mkutano Mkuu wa Thelathini na Mbili wa Kampuni hii mabao utafanyika tarehe 27 Mei, 2011 na katika ahirisho lolote litakalotokea baadaye.

Kama ushahidi *ninatia/tunatia sahihi *yangu/yetu siku hii ya _____ ya mwezi wa _____ 2011

Sahihi _____

Labda kuwe na maagizo, lakini mwakilishi atakuwa huru kupiga kura apendavyo.

*Futa yasiyofaa.

MAELEZO:

- 1 Mwanachama mwenye haki ya kuhudguria nakupiga kura katika mkutano ana haki ya kumteua mwakilishi wake. Mwakilishi hahitaji awe mwanachama wa Kampuni.
- 2 Iwapo mwanachama ni shirika, fomu hii ya uwakilishi lazima ipigwe muhuri au iwe na sahihi ya afisa au mwanasheria wa shirika aliyeruhusiwa kwa maandishi.
- 3 Ili ikubalike, fomu hii lazima ijazwe kikamilifu na mwanachama na lazima iwasilishwe kwa msajili wa kampuni katika Custody and Registrars Services, 6th floor, Bruce House, Standard Street – Nairobi au itumwe kwa njia ya posta kwa Custody and Registrars Services, S.L.P 8484 – 00100 Nairobi, ili imfikie msajili kabla ya saa tano asubuhi siku ya Jumatano tarehe 25 Mei, 2011

